

July 2020

The European Bathroom & Kitchen Product Markets

- 2020 Edition -



BRG
BUILDING SOLUTIONS

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CH - Bathrooms FULL

The Swiss Bathroom Market

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Overview

BRG Building Solutions is a specialised market research consultancy serving the global building technologies industry. Combining unparalleled industry experience with expert research and analysis, our team delivers lasting results to hundreds of companies worldwide.

Our core expertise lies in our coverage of the bathroom, kitchen, HVAC, and other building products/technologies. Throughout a history spanning over 40 years, we have assisted industry players in identifying and realising growth opportunities through a combination of regular market monitoring and ad-hoc consultancy services.

BRG's unique Enterprise Database is at the centre of our offering. This is a comprehensive tool and very detailed source of historic, current and forecast market trends and market share data (by holding and brand) on a country comparable basis. The database provides an essential tool to our clients as a platform to support their strategic decision making.

BRG Building Solutions is a genuinely global company, staffed with individuals from varied backgrounds and nationalities, working collaboratively from four offices across four countries. Combining a high level of industry experience with expert research and analysis, our team delivers lasting results to hundreds of companies worldwide.

Our market coverage is also global, reflecting the nature of the industries we serve. Currently, 68 individual markets are covered annually in detail across the following key geographical regions (and number of countries):

- Africa (3)
- Australasia (2)
- East & Southeast Asia (6)
- Central America (4)
- Central Asia (3)
- Europe (31)
- South Asia (1)
- Middle East (7)
- North America (3)
- South America (5)
- Sub-Saharan Africa (3)

BRG has its own in-house dedicated modelling and forecasting unit. In cooperation with clients, we have since extended our offering to include market sizing for countries outside the traditional geographic reach of our main research

programme, via global market models

Product Coverage

Since the 1980s, BRG's Bathroom & Kitchen programme has provided industry players with insightful analysis and evidence-based information. In addition to detailed data on trends, values, end use, technical segmentations, market shares and distribution, our programme also includes perceptive text commentary, enabling our clients to easily identify and understand market characteristics and the latest industry developments.

BRG's programme has evolved steadily in terms of both geographic scope and product coverage and continues to do so each year. Each country report follows a uniform structure, to ensure that the data can be readily compared across regions and countries.

The product coverage has also expanded to cover virtually all bathroom, sanitary and kitchen related products, used in both residential and non-residential buildings, including:

Baths and Shower Trays

- Baths: cast iron, steel and synthetic
- Hydromassage baths
- Shower Trays: ceramic, steel/ cast iron and synthetic
- Shower systems (NAM): shower modules, integrated tub showers

Sanitary Ware

- WCs: wall hung, floor standing 1-piece and squat
- Washbasins: hand washbasins and countertops
- Other CSW: bidets, kitchen sinks, pedestals, shower trays, urinals and cisterns
- Plastic Cisterns: concealed and exposed.

Taps and Mixers ('Faucets'), both sanitary and kitchen:

- By application: basin/sink, bath, bidet, shower, kitchen sinks
- By type: pillar, two head, one head, thermostatic, self-closing, electronic
- By type (Americas): 4in centre set, 8in widespread, electronic, hand spray, pressure, single handle/one-head, self-closing, thermostatic, three handle.

Shower Wall

- Bath screens, conventional shower cubicles, hydrotherapy cubicles, bath & shower surrounds (NAM)

Bathroom Furniture

- Base units, mirror / mirror cabinets and separate cabinets.

Bathroom Accessories

- Soap holders and dispensers
- Towel holders, towel rings and towel bars
- Toilet paper holders and toilet brushes
- Towel and bathrobe hooks
- Toothbrush holders and tumblers
- Shelves, wastepaper bins, shower storage units and tissue holders.

Shower Accessories

- Shower heads, flexible hoses, shower supports, shower panels and shower pipes.

Kitchen Sinks

- Cast Iron, ceramic, enamelled steel, stainless steel and synthetic.

Definitions

Please note that all volumes given in the report refer to the number of units sold, where not indicated otherwise. In-depth product definitions are included in a separate document and available upon request.

All prices, both manufacturer and retail, exclude value-added-tax (VAT) and installation costs.

Methodology

The methodology behind the data remains true to our origins in that the industry participates in the research process, in many cases by providing BRG Building Solutions with annualised volume sales by product category per country and contacts for detailed expert interviews in all countries covered.

Our approach follows a multi-pronged strategy, gathering data inputs and information from many different sources. A further USP of BRG is the fact that we live and breathe the markets in which we specialise (bathroom, kitchen, plumbing & HVAC) and are in constant contact with manufacturers, distributors and other key influencers all of the time during our repeat annual research programme. The markets are built via a bottom-up approach. Extensive primary and secondary research complement the picture and provide all necessary insight for many

additional segmentations shown in the reports, like e.g. price segmentations, technical and end-use segmentations.

The reports are constantly evolving and refined based on industry feedback, and always reflect the latest developments in the industries.

All research is conducted in-house with a team of around 30 individuals who speak 20 different languages between them. As a result, we can transfer that knowledge and experience into services designed to assist stakeholders in understanding the opportunities available to them, at a fraction of that charged by the larger and less nimble global consultancies. BRG operates a policy of direct management of the team required to conduct the regular research work and avoids subcontracting its market studies to outside agencies.

The analysis has grown in complexity as the number of drivers affecting the markets grows, like e.g. economic uncertainty, construction cycles, new technologies, legislation. As a result, BRG Building Solutions considers all drivers through a holistic approach, recognising that products, end use segments and countries are all inter-linked.

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SWITZERLAND

BACKGROUND

THE EUROPEAN BATHROOM & KITCHEN PRODUCT MARKETS



Geography and Demographics

Switzerland, officially the Swiss Confederation, is a landlocked country in Western and Central Europe, which covers a surface area of 41,285 km² and has borders with France (573 km), Germany (334 km), Italy (740 km), Liechtenstein (41 km) and Austria (164 km). Most of the information in this section is based on the latest available data from the Swiss Federal Statistical Office. The terrain is mostly mountainous, with the Alps in the south, the Jura in the northwest, and a central plateau of rolling hills, plains and large lakes. Administratively, Switzerland is a federation and has probably one of the most decentralised administrations of any European country. There are four levels of administration, namely the Communes (2,352), Districts (178), Cantons (20 cantons and six half cantons) and the Federal Government.

From 2013 until 2017, the Swiss total population had been growing at a greater rate when compared to a decade ago. The population counted approximately 8.545 million inhabitants in 2019 according to EUROCONSTRUCT. Estimates indicate that about 74% of the total population lives in urban areas and the population density is above the European average. The five largest conurbations of big cities (Zurich, Geneva, Basel, Berne and Lausanne) account together for almost half of Switzerland's total population, while the main part of the population live in small towns. Zurich is the largest city, with around 415,000 inhabitants, Geneva the second largest with 202,000, followed by Basel with 177,000, and Lausanne, which counts 138,000 inhabitants. The capital Berne is the fifth biggest city of Switzerland and has 134,000 inhabitants. The trend is for people to move out of the city centres into the communities in the outer suburbs.

As in the rest of Europe, the Swiss population is ageing. The Swiss national statistics show the number of people above 65 years old accounted for 18% of the overall population in 2015, while 10 years earlier the share was significantly smaller. On the other hand, the percentage of people between 20 and 39, and the number of those under 20, shrank considerably within these 10 years. These figures show that the number of young people entering the housing market for the first time is starting to fall (those born at the peak of the baby boom are now in their early 50s), whilst the number of people over retirement age is rising sharply.

In Switzerland, there is a total of some 4.584 million dwellings, of which around 86% are inhabited, with an average size of 99 m² per dwelling. The number of people per household has been decreasing constantly over the last decade. Since the 1970s, there has been a sharp rise in single occupant households. As far as geographical coverage is concerned, there are small differences. The trend towards small households can mainly be seen in urban cantons. The highest percentage of single households can be found in the Basel canton (BS), where a single person lives in every second household. According to the Swiss Federal Statistical Office, 32% of the primary dwelling stock was built before 1945, 34% between 1945 and 1980, and 34% after 1981.

Macroeconomic Overview

Switzerland remains high atop the list of preferred tax havens due to its low taxation of foreign corporations and individuals. The flow of overseas wealth to the country has come under much criticism in past years due to concerns over tax evasion and, in 2018, the TAX JUSTICE NETWORK, an international group campaigning for transparency, chose Switzerland as the capital of bank secrecy in the world. However, after signing an agreement on the automatic exchange of information with the European Union, Switzerland put an end to bank secrecy in 2019. Since then, Swiss banks are required to share their clients' information with foreign tax authorities.

A high level of competitiveness is one of the reasons why Switzerland's economy has been developing better than that of the Eurozone for many years. Over the last decade, the Swiss economy has outperformed the Eurozone despite having one of the highest labour costs in Europe. On top of that, the Swiss economy represents one of the most flexible and robust economies worldwide. This has been proven by the positive reaction to the Swiss National Bank January 2015 decision to abolish the ceiling on the Swiss Franc (CHF). In fact, after the, the Swiss Franc soared temporarily by more than 30%. Over the years, a weakening of the Swiss Franc helped boost economic growth, creating more jobs.

However, even the Swiss economy was unable to escape the 2019 slowdown in global industrial activity. Switzerland, as an exporting country, suffered from the worldwide declining demand on mechanical engineering, electronics, and metals industry (MEM industry) that year. After strong GDP growth in 2018, economic growth slowed to much weaker growth rate in 2019 due to a weak global economy, especially an economic downturn with its biggest trading partner Germany, and weak domestic consumption. The biggest risks for the Swiss economy came from Italy's fiscal policy, a significant cooling of the European economy and the possibility of a global trade war. The latter could impact Switzerland's externally-oriented economy, appreciating the Franc and eroding competitiveness in less-productive sectors.

Although there was a threat of job cuts in the MEM industry for 2020, the economists at CREDIT SUISSE did not expect a huge rise in unemployment in Switzerland. The robust labour market is one important reason why private consumption should continue to increase in the future. In addition, consumption growth was expected to be supported by a renewed increase in healthcare spending, continued but slight rise in spending in the 'residential' sector, solid purchasing power on the back of low inflation, and the persistently high level of immigration.

With over 33,300 confirmed Covid-19 cases and 1969 deaths as of 17th July 2020, Switzerland is one of the countries hardest hit by the outbreak. On March 16, the Federal Council (FC) declared a national state of emergency, closing all shops, restaurants, bars, entertainment facilities and schools (with exceptions for food

stores and pharmacies) until April 19. The action also prohibited public gatherings of 5 people or more and recommended all citizens stay home. Some heavily affected cantons, such as Ticino, have imposed even tighter restrictions on activities. The government also reintroduced controls at all its borders, with entry restrictions in place for citizens of Schengen and non-Schengen countries.

The Federal Council has also announced two aid packages with a total amount of CHF42 billion (EUR38 billion, around 6% of 2019 GDP). The first aid package of CHF10 billion (EUR0.9 billion), announced on March 13, includes up to CHF8 billion (EUR7.2 billion) for partial unemployment compensation, CHF1 billion (EUR0.9 billion) for financial aid to particularly-affected firms, CHF580 million (EUR523 million) in loan guarantees for small medium sized companies (SME), and the rest as loss compensation for cancelled events. On March 20, the FC announced a second aid package of CHF32 billion (EUR29 billion) with a guarantee program up to CHF20 billion (EUR18 billion) to support bridging loans to SMEs, 100% guarantee for loans up to CHF 500,000 (EUR450,000) and other financial supports for the Swiss population. On March 25, the FC announced a set of additional measures to support the economy, which is estimated to cost around CHF600 million (EUR541 million) per month.

The impact of the pandemic in Switzerland and abroad is temporarily bringing parts of the economy to a standstill. Even if the coronavirus situation stabilises in the second half of 2020, the economy should still decline strongly on the whole for the year. In 2021, the economy is predicted to slow down its negative trend and recover fully from 2022 onwards.

Residential Construction

Switzerland has a low home ownership rate due to high house prices in relation to rents and incomes. In fact, Switzerland has the highest share of renters in Europe, with around 60% of dwellings inhabited by tenants, followed by Germany with a share of around 50%. Furthermore, a large portion of the Swiss rental market is owned by investors such as insurance companies and real estate funds. In a European context, a large share of the Swiss housing market is second homes, accounting for around 12%. Insurance and pension companies have increasingly invested into multi-family houses over the last few years due to a low tax rate. Some recently constructed dwellings have been vacant for several months since their opening. Many multi-family houses were built outside the main centres, where it was more affordable. However, these areas are less in demand because of the long commute to work.

The construction industry in Switzerland accounts for about 10% of GDP. Only about one-third of total residential construction investment is spent on RMI activities. The primary reason is the low homeownership rate, and few renovation works are done by households. Instead, large building complexes with rented apartments are renovated all at once. Therefore, most of the total residential construction investment is attributed to new construction, which is the driving segment. Total residential construction output (in value) was negative for both the

RMI and new housing segments in 2019, according to EUROCONSTRUCT, but still at a high level thanks to low interest rates. Building completions declined slightly in 2019, in line with overall construction output versus the previous year. It has become extremely difficult in Switzerland to receive credit due to the strict requirements by banks. According to a recent study, around half of the Swiss population cannot afford a house for 500,000 Euros.

New Housing

Following an increase the prior year, the Swiss new housing construction sector experienced an overall decline in 2019. The number of 1-2 family dwelling completions stayed stable, whereas the number of collective dwellings experienced a slight decline. Considering the housing completion numbers from previous years, new housing output in 2019 remained at a high level. An explanation for the decline might be the strongly-growing property and land prices, along with ongoing low interest rates. As cheap money with low interest rates was available on the market, many Swiss wanted to build a house, which increased demand but simultaneously grew the price of land and properties in the country. As a result, many Swiss were once again not able to afford new housing.

There are consistent differences within Switzerland territory, as cantons like Basel and Geneva still have an extremely low vacancy rate. These regions are still far from saturation point, as most homes are occupied. In contrast, cantons in the mountainous areas of Switzerland, such as Graubünden, Uri, Glarus and Wallis, have significantly suffered from the law on secondary homes and the number of residential housing completions has dropped accordingly.

The forecast remains uncertain due to the ongoing COVID-19 pandemic. However, the previous forecast was slightly negative for the coming years, which means the trend is predicted to stay negative due to the COVID-19 pandemic and lockdown measures. During the pandemic, the government has allowed construction to continue; however, several construction sites closed to assess health risks to workers after lockdown on 13rd March.

Housing RMI

According to the 2011 Census, of the total 4.381 million dwellings in Switzerland, around 1.009 million (about 23%) are one and two-family houses, and the remainder of the total dwelling stock consists of apartments. Based on EUROCONSTRUCT, renovation activities marginally decreased in terms of volume in 2019 when compared to the previous year. In absolute numbers, however, the expenditures destined to RMI represent less than one-third of total residential construction output, while the rest is assigned to the new completions of residential dwellings. This ratio differs to neighbouring countries, in which the main part of total construction output is attributed to replacement expenditure. In Germany for example, almost two-thirds of its total residential construction output is directed towards RMI, and in France around 57% is based on RMI activities. One and two-family houses and multi-family houses have an average renewal rate of merely one

percent of the building stock per year. The federal incentives for energy saving renovations seem to be insufficient to fuel RMI. The outlook for residential renovation is believed to stay negative from 2020 onwards, supported by the negative impact of the COVID-19 pandemic.

Non-Residential Construction

Of the total 1.68 million buildings in Switzerland, around 17% are used as non-residential buildings according to the Swiss Federal Statistical Office. In 2019, the non-residential segment grew slightly stronger than the previous year according to EUROCONSTRUCT's most recent figures. In comparison to the residential market, non-residential constructions developed much better. The non-housing sector in Switzerland accounts for significantly more than half of the value from residential construction. This is a lot when compared to Germany, where the non-housing segment accounted for much less than half. This can be explained by Switzerland's strong tourism industry. Moreover, there are currently several big projects in progress, such as the Circle. Besides that, biotech and pharmaceutical companies are investing in new premises and therefore contributed to the overall non-housing value. The sectors of healthcare and education have performed well in 2019. Young employees and students from abroad fuelled demand for kindergartens, universities and schools, while the ageing population requires higher capacities and standards in hospitals and retirement homes. The non-residential sector is difficult to forecast. A growing population, thanks to immigration, and an ageing population both require more investment. On the other hand, the Covid-19 pandemic has slowed the economy, which may be supported by the huge amounts of government investment and incentives. These factors and how they will play out in the coming months create a difficult scenario to forecast.

II.2 Key Figures

CH - DEMOGRAPHICS AND HOUSEHOLDS

Value	Year
Segmentation	Category
Demographics	Population (% Rural)
	Population (% Urban)
	Population ('000)
Households	Average Size (Persons h/h)
	Total ('000)
Persons per Household (% of Total)	1
	2
	3
	4
	5+

Source: BRG based on Country Statistics.

II.3 Macroeconomic Trends and Forecasts

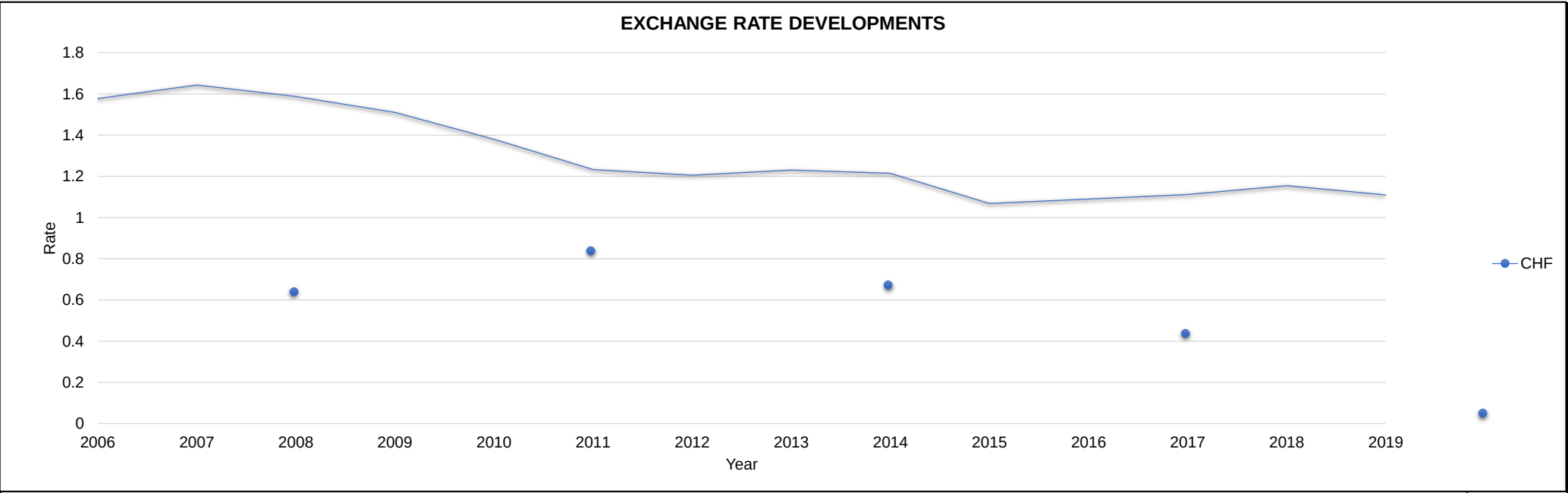
CH - KEY MACROECONOMIC INDICATORS

Value	Year																			
Category	2002	2003	2004	2005	2006	2007	2008	2009	2010	2011	2012	2013	2014	2015	2016	2017	2018	2019	2020	2021
Consumer Price Index (% change)	0.60	0.64	0.80	1.17	1.06	0.74	2.43	- 0.48	0.69	0.23	- 0.69	- 0.22	- 0.01	- 1.14	- 0.43	0.54	0.94	0.36	- 0.39	0.60
GDP (% change)	0.40	0.08	2.62	3.16	4.08	4.11	2.11	- 2.23	2.88	1.83	1.01	1.88	2.48	1.27	1.71	1.86	2.74	0.92	- 5.97	3.78
Government Balance (% of GDP)	- 1.20	- 1.39	- 1.43	- 0.67	0.86	1.60	1.93	0.50	0.36	0.74	0.38	- 0.43	- 0.21	0.65	0.33	1.23	1.39	0.89	- 5.06	- 1.90
Household Saving Rate (% of Disposable Income)	10.70	13.27	12.32	12.80	14.52	16.09	15.43	15.80	15.71	16.77	17.35	17.53	18.88	18.22	17.79	17.32	17.34	17.65	17.58	17.30
Private Consumption (% change)	0.10	0.43	1.72	1.59	1.41	2.38	1.46	1.31	1.74	0.74	2.32	2.63	1.29	1.74	1.41	1.25	0.96	1.10	1.43	1.53
Unemployment Rate (%)	3.20	3.69	3.88	3.76	3.33	2.77	2.58	3.70	3.52	2.84	2.91	3.16	3.04	3.18	3.32	3.09	2.55	2.31	2.73	2.60

Source : IMF and OECD.

N.B. No data available beyond 2021 at the time of publication

II.4 Historical and Current Exchange Rates
CH - EXCHANGE RATES : HISTORICAL AND CURRENT

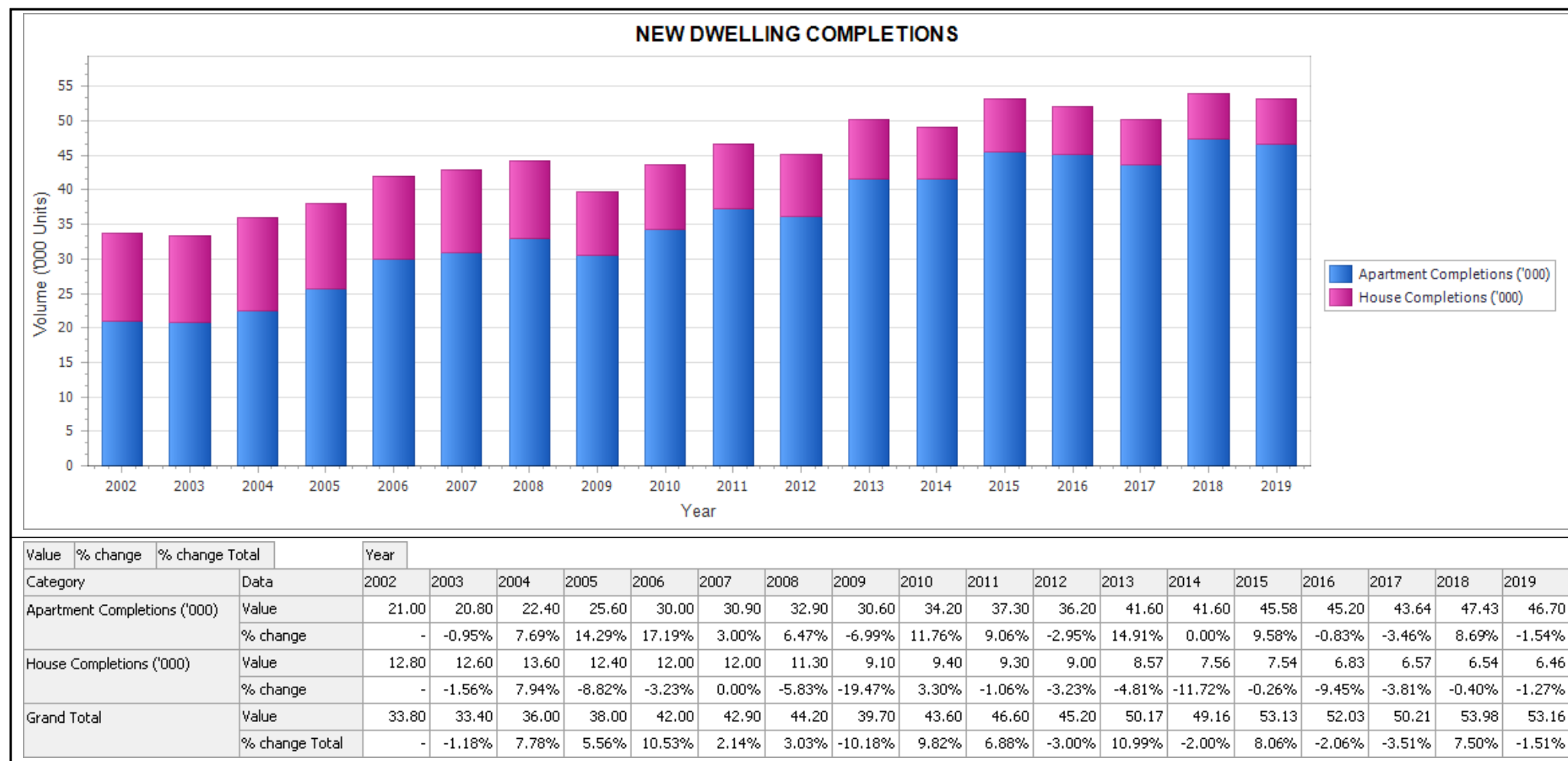


Local Currency	2006	2007	2008	2009	2010	2011	2012	2013	2014	2015	2016	2017	2018	2019
EUR / CHF	1.5773	1.6432	1.5874	1.51	1.38	1.23	1.21	1.23	1.21	1.07	1.09	1.11	1.15	1.11
% change	-	4.18%	-3.39%	-4.86%	-8.62%	-10.63%	-2.28%	2.11%	-1.30%	-12.06%	2.05%	1.99%	3.89%	-3.89%

Source: OANDA
The Swiss Franc (CHF) is the Currency of Switzerland. The Exchange Rates Shown are the CHF to the EUR.

II.5 New Dwelling Construction

CH - NEW DWELLING COMPLETIONS : HISTORICAL AND FORECASTS ('000 UNITS)



Source: BRG based on Country Statistics.

N.B. Due to the current uncertainties regarding the economy and construction, BRG is unable to provide an outlook for residential completions.

II.6 Dwelling Stock by Type and Tenure
CH - DWELLING STOCK BY TYPE AND TENURE ('000 UNITS)

Value		Year
Segmentation	Category	2019
Dwelling Stock by Type	Apartments (%)	77.01
	Apartments ('000)	3 530.00
	Houses : Rural (%)	15.12
	Houses : Rural ('000)	693.00
	Houses : Urban (%)	7.88
	Houses : Urban ('000)	361.00
Dwelling Stock by Tenure	Primary Owned (%)	25.63
	Primary Owned ('000)	1 175.00
	Primary Rented : Private (%)	49.87
	Primary Rented : Private ('000)	2 286.00
	Primary Rented : Public (%)	10.58
	Primary Rented : Public ('000)	485.00
	Secondary (%)	12.28
	Secondary ('000)	563.00
	Vacant (%)	1.64
	Vacant ('000)	75.00

Source: BRG based on Country Statistics.

II.7 Overview of Impact of COVID-19 on Forecasts

CH – OVERVIEW OF IMPACT OF COVID-19 TO DATE

Start of the lockdown [easing]	On 13 th March 2020, the Federal Council decided to cancel classes in all educational establishments and banned all events. Three-phase plan for a return to normality: Since 11 th May schools, shops and markets, travel agencies, museums and libraries, restaurants, bars and pubs reopened, and activities such as exams at educational institutions and some recreational sports allowed. The third phase started on 8 th June, with activities such as upper secondary and higher education, theatres and cinemas, religious services, and gatherings of more than 5 but less than 1,000 people again permitted.
Number of officially confirmed cases	33,742 confirmed cases (1,972 fatalities) as of 22 nd July. Total population (2019): 8.5m
General measures in place to support the economy	March & April 2020: CHF 40 billion (€36 billion) & CHF 20 billion (€18 billion) of state aid approved. Main focus: - Support for employment and workers - Provision of credit to families and SMEs - Suspension of tax payments
Statistics on affected individuals (unemployed or temporarily off work)	Unemployment rate rose to 2.9% in March, from 2.5% in February, as the government's efforts to avoid new coronavirus-related layoffs with a shorter working hour scheme seemed to be paying off so far.
Measures in place to mitigate economic impact on INDIVIDUALS	The short-time work compensation covers 80% of the recognizable loss of earnings. The maximum insured income is CHF 148,200 per year. The short-time work compensation can be paid for a maximum of twelve months.
Statistics on affected companies (% of total forced to suspend activities)	Activities exempt from the government closure were: food retailers, pharmacies, hardware stores, corner shops, petrol stations, post offices and banks.
Specific measures affecting BUILDING CONSTRUCTION and RMI	Safety guidelines need to be followed on construction sites. DIY stores are closed. RMI has suffered due to the avoidance of letting tradespeople into homes. Installer stopped maintenance for heating products.
Measures in place to mitigate economic impact on COMPANIES	Affected companies can apply to their banks for bridge credit facilities representing a maximum of 10% of their annual turnover and no more than CHF 20 million.
Other	As with most countries, the number of people actually infected with COVID-19 in Switzerland is likely to be much higher than the number of confirmed cases, especially as, since 6 th March 2020, the Swiss government has had an official policy of not testing people with only mild symptoms.

Sources:

- <https://www.bag.admin.ch/bag/en/home/krankheiten/ausbrueche-epidemien-pandemien/aktuelle-ausbrueche-epidemien/novel-cov/massnahmen-des-bundes.html>
- https://www.swissinfo.ch/eng/covid-19_coronavirus--the-situation-in-switzerland/45592192
- <https://home.kpmg/us/en/home/insights/2020/03/tmf-switzerland-tax-measures-response-coronavirus.html>
- <https://www.whitecase.com/publications/alert/covid-19-swiss-government-financial-assistance-measures>

SWITZERLAND

DISTRIBUTION

THE EUROPEAN BATHROOM & KITCHEN PRODUCT MARKETS



Overview

In Switzerland, the distribution of bathroom products is traditionally dominated by wholesalers. The amount of direct supply to installers is comparably low, because of the power of the wholesalers' association. In general, it is significantly hard for anybody to bypass the three-step distribution structure. Nevertheless, in recent times this system has been beginning to smooth down slightly; the German online bathroom shop PROFI BADSHOP opened a branch in Switzerland a few years ago, and BADDIREKT is a Swiss online shop used exclusively for bathroom products from leading manufacturers – which also opened a couple of years ago. In return, installers complain that end users purchase cheaper products online, after they have first consulted with an installer. Overall, this situation makes the wholesaler's role considerably more difficult. As a result, wholesalers prefer to sell product series that are exclusive to them. In this way, they try to avoid consumers opting for the cheaper prices from online suppliers.

Traditionally, DIY stores have played hardly any role in the distribution of sanitary products in Switzerland, as most jobs must be carried out by professional installers due to extremely strict regulations. Furthermore, most dwellings are rented, which limits interest in DIY from tenants, who are usually not allowed to modify their dwellings. Therefore, a 'do-it-yourself' culture is not as prevalent as in neighbouring countries. In fact, Switzerland is believed to have one of the smallest shares of DIY in the whole of Europe.

As far as specialist retailers are concerned, these only represent a small influence in the bathroom distribution channel, with an exception being made for the hydrotherapy category; it is estimated that a significant share of these products are channelled through the specialist retail market. Bath shops are gaining increasing popularity by offering a complete package that starts from an attractive display of the product offer, through appropriate exhibition areas, individual and competent advice, and ending with consultation on the selection of all bathroom products. The bath renovation expert VITERMA provides bathroom renovations within 24 working hours. This market leader in Switzerland and Austria not only guarantees fast, but also clean and silent, solutions. VITERMA only renovates old bathrooms and mainly replaces old baths with shower solutions. Additionally, it does entire bathroom renovations and targets elderly homeowners, who are looking for a bathroom that is user-friendly and easy to clean. In Switzerland the company has its own installers, who obtain products from wholesalers.

Wholesale Level

The distribution of bathroom products in Switzerland is almost exclusively channelled through the sanitary wholesalers, called *Sanitärfachgroßhandel* or *grossistes sanitaires*. There are almost no combined sanitary and heating wholesalers, in contrast to Germany, the UK and France. Therefore, apart from kitchens, sanitary wholesalers do not sell anything other than bathroom products.

An exception to this is GC HAUSTECHNIK AG SCHWEIZ, which began to provide its services for sanitary, heating, air-conditioning and installation in Switzerland in 2016. Distribution has historically been a key topic in the Swiss bathroom industry and this continues to be the case, as the market is dominated by a single wholesaler. The structure of wholesale is constantly under review, with the value of the three-step distribution channel being called into question. In addition to installers, DIY stores carry out installations too. The chain JUMBO-MARKT AG offers installation services for showers and baths, and online bath renovation experts such as VITERMA offer renovation services directly to the end consumer.

Manufacturing companies have learned that installers play an important role in the decision-making process of the final consumer, especially in the luxury bathroom sector. Some companies are developing closer relationships with installers to promote their products in the lucrative upper market segment. Several websites offer bathroom solutions and companies are targeting different segments, such as 'silver agers' with accessible baths, high-income consumers with luxury baths, and lower-income consumers with inexpensive solutions. Nevertheless, wholesalers are clearly dominating the market due to their exhibition spaces and major presence at trade fairs. The distribution of bathroom products is traditionally dominated by local wholesalers, as historically, large European building product wholesalers did not see extensive potential in Switzerland. In recent years, however, Switzerland has seen an increased international involvement in Swiss sanitary distribution. In fact, foreign wholesalers can offer the same products at a lower price, because they have fewer costs compared to the Swiss wholesalers in terms of labour, warehouse rent, etc.

The Swiss market is shared between a limited number of wholesalers, of which the main one is SANITAS TROESCH, which has a national coverage even though its focus is the German-speaking part of Switzerland. In fact, due to the topography of the territory and the four official languages spoken in the country, it is quite difficult for wholesalers to offer national coverage. SANITAS TROESCH has six distribution centres, 30 stores and 18 exhibition spaces that offer only bathroom products, plus a further 11 exhibition spaces destined for kitchen products, throughout Switzerland (latest data available).

CRH SWISS DISTRIBUTION, which emerged from the takeover of GÉTAZ ROMANG by the Irish building materials group CRH in 2017, is believed to be the second-largest wholesaler in Switzerland. This wholesaler is particularly strong in the French part of Switzerland, although it is present in all four language regions. CRH SWISS DISTRIBUTION consists of the following brands: BAUBEDARF, RICHNER, GÉTAZ, MIAUTON, RAPIN MIAUTON, GLASSON MIAUTON, and REGUSCIRECO. They are represented at 120 locations in Switzerland, with a total of 39 exhibition spaces. SANITAS TROESCH and CRH SWISS DISTRIBUTION together are believed to have more than 50% market share.

PLAETTLI GANZ is the third-biggest wholesaler, and is part of the family-owned GANZ GRUPPE. GANZ combines five companies at six locations. SABAG AG in Biel mentions on its website that it is the biggest family-owned company for the

building material trade in Switzerland. There are several other smaller players in the wholesale channel that have regional significance only. SHS HAUSTECHNIK AG in Affoltern communicated online that it was the biggest distributor between Zug and Zürich, and INNOSAN SA serves mainly the Italian-speaking part of Switzerland and has its headquarters in Manna. SANIDUSCH AG is in Wettingen, and SANTAG AG is in Thun. DEBRUNNER ACIFER is part of the KLÖCKNER-GRUPPE, which operates nationwide and offers primarily steel and metal products. According to the Swiss Competition Commission in 2018, around 81% of all sanitary products are distributed through wholesalers to installers – and an additional 5% to specialist stores.

Retail Level

DIY Retailers

Although Switzerland's German-speaking neighbouring countries have some of the world's largest DIY markets, this consumer behaviour has not been passed on to the Swiss population. A reason that prevents demand for DIY stores in Switzerland is the fact that regulations are strict and Swiss consumers do not dare to carry out sanitary installations themselves. In general, the Swiss are reluctant to carry out any significant installation, whether this has to do with electricity, water or heating, or any other installation that may be dangerous if not installed correctly. Furthermore, most dwellings are rented out, which limits possible interest in the DIY sector. Foreign DIY chains need to develop special concepts and strategies before entering the Swiss market. Although it is a small country, it is very diverse in terms of culture and topography, with four different languages (German, French, Italian and Rhaeto-Romanic), which influences distinct consumer behaviours.

In the conurbations like Zurich, Berne and Geneva, DIY stores are already accepted; however, in rural areas DIY stores have yet to reach any significant level of penetration. Generally speaking, Swiss people have the opinion that the quality of DIY products is low. The main obstacle to selling bathroom products in DIY stores is the lack of service and advice. In recent years, DIY stores have been increasing their share of the overall distribution market, with higher shares of sales in areas along the border such as Geneva, Basel and Ticino. Gradually, the role of the DIY chain is changing with, for instance, OBI providing an installation service. In this way, DIY stores are slowly aiming to accommodate professional workmen, sometimes with separate departments for amateur and professional equipment.

The Swiss DIY market is becoming more diverse as foreign DIY chains enter the market. German chains are expanding and OBI, which has 11 stores, is the leading foreign DIY chain in the country, followed by HORNBACH and BAUHAUS. HORNBACH has seven stores in Switzerland, with a total retail area of over 75,000 m². The stores each have a surface area of between 10,000 to 14,000 m² and offer around 60,000 products. The German BAUHAUS opened its first specialist centre of 11,400 m² in Niederwangen in 2006. BAUHAUS operates four stores and covers the regions of St. Gallen, Berne, Fribourg and Zurich.

COOP BAU+HOBBY is the biggest DIY chain in Switzerland, with a total of 81 DIY stores/garden centres in 2019, which are situated all over the country. COOP BAU+HOBBY is the DIY and garden centre branch of the COOP group. It introduced an online shop in 2014, which was the first DIY online store in Switzerland. JUMBO-MARKT AG is believed to be the second-largest DIY chain in terms of revenue. JUMBO has 40 outlets and belongs to the MAUS FRÈRES HOLDING. MIGROS is OBI's Franchise partner in Switzerland and has a stake in 11 OBI outlets. In fact, the first OBI stores were founded in Switzerland in association with MIGROS in 1999. Much of the floor space is integrated into the MIGROS supermarkets and hypermarkets but MIGROS has also developed its M-PARC concept with a much broader and deeper DIY product range, including heavy DIY materials. According to press releases, OBI plans to increase the number of stores in Switzerland to 15-20 in the next few years to build a better network across the whole country and to be closer to potential customers. DO IT BAUMARKT is also present, with some outlets in the Italian and German-speaking parts of Switzerland.

Installers

There are some 3,500 active members of SUISSETEC, the biggest association for plumbers and installers of sanitary and heating equipment. The association has nationwide coverage through activities in 52 regional sectors. Overall, approximately 4,500 companies with 33,000 employees operate within the heating, ventilation and air conditioning sector. Approximately 2,500 companies are verified as being competent to install gas systems.

Internet Retailers

Even if not all markets and products are believed to be suitable for online sales due to their peculiarities, purchases via internet retail stores have increased for the bathroom market over the last few years, and the phenomenon seems to be growing further. It is expected that new internet retailers will emerge and that existing ones will increase their share of offered heating appliances over the coming years, as the internet is becoming established as an alternative distribution form. Various online shops such as MEGABAD, PROFI-BADSHOP, and BRINGHEN sell bathroom products through a website. As previously mentioned, online bath renovation experts provide entire bathroom solutions. Internet stores have a market power, due to their price transparency approach. They are a source of information regarding prices, which the consumer uses as a reference for decision making. The main target groups for online platforms are homeowners who opt for renovations, and individuals who build their own houses. Non-residential project developers and professional landlords are unlikely to buy online. According to the Swiss Competition Commission, over 4% of all sanitary products were sold directly from manufacturers to end consumers in 2019.

III.2 Summary of Leading Distributors

CH - SUMMARY OF LEADING DISTRIBUTORS

CH - SUMMARY OF LEADING DISTRIBUTORS																						
Holding	Trading Name	Distributor Type	General Product Orientation Profile	Turnover		Home Market Coverage		Specific Product Orientation (all figures are in %)														Buying Group Affiliation
				Year End	EUR million	No. of Depots	Geographical Coverage	Specialist						Specialist					Other			
								Total	Heat	Bath	Plumbing	Vent/Aircon	Tiles	Total	Building Materials	Timber	Insulation	Roof	Other	Specify		
WALTER MEIER HOLDING	WALTER MEIER AG	Specialist Merchant	Heating, Sanitary/ Plumbing, Tiles &Vent/Air Con	2019	471	35	National	xxx	xx			x										
VESCAL	NEUTHERM AG	Specialist Merchant	Heating				National	100%	100%													
COOP	COOP Bau + Hobby	Mixed Merchant	DIY Assortment	2019	530	81	National	xxx		xx			x	x	xxx				xx	Gardening, Kitchens		
CRH	BAUBEDARF AG	Mixed Merchant	Mixed Merchant	2010	141	40	National	x		x	x		x	xxx	xx	x						
CRH GÉTAZ HOLDING AG	MIAUTON GROUP	Mixed Merchant	Mixed Merchant			30	French-speaking Switzerland	xx	xx	xx				xx	xx	x					EURO-MAT	
MIGROS	MIGROS DO IT & GARDEN	DIY Retailer	DIY Assortment	2011	230	46	National	xx	x	x				xxx					x	Gardening		
TENGELMANN	OBI BAU- UND HEIMWERKERMÄRKTE SYSTEMZENTRALE GMBH	DIY Retailer	DIY Assortment	2017	487.9	11	National	xxx	xx	xx				xxx	x	xx			x	Gardening		
GC GRUPPE	GC HAUSTECHNIK AG SCHWEIZ	Mixed Merchant	Mixed Merchant			3	National	xxx	xx	xx	xx	x	x	x			x	x				
BOSCH	BUDERUS GROSSHANDEL	Specialist Merchant	Heating / Ventilation			12	National		xx			x										
PHILIPPE MARECHAL SA	PHILIPPE MARECHAL	Specialist Merchant	Heating / Sanitary	2013	4.1	1	French-speaking Switzerland		xx	xx												

Source: BRG based on company information

x = marginal activity

xx = substantial activity

xxx = core activity

SWITZERLAND

BATHS AND SHOWER TRAYS

THE EUROPEAN BATHROOM & KITCHEN PRODUCT MARKETS



Market Characteristics and Technological Trends

Since the late 1800s baths have been around on the Swiss market, but it only started to grow significantly after the Second World War, due to the building boom in residential dwellings equipped with individual bathrooms, in which showers were also introduced to the mass market. In the previous decade the Swiss bath and shower tray market experienced a slight growth, which came to a halt during the global economic crisis in 2009. The Swiss bath and shower tray market has, however, never severely felt the impact of the crisis, as it started to slightly grow again from 2010 onwards. The overall market is mature and highly dependent on cyclical drivers such as private consumption growth and construction activity. Historically, both baths and shower trays were mainly cast iron, but this changed significantly in the 1960s when enamelled steel products were introduced to the market. Ever since, high-quality steel products have dominated the market in Switzerland and cast-iron products have developed into a small niche market. Sales of cast-iron baths are concentrated in the French-speaking part of Switzerland and are mainly positioned in the high price segment, with sales remaining low.

In comparison to most European countries, steel products dominate the overall market; whereas in most European countries, synthetic baths and shower trays are the most popular types. Synthetic products are less common in Switzerland, as Swiss consumers consider these types of products less hygienic and less durable in comparison to products made of steel. Synthetic products gained market share, to a certain extent, when they were first introduced to the market in the 1970s, as they provided advantages in terms of form and colour. However, they never grew to become as popular as in other European countries, as their steel counterparts are of higher durability. Steel shower trays are more resistant to scratches and, therefore, are more durable than synthetic ones. It is expensive to have a bathroom installed in Switzerland, because the law requires that it be carried out entirely by a registered plumber. As a result, Swiss consumers prefer to pay more for superior quality and long-lasting products to make sure that they will not have to replace their bathroom more often than every 20 to 25 years. Nowadays, even the cheapest baths are made from steel, and synthetic share is declining further. It is worth mentioning that epoxy granite (or mineral casting) is gaining popularity in the Swiss market, especially in the shower tray category. It is considered, among others, to be easier to install and, therefore, preferred by installers. Epoxy granite is also used for baths, which are then usually walled-in.

Over the last decade, bath and shower tray sales were challenged by different trends. With decreasing household size and space constraints, and growing time pressure for individuals, an increasing number of flats are now fitted with a shower rather than a bath. This is especially the case in lower and medium-priced dwellings, which typically face greater space restrictions. However, one- and two-family dwellings, which have on average more than one bathroom, still contain both baths and shower trays. On the other hand, the shower tray market has been

challenged by the development of wet rooms, which do not require the use of a shower tray as they use so called walk-in showers. However, the share of walk-in showers grew strongly in recent years, but is expected to not grow any more, as residents found it to be problematic. It looks modern and stylish as well as having ease of accessibility and the popularity was growing, but this trend stopped as walk-in showers caused many issues such as drainage problems damaging the substance of the house. As a result, walk-in showers are now prohibited in wooden houses, which are popular in Switzerland. Other experiences such as hygiene issues in joint/groove between the tiles caused a further decline in demand for walk-in showers. However, considering the park and the high penetration of bath and shower trays in Switzerland, both markets can be defined as saturated and to have reached their highest market potential.

It is important to mention the presence of a specific law, the SIA norm 181 *Schallschutz im Hochbau/Protection contre le bruit dans les bâtiments* (noise prevention in building construction), which is aimed at noise prevention within new Swiss buildings. Based on this regulation, shower trays and baths must have a special insulation in order to not bother neighbours with unwanted noise. The SIA norm 181, however, has not had a detrimental effect on sales of baths and shower trays, contrary to what happened in the hydrotherapy bath market.

Recent Market Trends

The Swiss bath and shower tray market is mature and highly dependent on cyclical drivers, such as the macroeconomic situation and the Swiss construction industry. Moreover, both the bath and shower tray markets have been challenged by different trends in the last few years. The average household's size continued to decrease further in 2019, which caused demand for increasingly smaller dwellings with limited space in bathrooms. At the same time, the trend towards showering, away from bathing, is still going on in the country. This development can be explained by an ongoing substitution trend away from baths towards shower trays. Nowadays, there are no new buildings without showers anymore, unless it is construction with a very low budget. If a dwelling has two bathrooms, then it is likely that one bathroom is equipped with a shower and another with a bath. To have both a shower and a bath in one bathroom is not common due to the limited bathroom size. The number of bathrooms is influenced by the number of bedrooms and houses tend to have more bedrooms than apartments do. Whereas most apartments have about two to three bedrooms, most houses or private apartments have five to six bedrooms.

There is a clear trend that influences the substitution of baths with shower trays in the renovation segment. This is linked to the end consumer's preference for showering instead of taking a bath. It is estimated that around 80% of the Swiss population prefer showering to bathing. If there is no space to equip a property with a second bathroom or an additional shower, then the old bath is replaced with a bigger shower. A bath is only replaced when it is still needed, e.g. for bathing small children. In fact, elderly homeowners tend to replace their old bath with a new shower that is easy to clean and comfortable to use. The company VITERMA

specialises in this market segment, and the company is very successful in providing complete bathroom renovations. In Switzerland the company has its own installers, who work directly with consumers. About 98% of their jobs are to replace an old bath with a new shower system.

Bath sales declined in 2019 and the overall shower tray sales volume stayed the same, considering a decline in new housing completions. The trend away from bathing towards showering reflects a big potential for shower tray demand, but the cannibalisation from so called walk-in showers, which consist of tiled floors that use a shower drain, slowed down the sales of conventional shower trays. Walk-in showers are a significant competitor for shower trays, especially in the new build segment, and they have been contributing to a drop in shower tray sales. However, up to a few years ago, it was stylish and economically more effective to have a walk-in shower, but due to growing awareness regarding their potential disadvantages the popularity of walk-in showers started to decline, which was the case again in 2019. The drain attack of the water to the substance of the house and hygiene issues in joint/groove between the tiles declined the demand on walk-in showers further in 2019, but it still cannibalised significantly the number of shower trays.

Regarding models of bath and shower trays, steel products are dominating the market in Switzerland. Considering the Swiss are not price driven and prefer high quality products, the more expensive steel baths and shower trays continued to dominate the overall bath and shower tray markets in 2019. Swiss love the sustainability of the steel tubs and showers, whereas synthetic models can turn yellow over time, get soft or start to shake. KALDEWEI, who is the dominating manufacturer and other steel products suppliers, offers a warranty of 30 years for their steel bath and shower trays. The longevity of steel products as well as the ongoing marketing from KALDEWEI and BETTE is the reason why steel products continued to further dominate the markets in Switzerland. In Swiss showrooms steel is always suggested and this could be predominantly down to KALDEWEI and BETTE, which invite thousands of planners and salesmen per year to their factories and demonstrate to them the superiority and advantages of steel.

Considering the good quality and active marketing for steel products, the trend towards freestanding baths brings a big challenge for steel baths. In 2019, the share of freestanding models, which are almost all made of mineral cast material and cast iron, increased further. Within synthetic models, acrylic materials are still dominant, but the share of mineral cast continued to grow further in 2019. The trend for mineral cast shower trays has become evident, as well as a trend for patented high-tech material (i.e. epoxy granite and Quaryl) from manufacturers such as VILLEROY & BOCH. The advantage of mineral cast is that installers can tailor-cut it easily and adjust it to available space during a renovation. Mineral cast shower trays are easy to install, although the material itself is heavier than acryl. An installer who uses a mineral cast product is likely to prefer it in future. In fact, during the past few years acrylic shower trays have been increasingly replaced by mineral cast shower trays. Demand for acrylic has declined significantly, and it is considered to be cheap and of low quality. In fact, mineral cast is regarded to be a

competitor for steel products.

It is worth mentioning that combined products, i.e. baths with a door to be used as a shower, have been gaining market shares. This development emphasises the growing popularity of showering alongside bathing. In the case that a bath is required and there is not enough space to install a shower, combined products prove to be a successful solution. Nevertheless, demand for this product is limited and it is likely to remain a niche product.

In 2019, sales for hydromassage baths declined slightly, when compared to the previous year. It is worthwhile to mention that, in this market, products that comply with the SIA norm 181 have a significantly high demand when compared to the rest of the products. Nevertheless, even with the SIA norm 181 the demand for this product is still very limited.

Prices and Market Values

The baths products market in Switzerland is characterised by a high price level, one of the highest in Europe. However, since the slowdown in the Swiss economy in 2019, most consumers have become more price aware. Rather than looking for quality, an increasing number of consumers are looking for the best product with the cheapest price. The level at which consumers buy outside Switzerland has increased during recent years. It is expected that about 10% of all bath products in Switzerland are bought abroad. List prices are commonly used as the basis for price negotiations in Switzerland, both for purchasing (by the wholesaler from the manufacturer) and selling (by the wholesaler to the installer). Many manufacturers have a specified rate that they use as a basis for their negotiations with wholesalers. However, typical discounts on list prices for bath products vary between cheap and expensive products, with typical discounts on list prices ranging from 45% to 55%.

There are some clear differences in the importance of price segments for the different bath types sold on the Swiss market. Cast iron baths, for example, are all sold in the upper price segments of the market, and are mostly sold by specialist retailers. These are significantly more expensive than their steel and synthetic counterparts, and are regarded as luxury items. The trend away from middle towards upper and lower priced products continued in 2019. This was due to the fact that the gap between upper and lower income households increased further in Switzerland. Households with higher income focus more and more on comfort and are ready to extend their spending for their bathrooms. On the other hand, the number of households with low incomes is also increasing. The latter are looking for cheap solutions, which explains the growing trend towards lower priced products. On top of that, the growing share of the DIY channel, which offers a wide range of products, also supports the trend towards increasing importance of the lower price segments.

Steel shower trays are not regarded as a commodity product in Switzerland. The steel shower trays (like steel baths) sold in Switzerland are all high-quality

products, ranging from low cost to upper segments. As a result, the price level is significantly higher than in other European countries, such as neighbouring Austria and Germany. Steel products in the non-housing segment are mainly installed in new guesthouses, hostels, hotels and hospitals, because of their strength and durability. However, demand in non-housing is limited due to the cannibalisation from walk-in showers. As previously mentioned, demand for more expensive mineral cast shower trays has been replacing cheaper acrylic products. This development leads to a growing market value and an increase in average MSPs.

New Housing

Switzerland has one of the highest shares of renters in Europe. Only around 40% of constantly-occupied dwellings are inhabited by their owners. The low homeownership rate, which is the lowest among all the EU countries, can largely be attributed to high house prices in relation to rents and incomes. The Swiss construction market is characterised by a decline in collective dwelling and stable one- and two-family house completions in 2019. However, the overall number of completions remained high, in comparison to the historical completion numbers.

The shift away from baths towards shower trays has been impacting the overall bath and shower tray market in the new build sector for several years. The number of bath installations declined in 2019, whereas the share of shower tray installations in new buildings slightly increased. In recent times the share of walk-in showers was growing but its peak is over and the trend goes more towards shower trays now. At the beginning it was stylish and economically more effective to prefer a walk-in shower, but due to growing awareness regarding disadvantages, the popularity of tiled showers reversed. The drain attack of the water to the substance of the house and hygiene issues in joint/groove between the tiles reduced the demand for walk-in showers further in 2019. Looking at details and models, demand for both steel and synthetic baths decreased in 2019. It is expected that demand for both steel and synthetic baths are going to decrease further over the forecast period.

Steel shower tray sales to new dwelling completions in 2019 slightly decreased in comparison to the previous year, whereas sales of synthetic shower trays increased. This development is linked with the growing popularity of mineral cast, which is slowly taking away share from steel products, particularly within the upper segment. Ceramic shower trays, which are a niche market, slightly declined in 2019 and demand is believed to be negative during the forecast period.

Only a minor share of demand for wellness products comes from new housing. The main reasons for this are high upfront investment costs due to the products being expensive, and installation having to be in accordance with the noise prevention norm No. 181 within new dwellings. Compared to other European countries, however, the portion of hydrotherapy products that goes into this end-use sector is still relatively high. This can be explained by Switzerland's number of wealthy people, who would have the financial means to have a wellness product installed when building a new house. Moreover, manufacturers have noticed an increasing

demand for hydromassage baths from new housing, especially in the upper market segment. If consumers decide on a bath, they are more likely to convert it into a hydromassage bath when financial means are available.

Housing RMI

Housing RMI remained the strongest market driver of baths in 2019, with almost three quarters being installed in renovated bathrooms. Nevertheless, sales of steel baths decreased when compared to the previous year, because of the ongoing shift towards large and barrier-free showers. Older homeowners especially, being left alone without their children, are likely to prefer a more easily accessible shower to a bath, particularly if a barrier-free bathroom is desired.

In 2019, shower tray sales to housing RMI stayed stable for steel and ceramic shower trays, but slightly declined for synthetic products. Synthetic shower trays made from mineral cast are a growing market, as the Swiss consumer prefers high-quality products that are easy to maintain. It is believed that most synthetic shower trays are made from sanitary acryl and the share of mineral cast is quickly increasing. Sales of steel shower trays have profited from the overall trend for showering and demand slightly increased in 2019 when compared to 2018. Like in past years, shower trays could profit more from the RMI investments than baths as, increasingly often, shower trays are replacing baths in bathroom renovations – to suit the over-55 generation, for example. To ensure accessibility, new product line innovations were launched, such as super flat, large scale and extra grip surfaces. Additionally, it is important to mention that walk-in showers are still popular when it comes to bathroom renovations. Even in rented apartments, walk-in showers minimise sales of shower trays as they are popular among Swiss consumers, even though the wet room ratio started to decline, due to the aforementioned reasons.

The replacement end-use segment represents the most important source of demand within the hydrotherapy market. The reason for this is that some homeowners decide to have a wellness product installed in their basement, gym room or even bedroom. This might happen independently from a bathroom renovation. Traditional bath manufacturers increasingly offer high-quality synthetic baths with customised functions, providing end users with a greater choice of materials, designs, functions and prices. In 2019, demand for hydromassage baths in this segment slightly declined.

Non-Housing

According to EUROCONSTRUCT, the overall non-residential construction sector remained strong in 2019. Growing demand is primarily accredited to the healthcare, education and industrial sector, while agricultural and storage buildings are contracting. Hospitals, health institutions and educational institutions profit most from the construction activity, as they evolve dynamically to satisfy the demands of a growing and ageing population. Next to hospitality facilities, hospitals are the non-housing segment that requires most shower trays. However, it is important to highlight that an increasing number of buildings for hospitality and health are

equipped with wet shower room solutions. Therefore, a significant number of shower tray sales are lost, also, in the non-housing sector.

Additionally, the hotel industry is booming in Switzerland, with numerous new developments and renovations. Over 3,500 new and renovated hotel rooms were added to Switzerland's tourism supply in 2019 alone. In accordance with an overall positive non-housing development, sales of all product types increased in the past year. Synthetic shower trays are less frequently found in non-housing properties. Steel shower trays are regarded as a product with a higher quality and, consequently, a longer lifespan than their synthetic counterparts. Especially in buildings dedicated to hospitality it is, therefore, more common to find steel shower trays. Nevertheless, sales of products for non-housing only slightly increased, due to competition from walk-in showers in hotel bathrooms. Additionally, synthetic shower trays are slowly growing in volume – with mineral cast shower trays becoming more popular.

Supply Structure

In the steel bath and shower segments, KALDEWEI and SCHMIDLIN are dominating the field. Thanks to their powerful position, the two producers manage to keep the prices on a profitable level and have, in the recent past, made the products attractive for installers again. KALDEWEI is one of the companies responsible for expanding the variety of shapes and colours of steel baths and therefore, indirectly, for the boom in the overall market. KALDEWEI imports its products from Germany and has just one sales office in Aarau, northern Switzerland. SCHMIDLIN is the only domestic manufacturer present on the Swiss market.

All cast iron products are imported and mainly come from Poland, Portugal and China. Ceramic shower trays represent a niche product, which is supplied by only a few manufacturers. In fact, this market remained dominated by VILLEROY & BOCH in 2019 with its product called ViPrint. End users can choose among individual styles to be printed on their new ceramic shower trays to individualise their own bathroom design.

The synthetic bath and shower tray market is more fragmented than the steel market. Most synthetic baths are supplied by German manufacturers. BADELUX is the only large Swiss manufacturer. The synthetic bath segment is dominated by the manufacturer DUSCHOLUX. In addition to these, there are also other foreign and domestic suppliers that sell small volumes of synthetic baths. These are mainly sold via construction companies and other contractors. The high share of 'others' in the synthetic baths and shower trays market is due to the strong position of wholesalers with private label sales. Moreover, in 2018 the manufacturer BEKON-KORALLE (which was first taken over by GEBERIT in the course of SANITEC's acquisition in February 2015, and then officially acquired by AFG ARBONIA on 1 July 2016) left the synthetic bath and shower tray market.

As with all the sanitary products on the Swiss market, baths and shower trays are almost exclusively distributed via three-step distribution. Sales via DIY and the internet are still highly discouraged, partly due to the very strict regulations that require sanitary installations to be carried out by a registered plumber.

The overall hydrotherapy market used to be dominated by BADELUX and DUSCHOLUX, and by other domestic producers and manufacturers from neighbouring countries – such as the German HOESCH. In response to overall declining demand, several players have left the hydromassage bath market – such as BEKON-KORALLE (which was first taken over by GEBERIT in the course of SANITEC's acquisition in February 2015, and then officially acquired by AFG ARBONIA on 1 July 2016) and HANSGROHE. The high share of 'others' in the hydrotherapy cubicle segment mainly includes sales from manufacturers from Eastern Europe and Asia. These products are distributed through DIY stores, and they have been gaining market share in the past few years.

The Austrian POLYPEX experienced some financial difficulties and lost significant sales volumes in 2019, in comparison to 2018.

Forecasts

Given the exceptional circumstances related to the spread of the COVID-19 virus and measures in place for its containment, forecasts for 2020 and beyond are based on the latest information available at the time of publication. BRG has attempted to factor in the latest developments – see Macroeconomic data in Table II.3, and supporting summary table at the end of the Background section.

In the first two months of 2020, overall sales have continued their trend from 2019. The warm weather meant that usual breaks during cold winter days in the construction industry were not present in Q1 2020, and installers continued to work as usual. However, in March 2020, the overall situation in Europe changed in many cases. Similar to most of the European countries, the worldwide COVID-19 pandemic slowed down the Swiss economy. From March onwards most of the non-essential activities in Switzerland were on hold for several weeks. The tourism industry, which represents a big demand on baths products, was heavily affected, as hotels and restaurants were fully closed. Many of them struggled to survive, due to the lack of income during this time, which should decline the financial availability for the needed bathroom renovations. Moreover, apart from online sales, all other distribution channels were restricted and working hours in manufacturing sites were curbed down massively. Overall demand on bath and shower trays declined strongly for all models and sales showed no signs of returning to normal after the ease of restrictions in May. As a result, the overall bath and shower tray market volumes are expected to decline strongly as a whole in 2020.

Looking at the forecast from 2021 onwards, both product categories of bath and shower tray sales are expected to develop in different directions. The overall bath demand should decline further, whereas the overall shower tray demand should slightly increase in the coming years. This is linked to the end consumer's

preference to shower instead of taking a bath. It is estimated that around 80% of the Swiss population prefer showering to bathing. If there is no space to equip a property with a second bathroom or an additional shower, then the old bath is replaced with a bigger shower. A bath is only replaced when it is still needed, e.g. for bathing small children for example. In fact, elderly homeowners tend to replace their old baths with a new shower that is easy to clean and comfortable to use. The company VITERMA specialized in this market segment and the company is successful in providing complete bathroom renovations. In Switzerland the company has their own installers, who work directly with consumers. About 98% of their jobs are to replace an old bath with a new shower with a mineral cast shower tray.

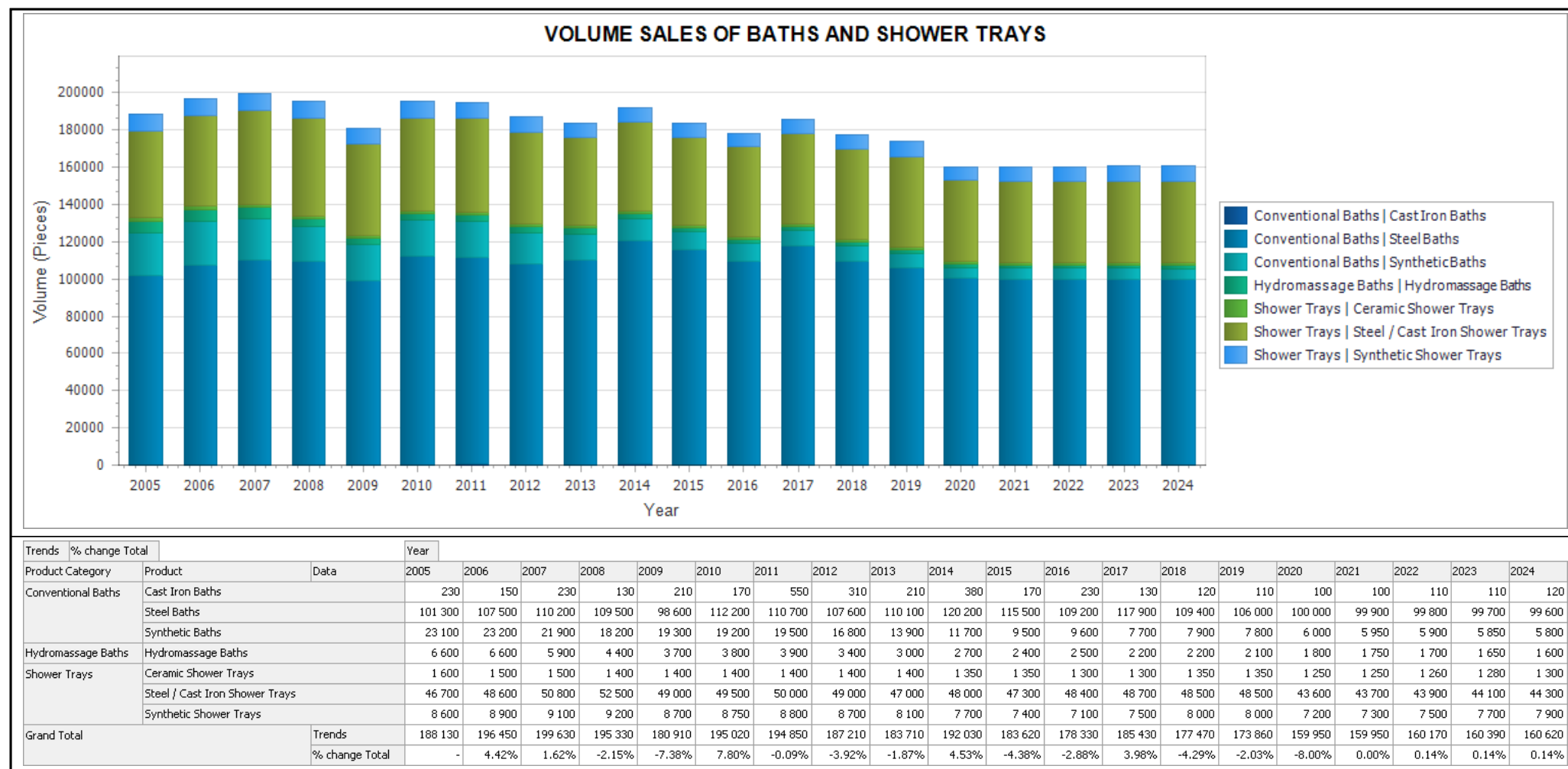
The popularity of walk-in showers has reached its peak, and it is expected that their proportion will decline further. As manufacturers are launching new products to compete with wet rooms, there are different options on the market and end users might choose a walk-in shower that is equipped with a ceramic shower tray, for example. Moreover, manufacturers have introduced their ultra flat shower trays, which are made of a specific composite material. They are available in various large sizes, with the intention of persuading the consumer to use shower trays instead of a tiled floor option. Moreover, demand for all shower trays is expected to increase, dominated further by steel / cast iron shower trays, followed by synthetic models.

In contrast to that, a decline in the number of overall bath sales is expected during the forecast period. Although consumers have a greater choice of alternative materials and designs, the overall demand for baths is expected to shrink. The substitution trend from baths to showers should still be prevalent and is unlikely to slow down given the reasons for the trend are not set to reverse anytime soon, such as smaller living spaces, busier lives and an ageing population. All bath types are expected to decline during the forecast period.

Hydromassage baths are expected to continue as a niche market and remain in decline, because of limited demand. It is believed that the market for hydromassage baths is likely to decline at a marginal level during the forecast period, following the trend of the other European countries. Swiss consumers prefer to make use of alternative services such as saunas, water parks, spa and wellness facilities, and wellness hotels. It is worth mentioning that combined products, i.e. baths with a door to be used as a shower, have been gaining market shares. This development emphasises the importance of showering. In the case that a bath is required and there is not enough space to install a shower, combined products prove to be a successful solution. Nevertheless, demand for this product is limited and it is likely to remain a niche product.

1.2 Historical Trends and Forecasts

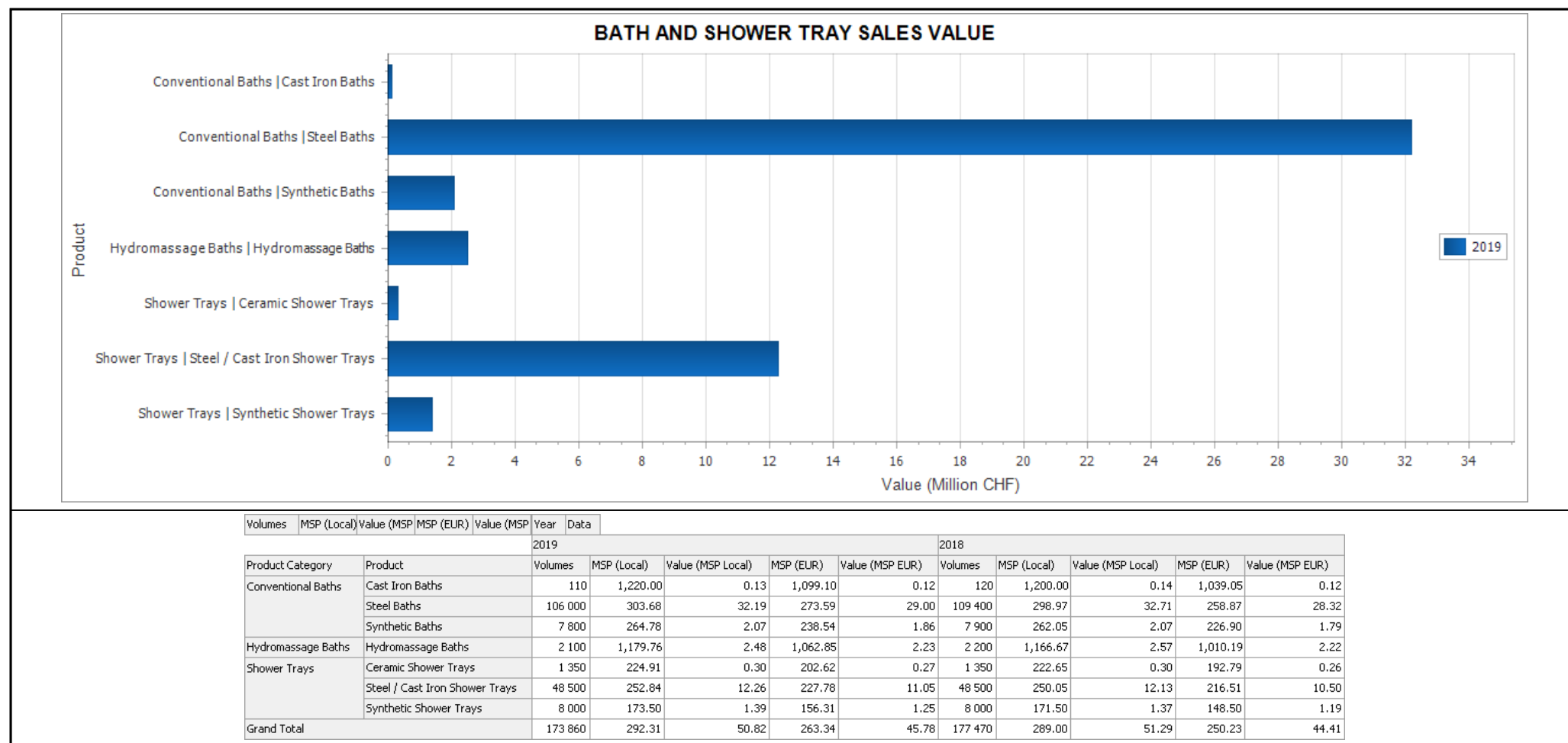
CH - SUMMARY OF TRENDS IN THE BATH AND SHOWER TRAY MARKET : HISTORICAL AND FORECASTS



Source: BRG based on industry interviews.

1.3.1 Prices and Market Values : Baths and Shower Trays

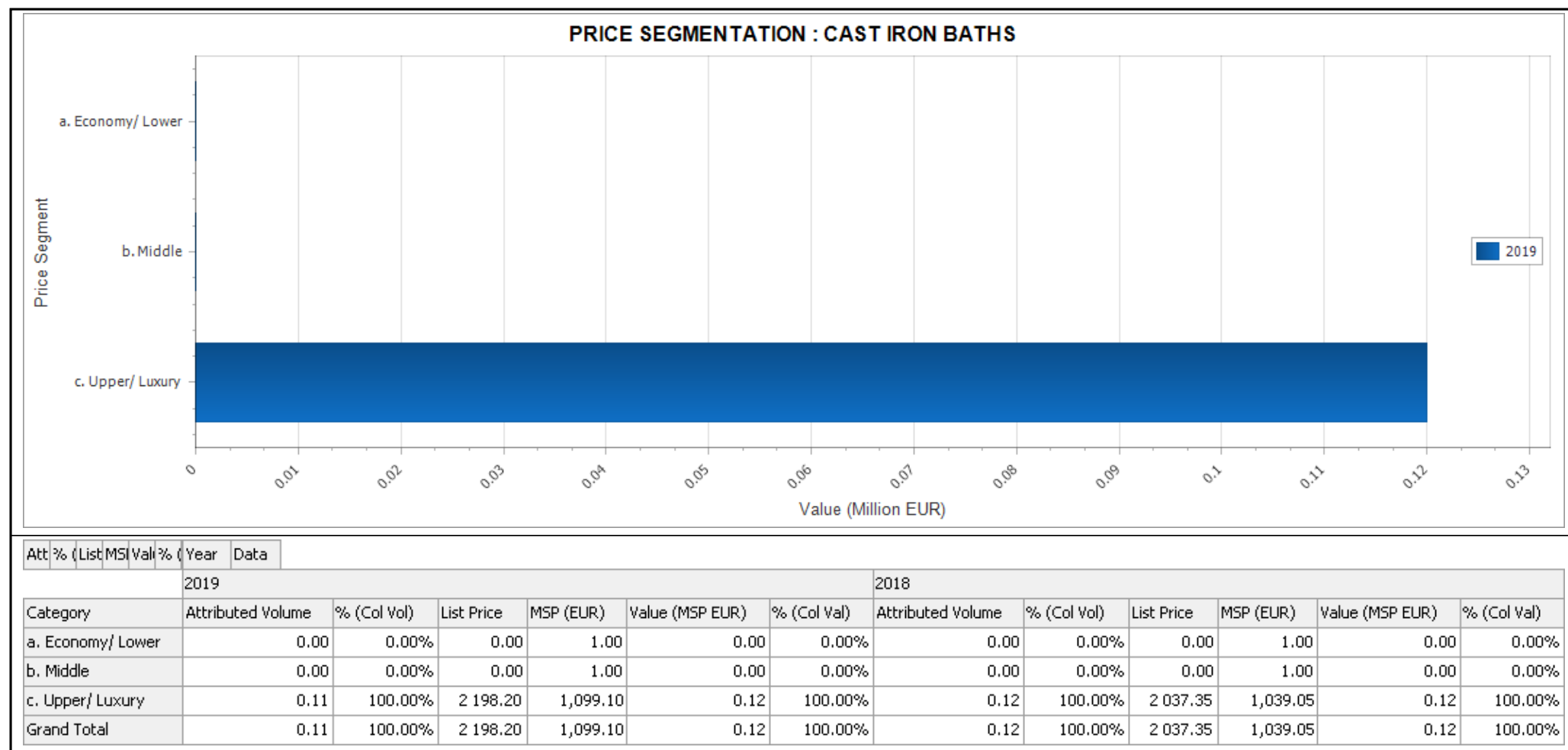
CH - ESTIMATED VALUES OF THE BATH AND SHOWER TRAY MARKET



Source: BRG based on industry interviews. Local Prices Shown in CHF. Values Shown in Millions (at MSP = Manufacturers' Selling Price).

1.3.2 Price Segmentation : Cast Iron Baths

CH - ESTIMATED PRICE SEGMENTATION FOR CAST IRON BATHS

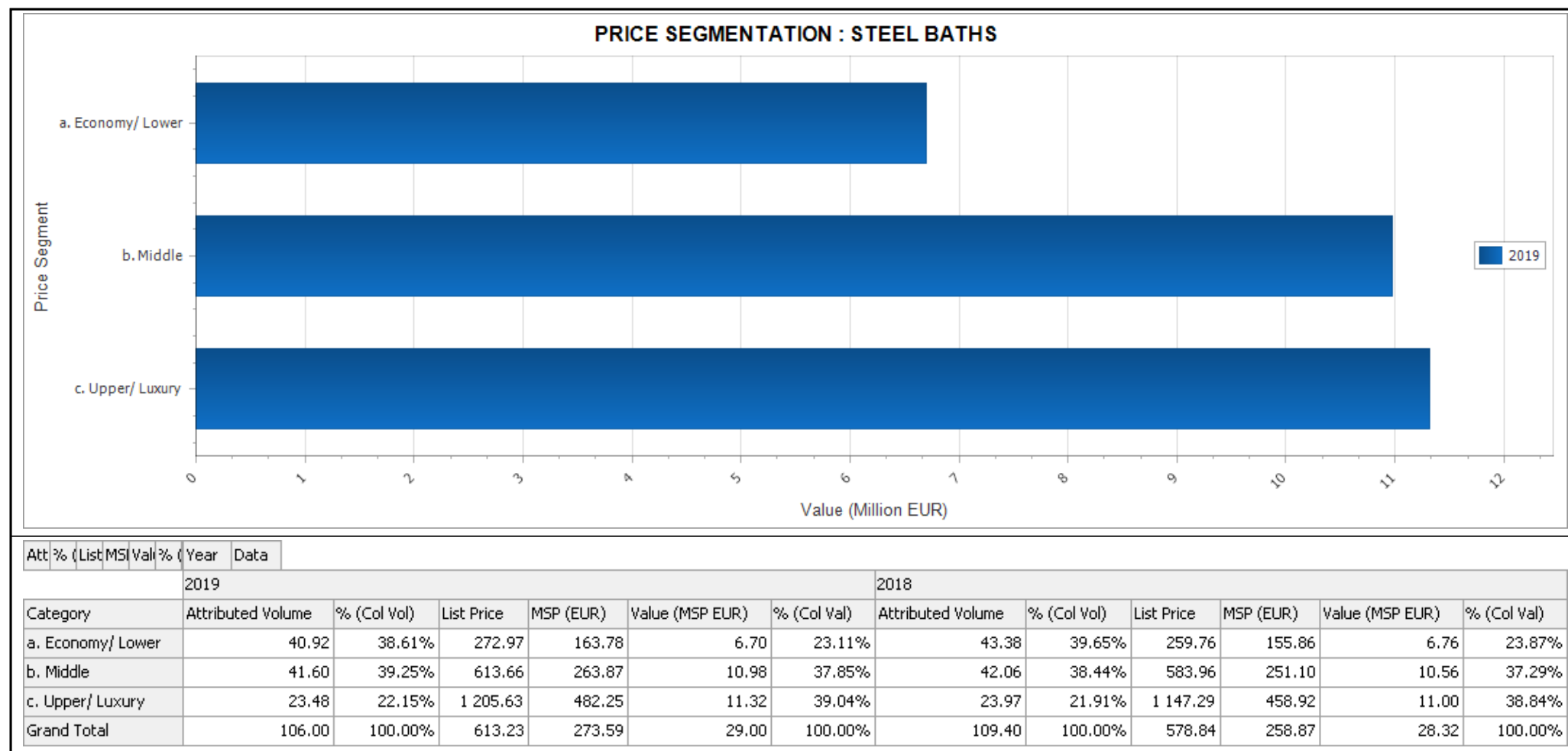


Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding.

Volumes Shown in Thousands and Values Shown in Millions (at MSP = Manufacturers' Selling Price). Economy/ Lower <€300, Middle €300-€750, Upper/ Luxury >€750

1.3.3 Price Segmentation : Steel Baths

CH - ESTIMATED PRICE SEGMENTATION FOR STEEL BATHS

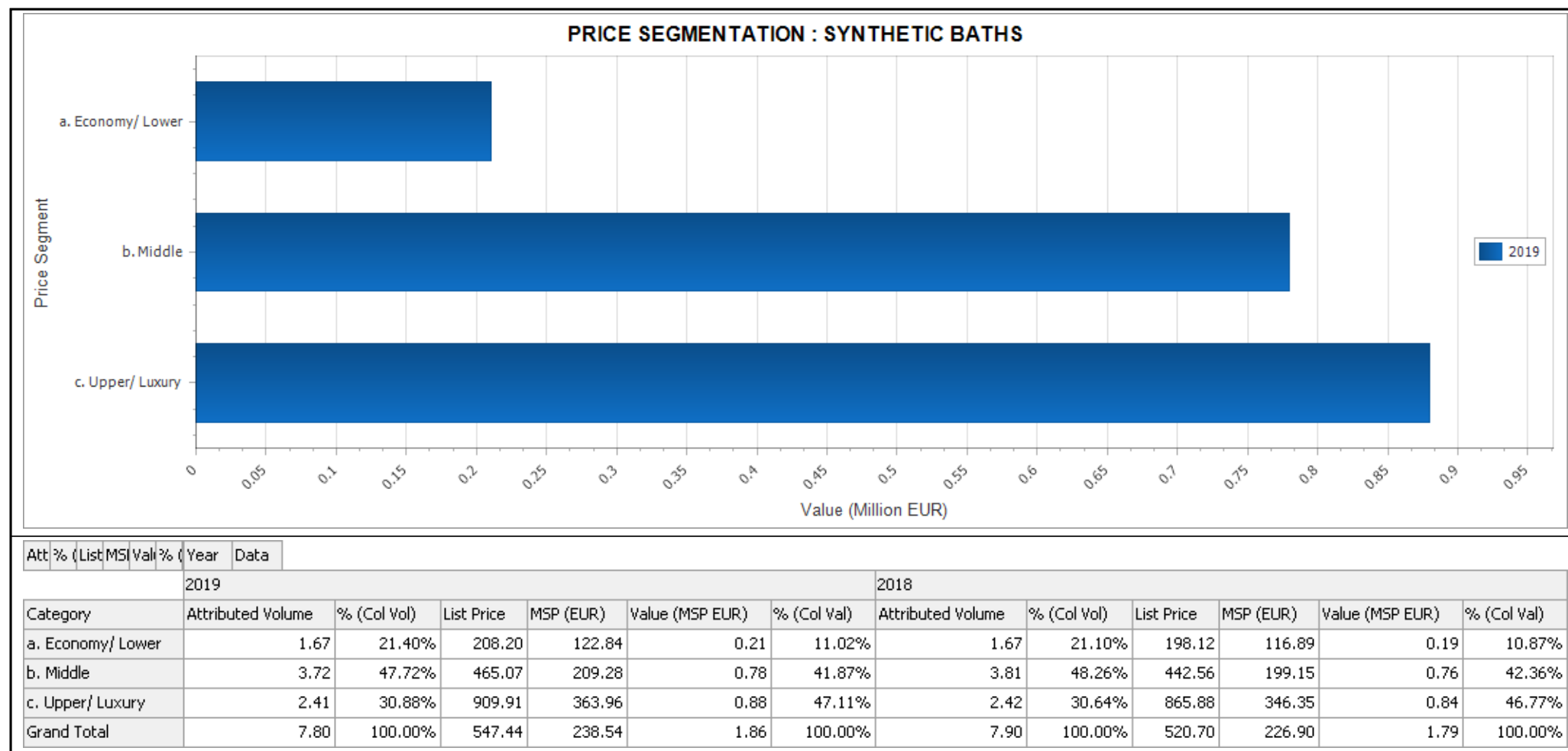


Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding.

Volumes Shown in Thousands and Values Shown in Millions (at MSP = Manufacturers' Selling Price). Economy/ Lower <€200, Middle €200-€400, Upper/ Luxury >€400

1.3.4 Price Segmentation : Synthetic Baths

CH - ESTIMATED PRICE SEGMENTATION FOR SYNTHETIC BATHS

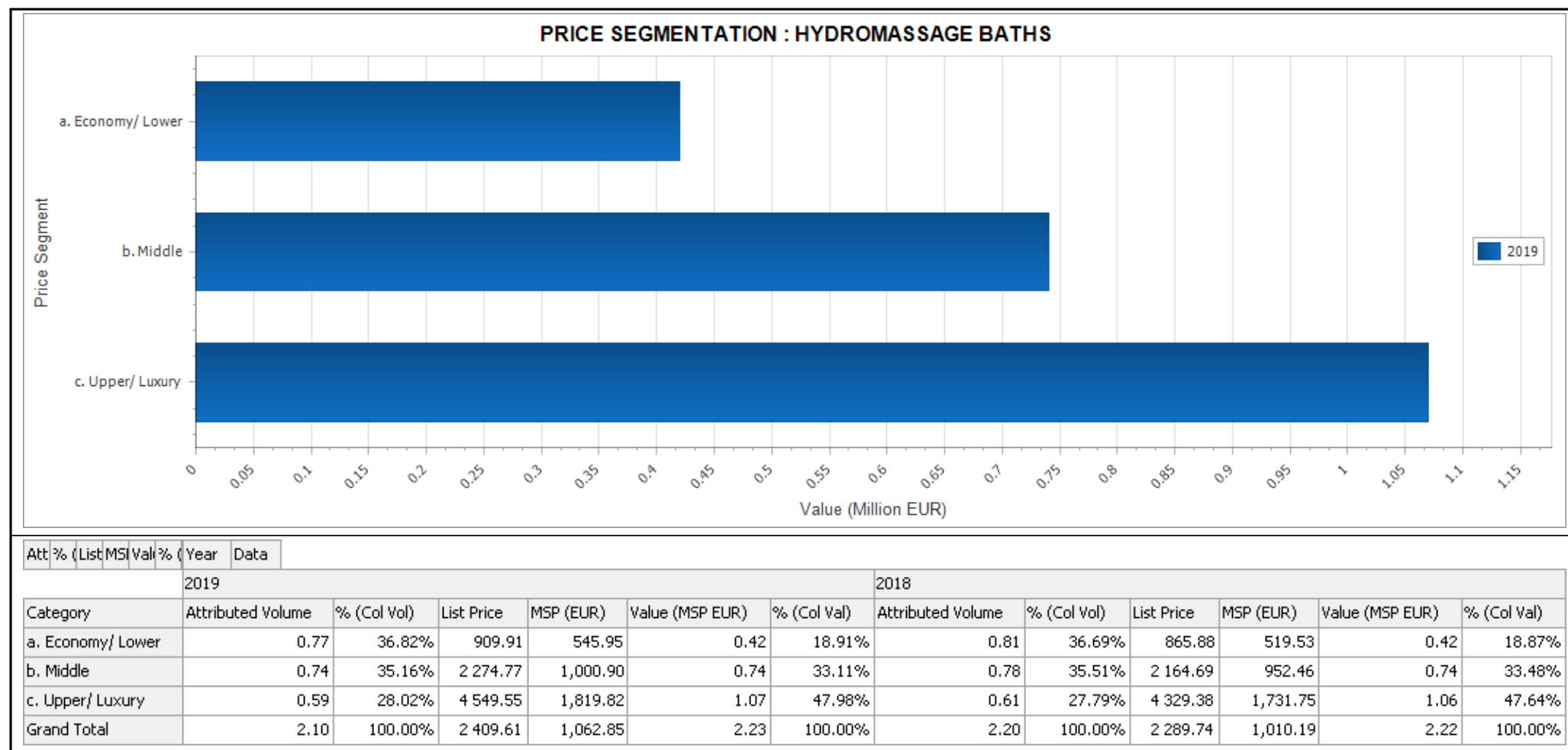


Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding.

Volumes Shown in Thousands and Values Shown in Millions (at MSP = Manufacturers' Selling Price). Economy/ Lower <€150, Middle €150-€250, Upper/ Luxury >€250

1.3.5 Price Segmentation : Hydromassage Baths

CH - ESTIMATED PRICE SEGMENTATION FOR HYDROMASSAGE BATHS

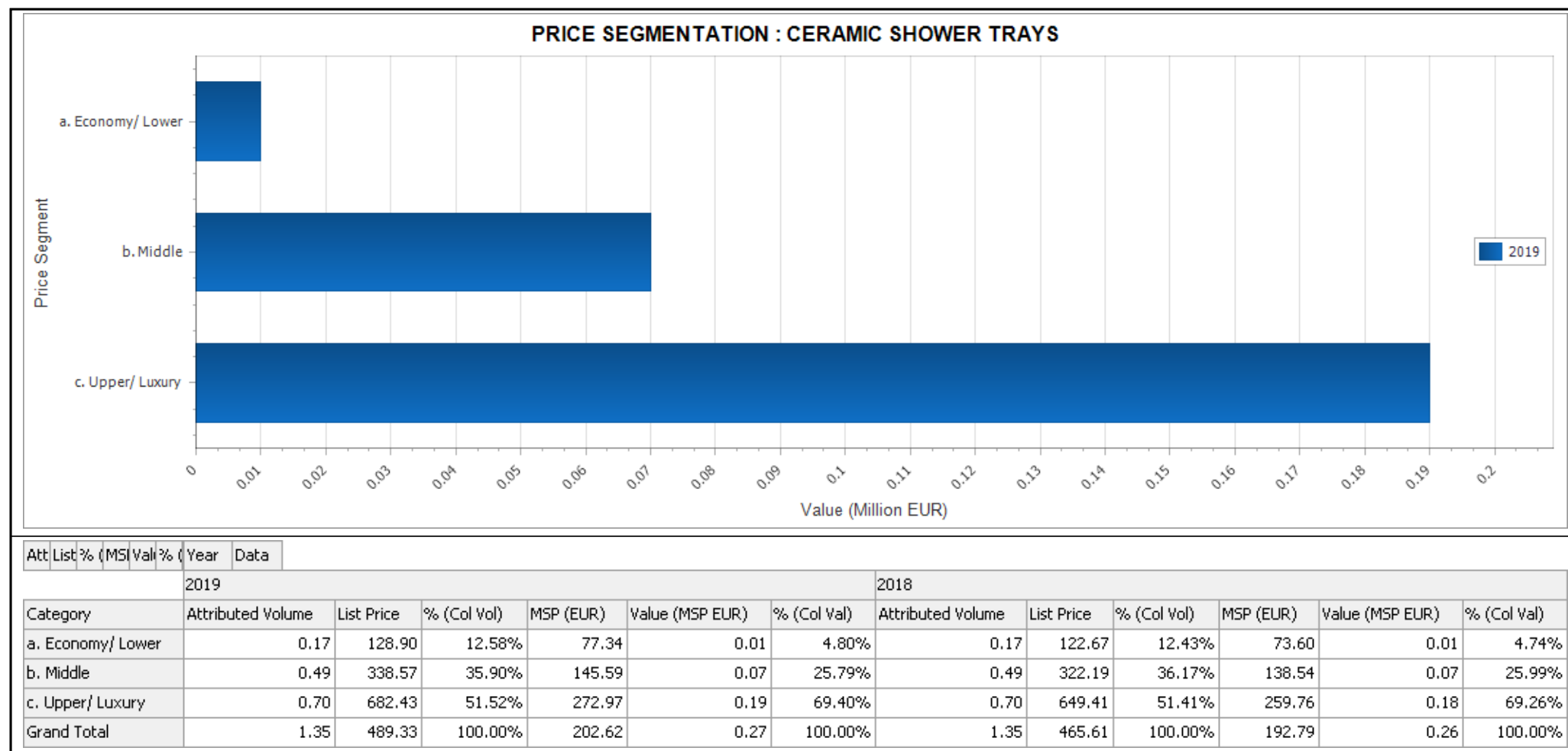


Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding.

Volumes Shown in Thousands and Values Shown in Millions (at MSP = Manufacturers' Selling Price). Economy/ Lower <€800, Middle €800-€1,200, Upper/ Luxury >€1,200

1.3.6 Price Segmentation : Ceramic Shower Trays

CH - ESTIMATED PRICE SEGMENTATION FOR CERAMIC SHOWER TRAYS

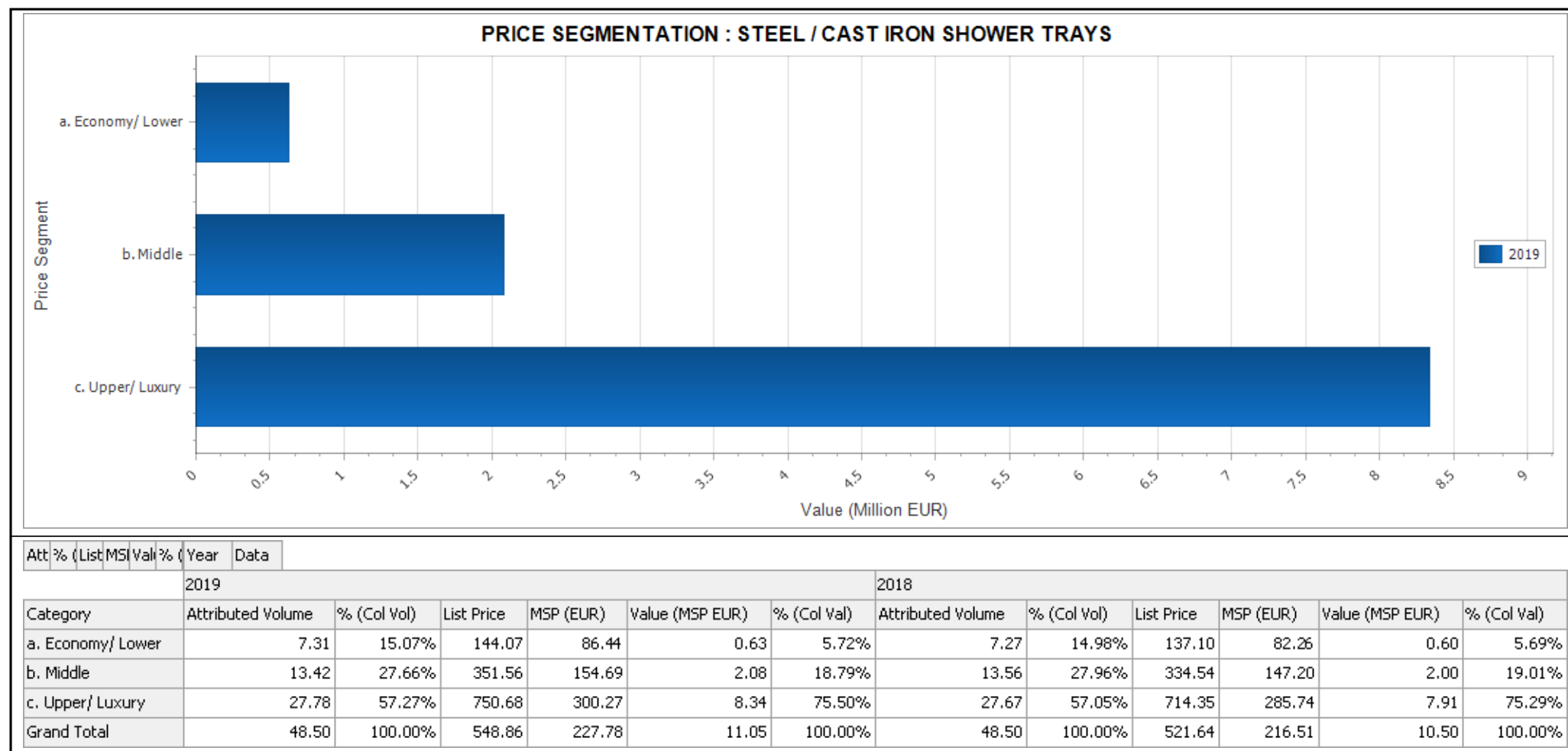


Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding.

Volumes Shown in Thousands and Values Shown in Millions (at MSP = Manufacturers' Selling Price). Economy/ Lower <€80, Middle €80-€180, Upper/ Luxury >€180

1.3.7 Price Segmentation : Steel/ Cast Iron Shower Trays

CH - ESTIMATED PRICE SEGMENTATION FOR STEEL / CAST IRON SHOWER TRAYS

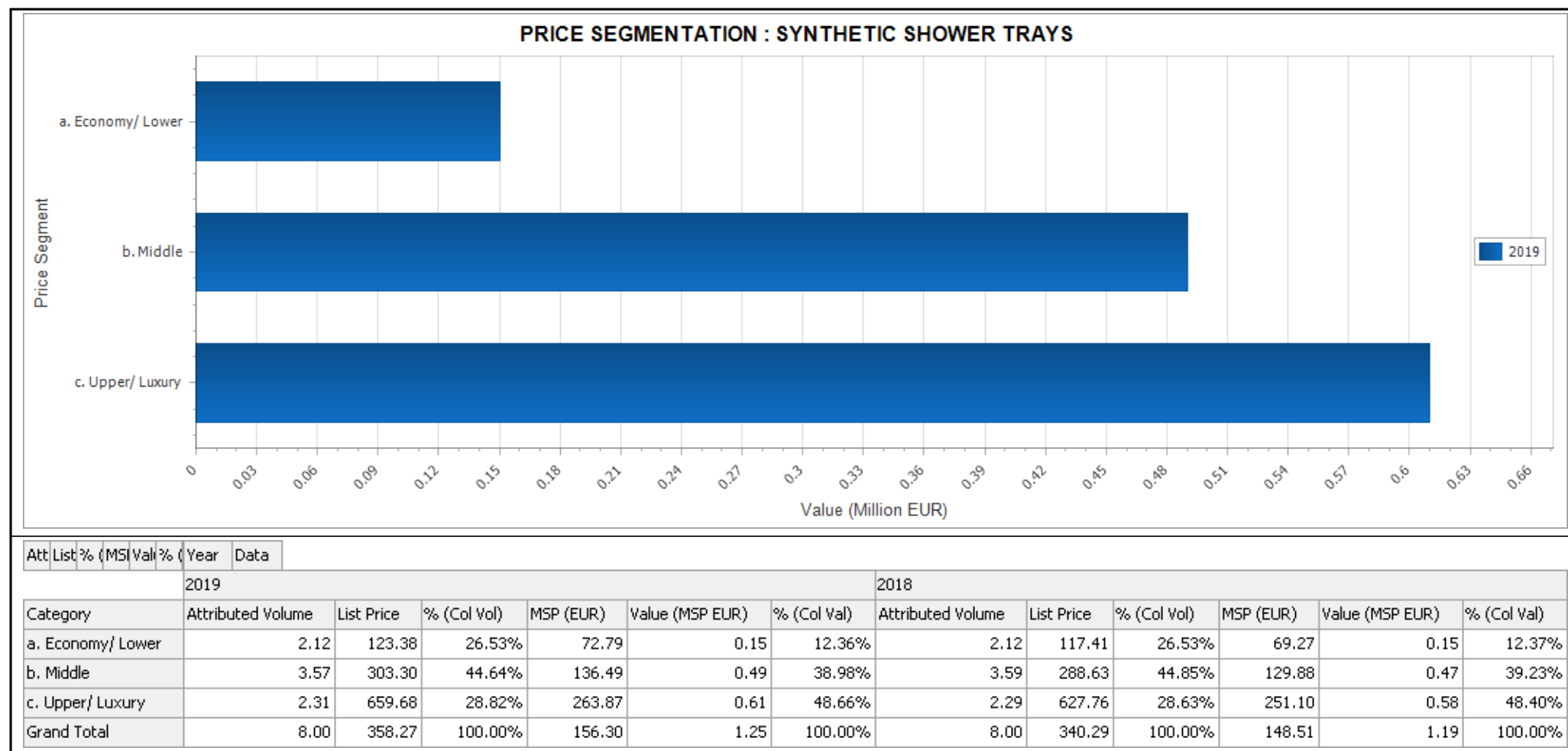


Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding.

Volumes Shown in Thousands and Values Shown in Millions (at MSP = Manufacturers' Selling Price). Economy/ Lower <€120, Middle €120-€250, Upper/ Luxury >€250

1.3.8 Price Segmentation : Synthetic Shower Trays

CH - ESTIMATED PRICE SEGMENTATION FOR SYNTHETIC SHOWER TRAYS

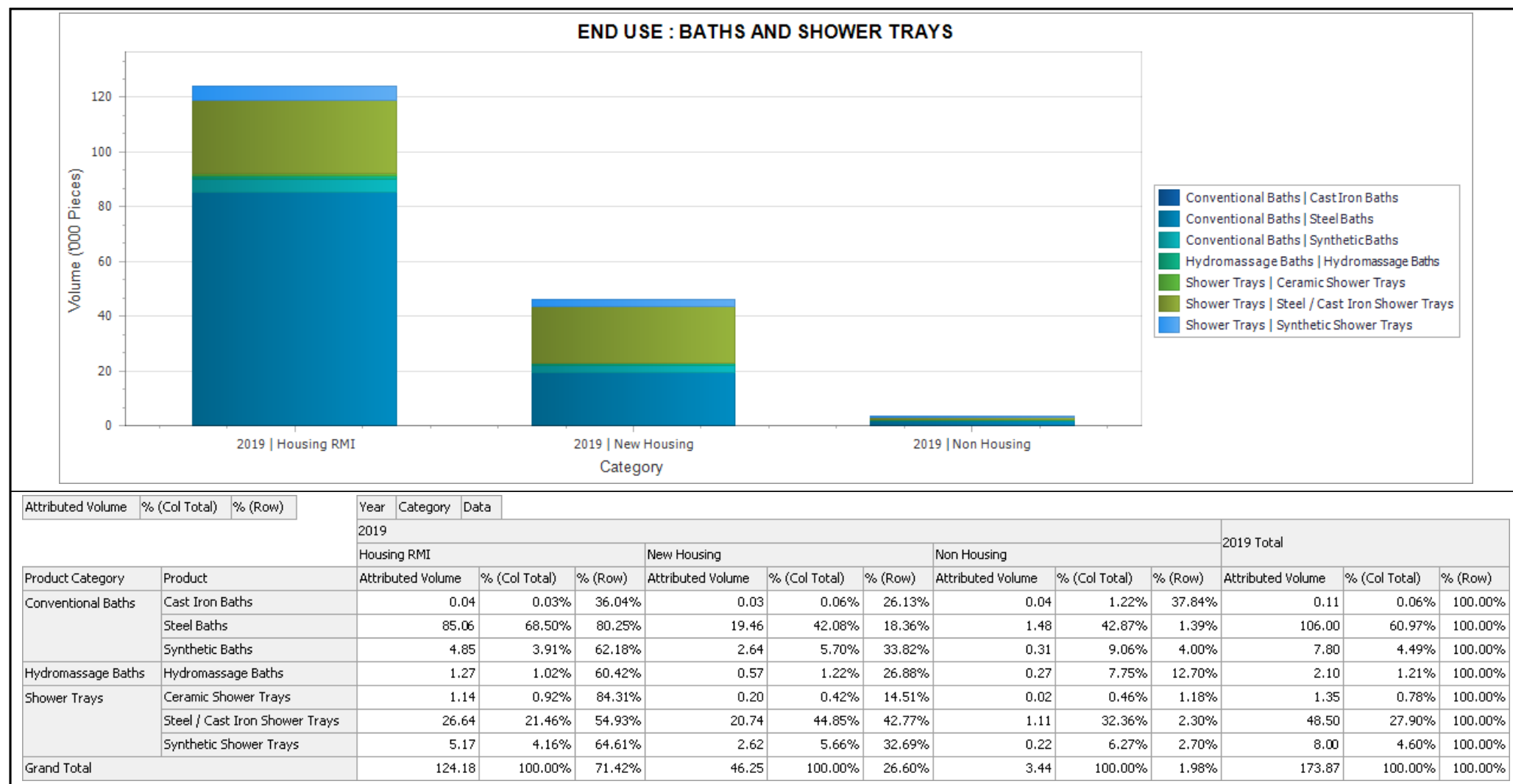


Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding.

Volumes Shown in Thousands and Values Shown in Millions (at MSP = Manufacturers' Selling Price). Economy/ Lower <€75, Middle €75-€150, Upper/ Luxury >€150

1.4.1 End Use : Base Year

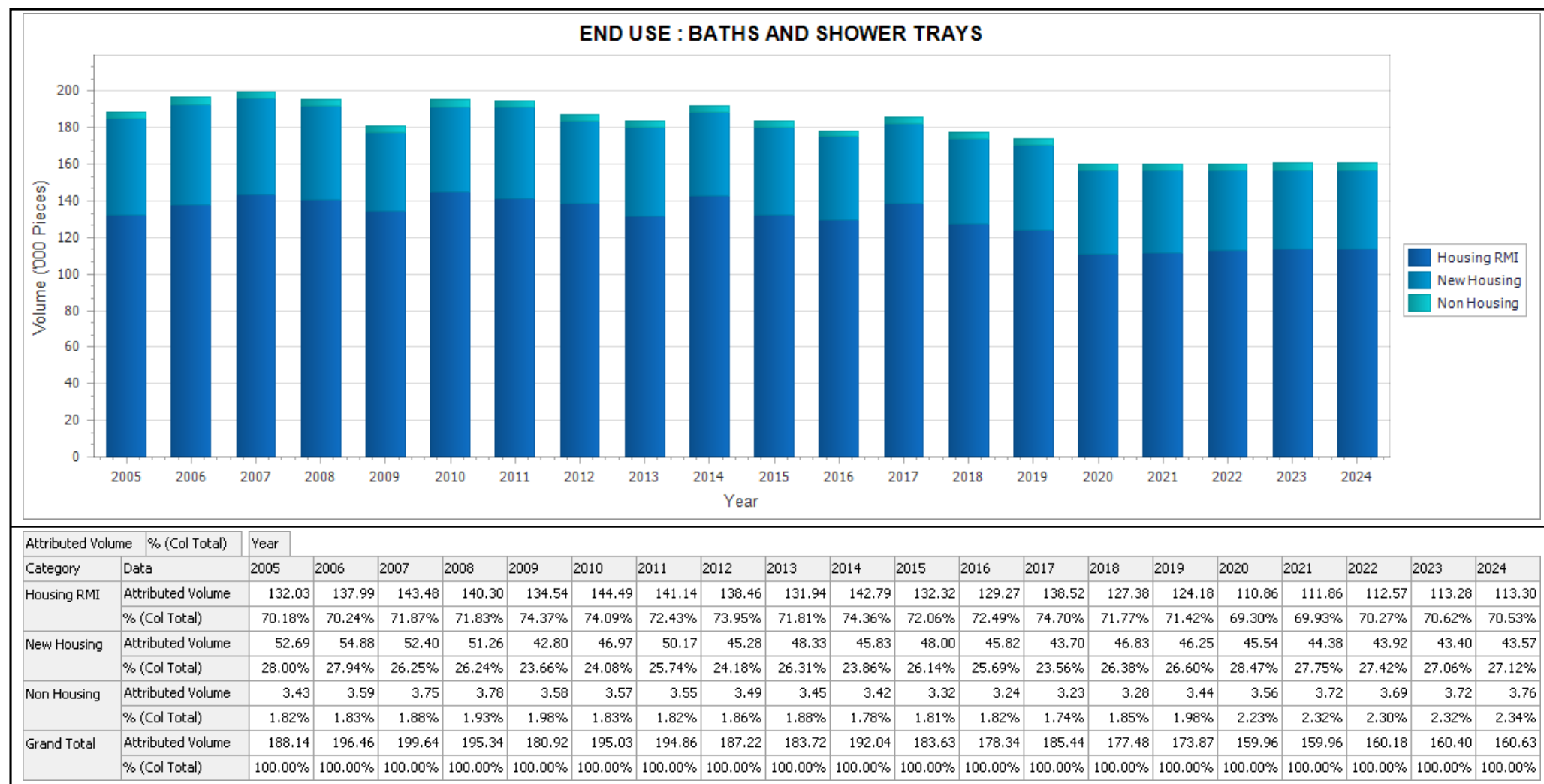
CH - SALES OF BATHS AND SHOWER TRAYS BY TYPE AND END USE SEGMENT ('000 PIECES)



Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding.

1.4.2 End Use : Historical and Forecasts

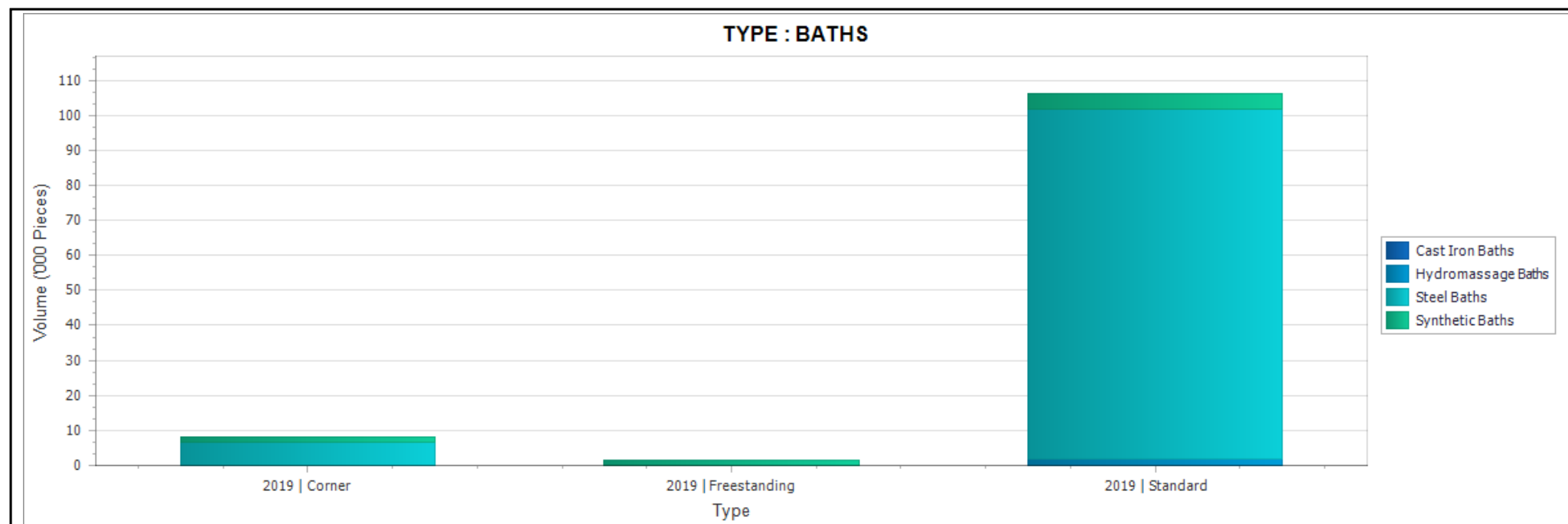
CH - SALES OF BATHS AND SHOWERS TRAYS BY END USE SEGMENT ('000 PIECES)



Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding.

1.4.3 Sales by Type : Baths

CH - BATH SALES BY TYPE ('000 PIECES)

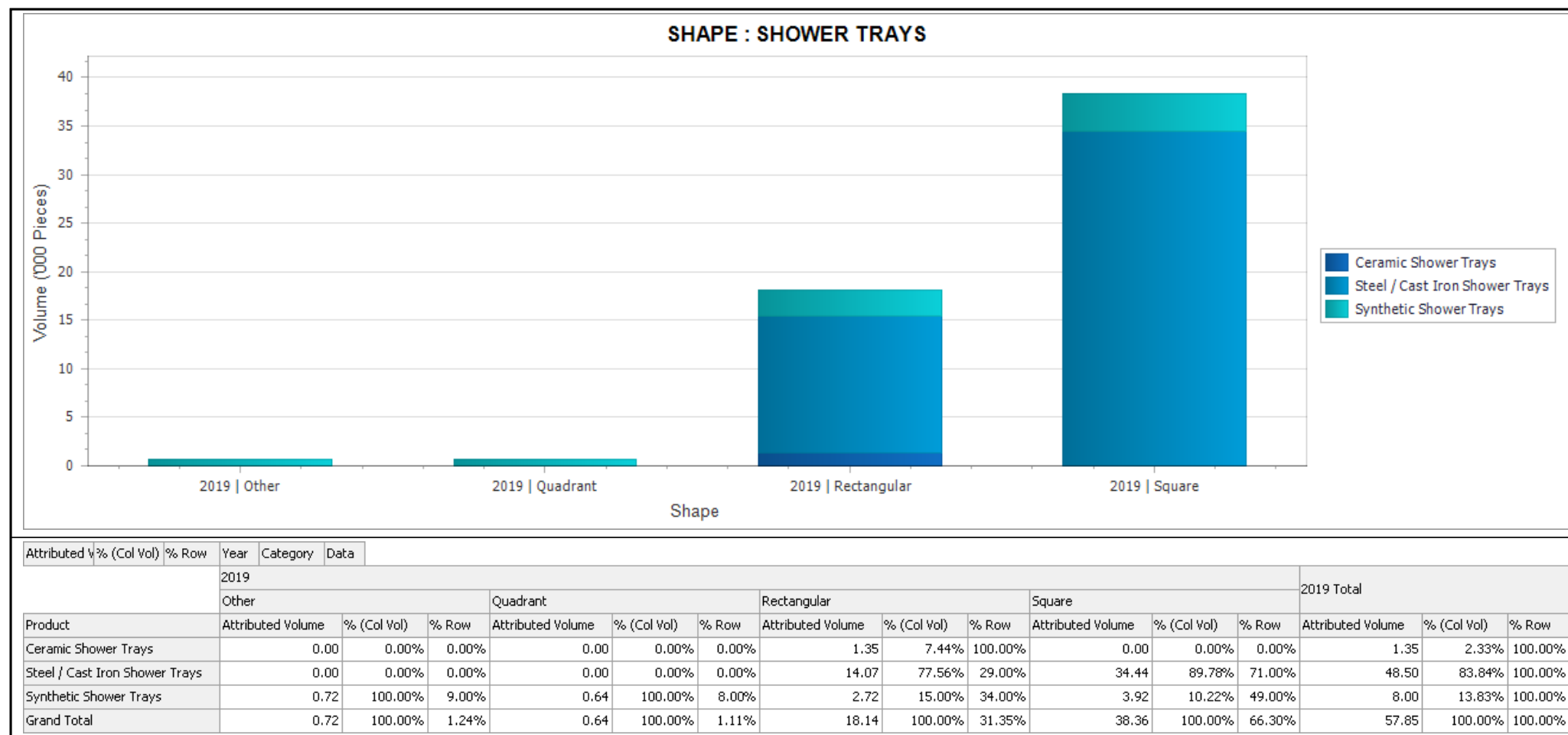


Attribut	% (Col	% Row	Year	Category	Data							
2019												
			Corner			Freestanding			Standard			2019 Total
Product	Attributed Volume	% (Col Vol)	% Row	Attributed Volume	% (Col Vol)	% Row	Attributed Volume	% (Col Vol)	% Row	Attributed Volume	% (Col Vol)	% Row
Cast Iron Baths	0.00	0.00%	0.00%	0.11	7.27%	100.00%	0.00	0.00%	0.00%	0.11	0.09%	100.00%
Hydromassage Baths	0.11	1.27%	5.00%	0.00	0.00%	0.00%	2.00	1.88%	95.00%	2.10	1.81%	100.00%
Steel Baths	6.36	77.01%	6.00%	0.00	0.00%	0.00%	99.64	93.79%	94.00%	106.00	91.37%	100.00%
Synthetic Baths	1.79	21.72%	23.00%	1.40	92.73%	18.00%	4.60	4.33%	59.00%	7.80	6.72%	100.00%
Grand Total	8.26	100.00%	7.12%	1.51	100.00%	1.31%	106.24	100.00%	91.58%	116.01	100.00%	100.00%

Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding.

1.4.4 Sales by Shape : Shower Trays

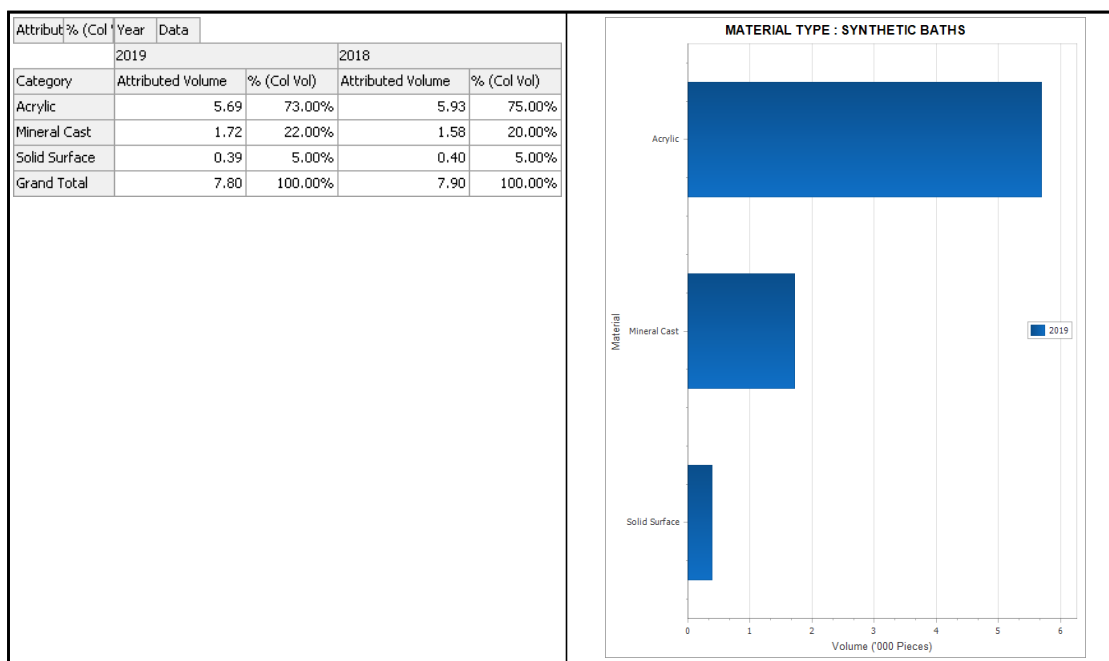
CH - SHOWER TRAY SALES BY SHAPE ('000 PIECES)



Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding.

1.4.5 Sales by Material : Synthetic Baths

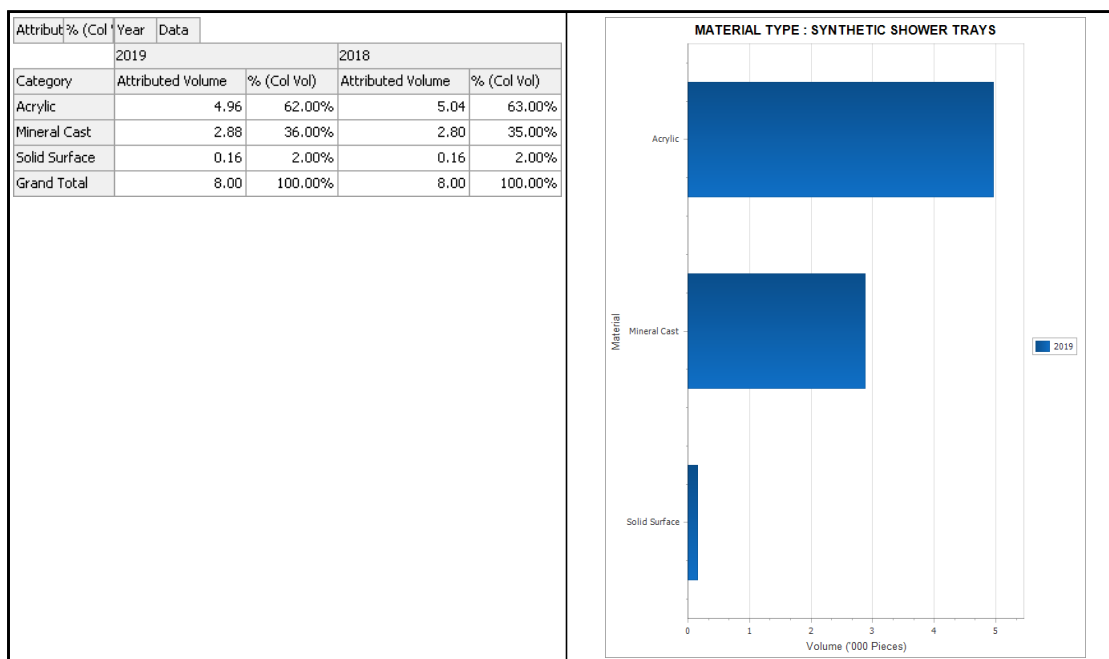
CH - SYNTHETIC BATH SALES BY MATERIAL TYPE ('000 PIECES)



Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding.

1.4.6 Sales by Material : Synthetic Shower Trays

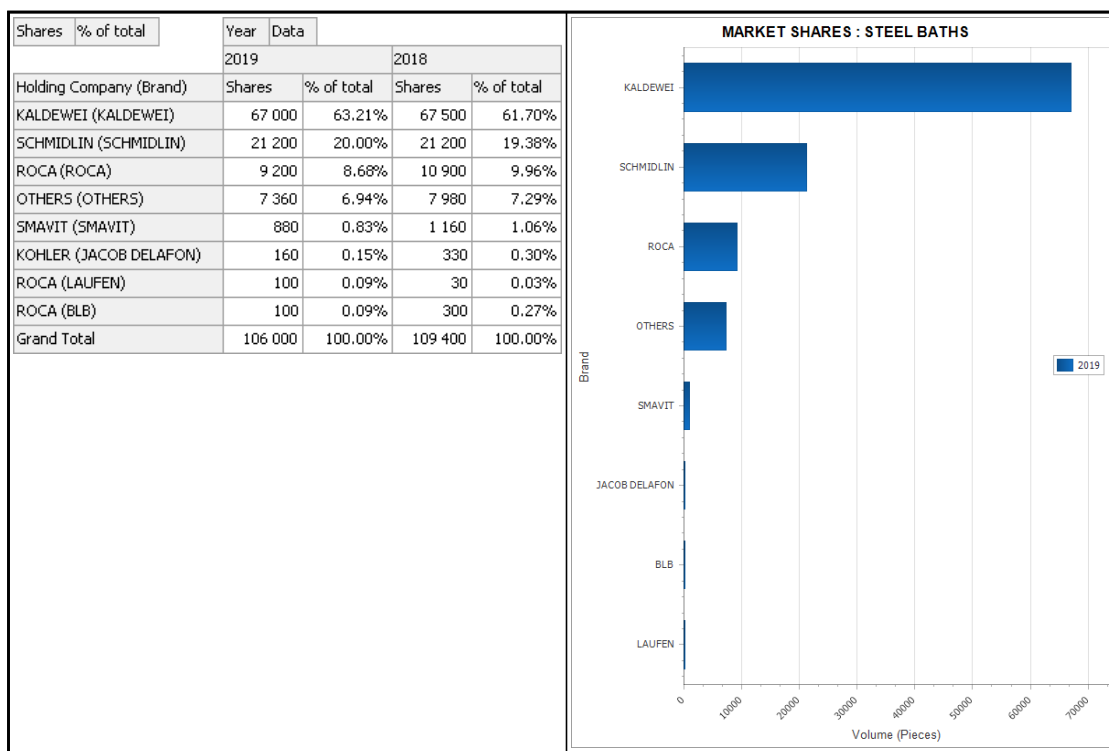
CH - SYNTHETIC SHOWER TRAY SALES BY MATERIAL TYPE ('000 PIECES)



Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding.

1.5.1 Market Shares : Steel Baths

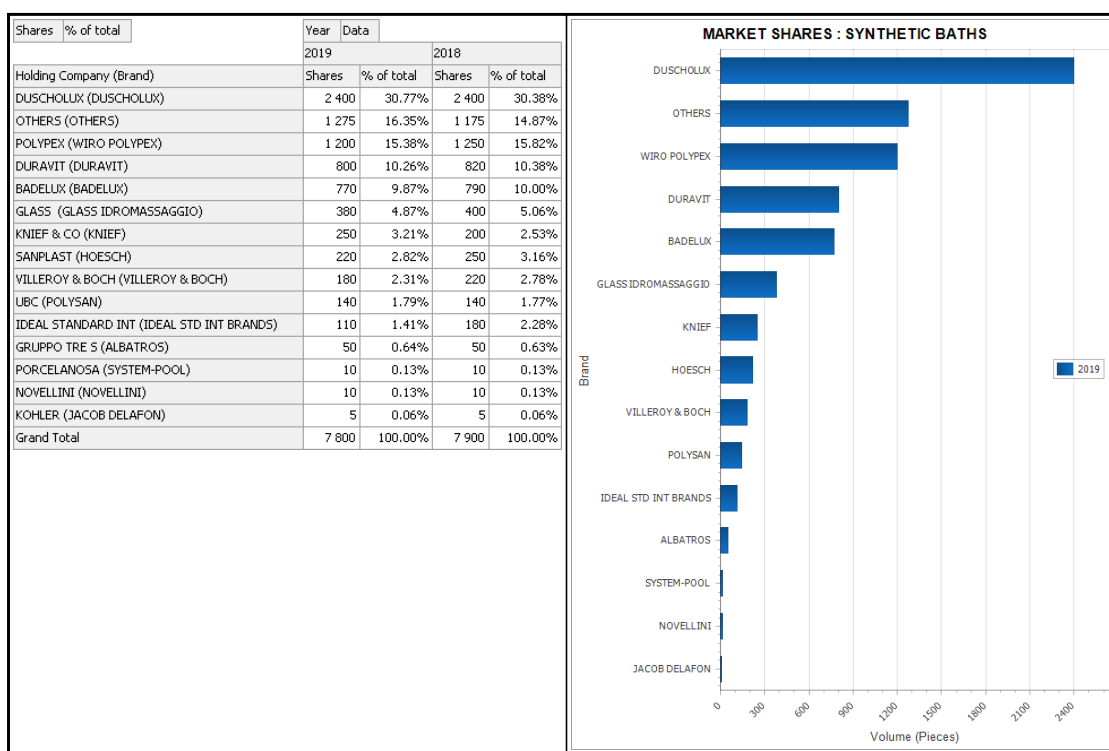
CH - ESTIMATED MARKET SHARES FOR STEEL BATHS



Source: BRG based on industry interviews.

1.5.2 Market Shares : Synthetic Baths

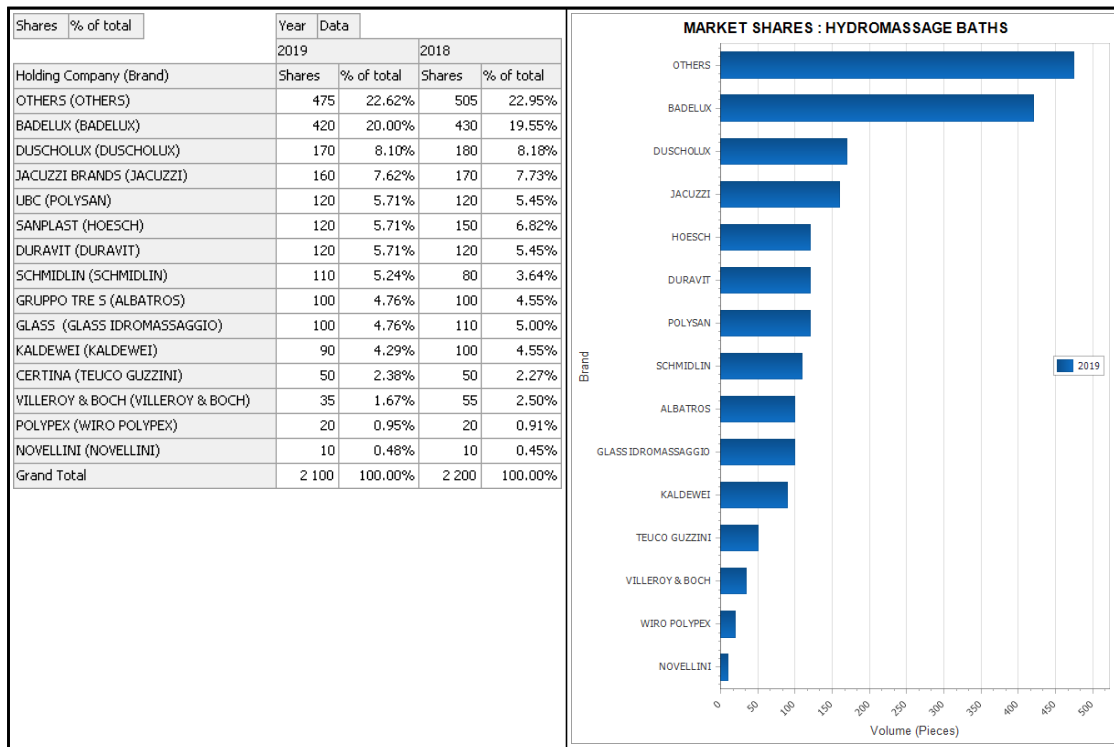
CH - ESTIMATED MARKET SHARES FOR SYNTHETIC BATHS



Source: BRG based on industry interviews.

1.5.3 Market Shares : Hydromassage Baths

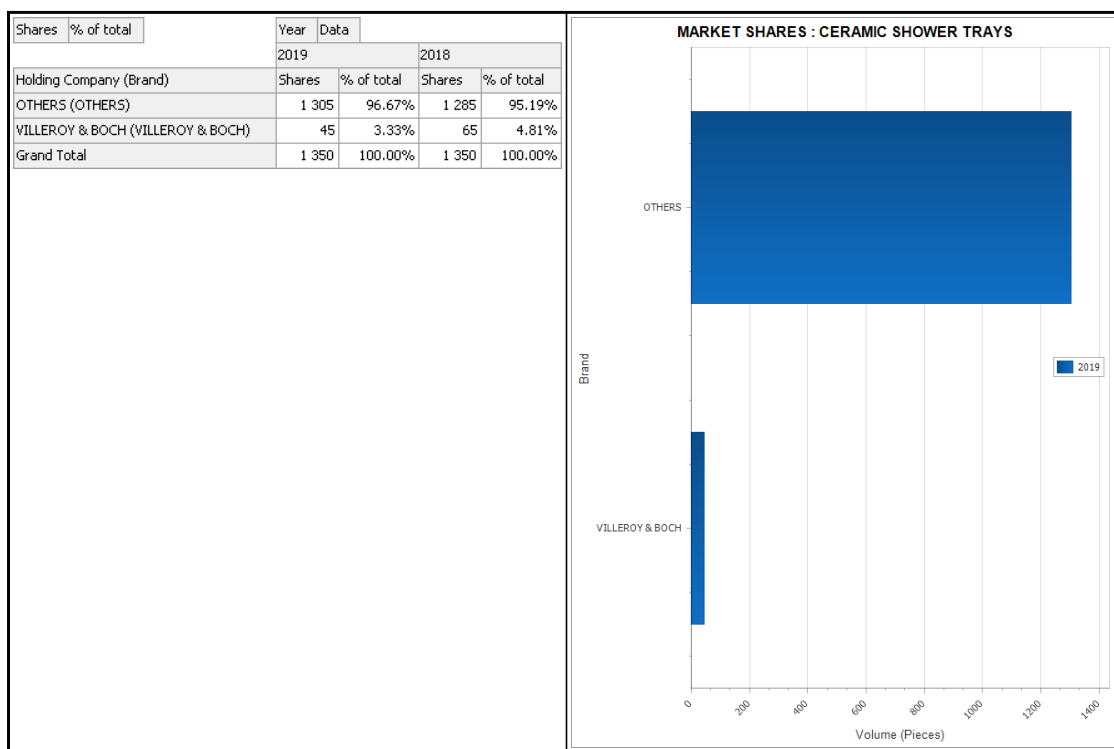
CH - ESTIMATED MARKET SHARES FOR HYDROMASSAGE BATHS



Source: BRG based on industry interviews.

1.5.4 Market Shares : Ceramic Shower Trays

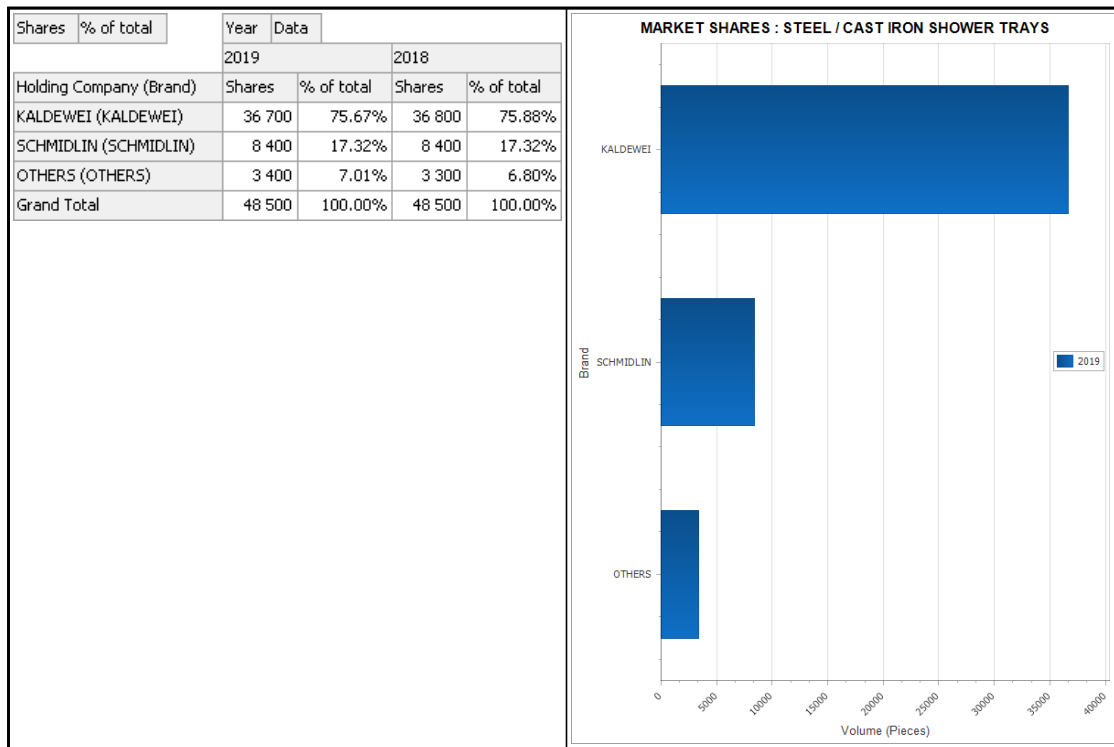
CH - ESTIMATED MARKET SHARES FOR CERAMIC SHOWER TRAYS



Source: BRG based on industry interviews

1.5.5 Market Shares : Steel / Cast Iron Shower Trays

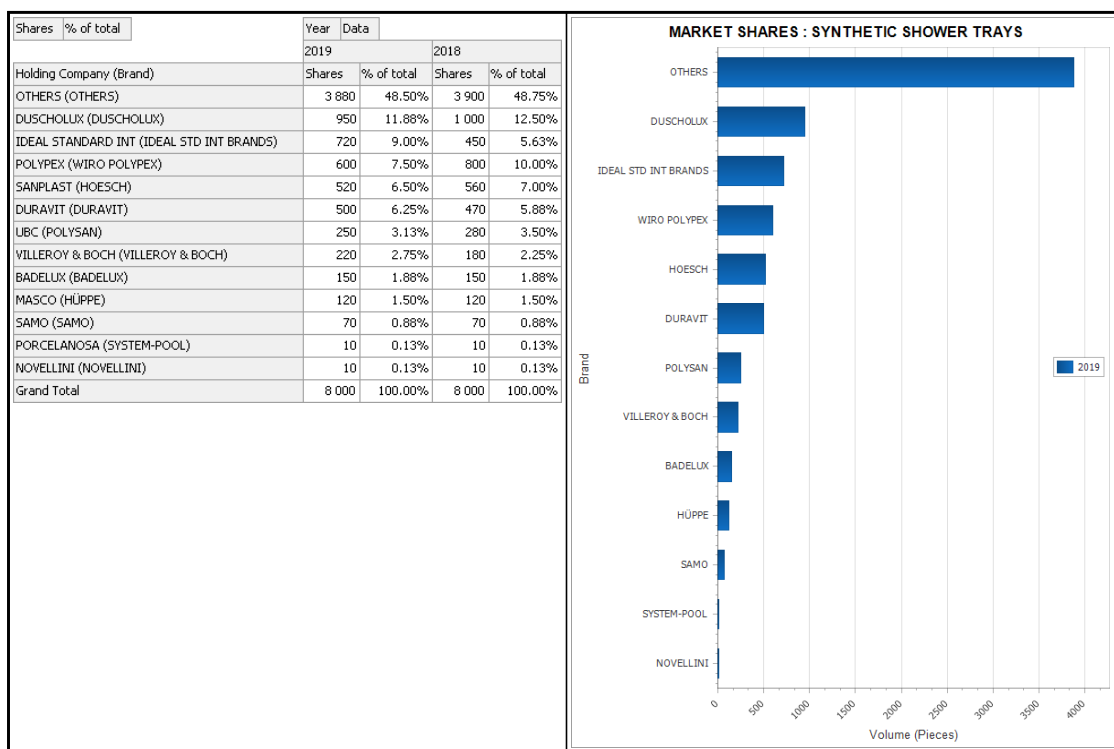
CH - ESTIMATED MARKET SHARES FOR STEEL / CAST IRON SHOWER TRAYS



Source: BRG based on industry interviews.

1.5.6 Market Shares : Synthetic Shower Trays

CH - ESTIMATED MARKET SHARES FOR SYNTHETIC SHOWER TRAYS



Source: BRG based on industry interviews.

1.6.1 CH - IMPORTS OF BATHS - CAST IRON 2019

Source Country	2019				2018			
	Volume		Value 000		Volume		Value 000	
	Tonnes	%	Euros	%	Tonnes	%	Euros	%
France	5	32.1%	36	16.7%	3	18.2%	29	13.7%
Germany	3	22.4%	75	34.7%	2	12.6%	28	13.3%
Italy	2	15.3%	26	12.0%	4	25.9%	103	48.8%
United Kingdom	2	15.2%	17	7.9%	5	32.7%	30	14.2%
Poland	1	8.3%	23	10.6%	0	0.3%	1	0.5%
China	1	4.9%	12	5.6%	1	4.6%	9	4.3%
Hungary	0	1.0%	10	4.6%	0	0.0%	0	0.0%
OTHERS	0	0.8%	17	7.9%	1	5.7%	11	5.2%
Total	15	100.0%	216	100.0%	16	100.0%	211	100.0%

Source : Trademap

1.6.2 CH - EXPORTS OF BATHS - CAST IRON 2019

Destination	2019				2018			
	Volume		Value 000		Volume		Value 000	
	Tonnes	%	Euros	%	Tonnes	%	Euros	%
Slovenia	2	43.5%	51	85.0%	0	0.0%	0	0.0%
Spain	1	31.1%	3	5.0%	0	0.0%	0	0.0%
Italy	1	14.4%	1	1.7%	0	5.8%	8	66.7%
France	0	7.4%	5	8.3%	0	0.0%	0	0.0%
Austria	0	2.8%	0	0.0%	1	65.5%	3	25.0%
OTHERS	0	0.7%	0	0.0%	0	28.7%	1	8.3%
Total	4	100.0%	60	100.0%	1	100.0%	12	100.0%

Source : Trademap

1.6.3 CH - IMPORTS OF BATHS - STEEL 2019

Source Country	2019				2018			
	Volume		Value 000		Volume		Value 000	
	Tonnes	%	Euros	%	Tonnes	%	Euros	%
Germany	3 078	91.8%	9 600	91.3%	3 391	91.1%	10 684	91.1%
Spain	231	6.9%	402	3.8%	273	7.3%	480	4.1%
OTHERS	44	1.3%	514	4.9%	58	1.5%	560	4.8%
Total	3 354	100.0%	10 516	100.0%	3 721	100.0%	11 724	100.0%

Source : Trademap

1.6.4 CH - EXPORTS OF BATHS - STEEL 2019

Destination	2019				2018			
	Volume		Value 000		Volume		Value 000	
	Tonnes	%	Euros	%	Tonnes	%	Euros	%
Germany	64	73.9%	101	57.7%	48	79.3%	89	49.2%
United States of America	8	9.3%	33	18.9%	3	5.5%	26	14.4%
Bosnia and Herzegovina	6	7.2%	4	2.3%	0	0.0%	0	0.0%
Spain	4	4.5%	7	4.0%	1	1.8%	4	2.2%
Italy	3	3.1%	15	8.6%	1	2.3%	13	7.2%
OTHERS	2	1.9%	15	8.6%	7	11.1%	49	27.1%
Total	86	100.0%	175	100.0%	61	100.0%	181	100.0%

Source : Trademap

1.6.5 CH - IMPORTS OF BATHS AND SHOWER TRAYS - SYNTHETIC 2019

Source Country	2019				2018			
	Volume		Value 000		Volume		Value 000	
	Tonnes	%	Euros	%	Tonnes	%	Euros	%
Germany	529	30.2%	8 319	34.9%	610	36.6%	9 873	41.0%
Italy	400	22.8%	5 670	23.8%	368	22.0%	5 593	23.2%
France	169	9.6%	1 990	8.3%	101	6.0%	1 511	6.3%
Poland	130	7.5%	769	3.2%	152	9.1%	810	3.4%
Austria	113	6.4%	2 689	11.3%	102	6.1%	2 852	11.8%
China	96	5.5%	973	4.1%	87	5.2%	688	2.9%
Spain	62	3.5%	608	2.5%	19	1.1%	188	0.8%
Czech Republic	33	1.9%	450	1.9%	31	1.9%	435	1.8%
Netherlands	31	1.8%	348	1.5%	27	1.6%	369	1.5%
United Arab Emirates	30	1.7%	153	0.6%	29	1.7%	145	0.6%
Slovenia	23	1.3%	188	0.8%	21	1.2%	227	0.9%
OTHERS	136	7.8%	1 690	7.1%	123	7.4%	1 404	5.8%
Total	1 750	100.0%	23 847	100.0%	1 669	100.0%	24 095	100.0%

Source : Trademap

1.6.6 CH - EXPORTS OF BATHS AND SHOWER TRAYS - SYNTHETIC 2019

Destination	2019				2018			
	Volume		Value 000		Volume		Value 000	
	Tonnes	%	Euros	%	Tonnes	%	Euros	%
Germany	224	70.4%	3 549	52.1%	233	72.0%	3 677	53.5%
France	20	6.3%	1 009	14.8%	27	8.2%	1 147	16.7%
Italy	15	4.6%	320	4.7%	15	4.5%	285	4.1%
Poland	11	3.4%	216	3.2%	6	1.9%	245	3.6%
Côte d'Ivoire	8	2.6%	9	0.1%	0	0.0%	4	0.1%
Netherlands	6	1.9%	314	4.6%	3	1.0%	157	2.3%
Belgium	5	1.6%	308	4.5%	3	1.1%	184	2.7%
Austria	5	1.6%	137	2.0%	6	1.8%	120	1.7%
OTHERS	24	7.5%	951	14.0%	31	9.5%	1 050	15.3%
Total	319	100.0%	6 813	100.0%	324	100.0%	6 869	100.0%

Source : Trademap

1.7.1 Route to Market: Baths
CH - ESTIMATED DISTRIBUTION FOR BATHS: 2019

Manufacturer / Importer	Manufacturers / Importers
	100.0%

Wholesale Level	83.2%
	Wholesalers / Merchants
	83.2%

Retail Level	Manufacturer	Wholesaler	Manufacturer	Wholesaler	Manufacturer	Wholesaler
	2.3%	2.1%	2.8%	3.1%	8.0%	5.0%
	Internet Retailers		DIY Retailers		Specialist Retailers	
	4.4%		5.9%		13.0%	

Manufacturer	Wholesaler	Internet	DIY	Specialist
3.6%	71.0%	1.1%	0.0%	11.0%
Installers				
86.7%				

End Use Level	Manufacturer	Wholesaler	Internet	DIY	Specialist	Installer	Manufacturer	Wholesaler	Internet	DIY	Specialist	Installer
	0.0%	2.0%	3.3%	5.9%	1.0%	85.9%	0.0%	0.0%	0.0%	0.0%	1.0%	0.8%
	Residential						Non-Residential					
	98.2%						1.8%					
	New Build			Residential RMI			New Build			Non-Residential RMI		
	19.6%			78.6%			1.0%			0.8%		
	Project		Non-Project	Project		Non-Project	Project		Non-Project	Project		Non-Project
	17.0%		2.6%	8.0%		70.6%	0.9%		0.1%	0.7%		0.1%

1.7.2 Route to Market: Baths
CH - ESTIMATED DISTRIBUTION FOR BATHS: 2024

Manufacturer / Importer	Manufacturers / Importers
	100.0%

Wholesale Level	81.0%
	Wholesalers / Merchants
	81.0%

Retail Level	Manufacturer	Wholesaler	Manufacturer	Wholesaler	Manufacturer	Wholesaler
	2.7%	2.3%	3.4%	3.3%	8.2%	5.0%
	Internet Retailers		DIY Retailers		Specialist Retailers	
	5.0%		6.7%		13.2%	

Manufacturer	Wholesaler	Internet	DIY	Specialist
3.4%	69.0%	1.2%	0.0%	11.2%
Installers				
84.8%				

End Use Level	Manufacturer	Wholesaler	Internet	DIY	Specialist	Installer	Manufacturer	Wholesaler	Internet	DIY	Specialist	Installer
	1.3%	1.4%	3.8%	6.7%	1.0%	83.8%	0.0%	0.0%	0.0%	0.0%	1.0%	1.0%
	Residential						Non-Residential					
	98.0%						2.0%					
	New Build			Residential RMI			New Build			Non-Residential RMI		
	17.2%			80.8%			1.2%			0.8%		
	Project		Non-Project	Project		Non-Project	Project		Non-Project	Project		Non-Project
	16.0%		1.2%	7.8%		73.0%	0.9%		0.3%	0.7%		0.1%

Source: BRG Based on Industry Interviews. - Totals may vary due to roundings

1.7.3 Route to Market - Consolidated View : Baths

CH - ESTIMATED DISTRIBUTION FOR BATHS : 2019

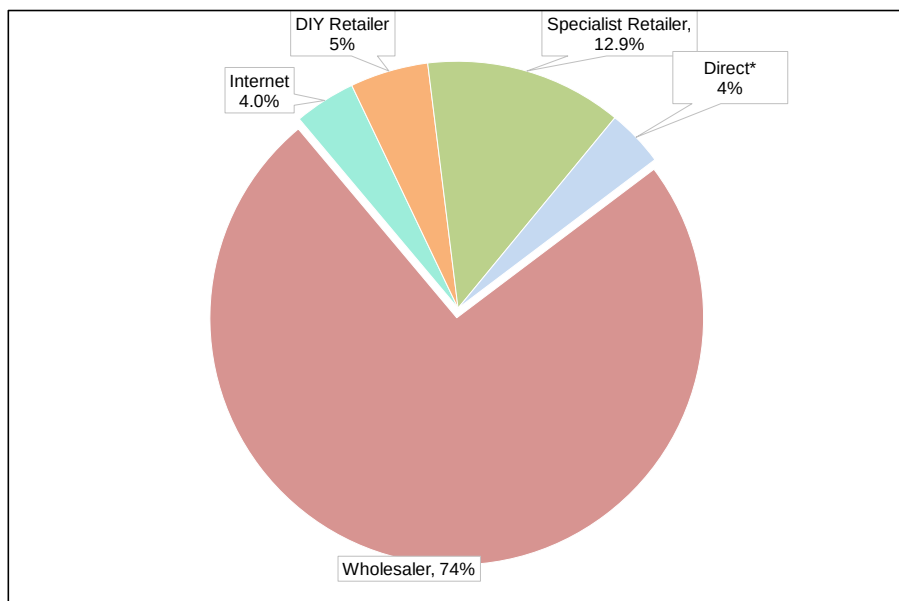
Route to Market - End Use Level					Project		Non-Project	
Wholesaler	Internet	DIY Retailer	Specialist Retailer	Direct*	Residential	Non-Residential	Residential	Non-Residential
74.2%	4.0%	5.1%	12.9%	3.8%	25.0%	2.3%	72.2%	0.5%
100%					27.3%		72.7%	

1.7.4 Route to Market - Consolidated View : Baths

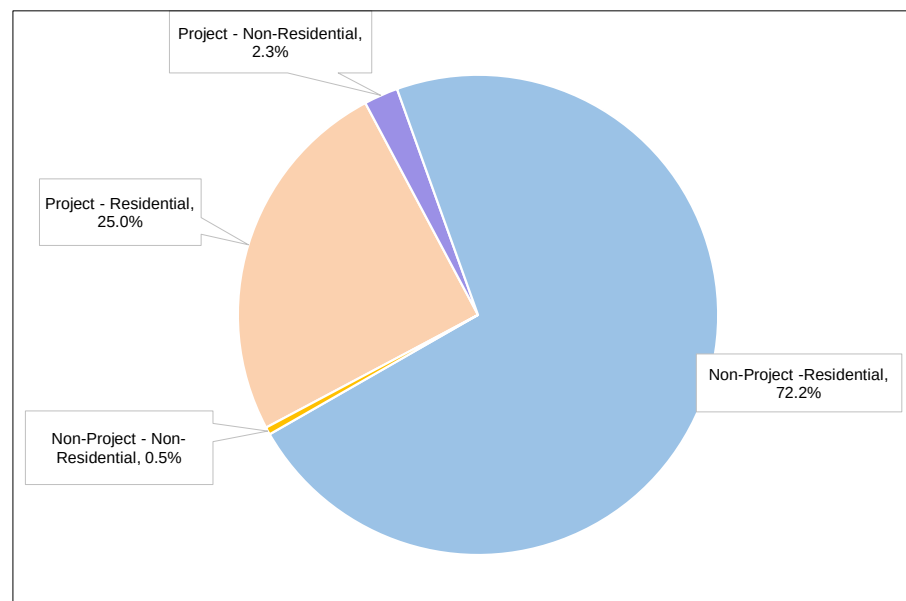
CH - ESTIMATED DISTRIBUTION FOR BATHS : 2024

Route to Market - End Use Level					Project		Non-Project	
Wholesaler	Internet	DIY Retailer	Specialist Retailer	Direct*	Residential	Non-Residential	Residential	Non-Residential
70.4%	5.0%	6.7%	13.2%	4.7%	23.8%	2.4%	73.3%	0.5%
100%					26.2%		73.8%	

CH - SALES OF BATHS BY DISTRIBUTION CHANNEL: 2019



CH - SALES OF BATHS BY POINT OF DECISION AND END-USE SECTOR: 2019



Source: BRG Based on Industry Interviews.

*Direct includes sales going directly from manufacturers to installers, contractors and private customers.

1.7.5 Route to Market: Shower Trays
CH - ESTIMATED DISTRIBUTION FOR SHOWER TRAYS: 2019

Manufacturer / Importer	Manufacturers / Importers
	100.0%

Wholesale Level	80.5%
	Wholesalers / Merchants
	80.5%

Retail Level	Manufacturer	Wholesaler	Manufacturer	Wholesaler	Manufacturer	Wholesaler
	3.4%	6.1%	6.7%	2.1%	7.1%	4.0%
	Internet Retailers		DIY Retailers		Specialist Retailers	
	9.5%		8.8%		11.1%	

Manufacturer	Wholesaler	Internet	DIY	Specialist
2.3%	68.0%	0.0%	0.0%	8.1%
Installers				
78.4%				

End Use Level	Manufacturer	Wholesaler	Internet	DIY	Specialist	Installer	Manufacturer	Wholesaler	Internet	DIY	Specialist	Installer
	0.0%	0.3%	9.5%	8.8%	2.0%	77.1%	0.0%	0.0%	0.0%	0.0%	1.0%	1.3%
	Residential						Non-Residential					
	97.7%						2.3%					
	New Build			Residential RMI			New Build			Non-Residential RMI		
	40.7%			57.0%			1.2%			1.1%		
	Project		Non-Project	Project		Non-Project	Project		Non-Project	Project		Non-Project
	31.0%		9.7%	9.0%		48.0%	1.0%		0.2%	1.0%		0.1%

1.7.6 Route to Market: Shower Trays
CH - ESTIMATED DISTRIBUTION FOR SHOWER TRAYS: 2024

Manufacturer / Importer	Manufacturers / Importers
	100.0%

Wholesale Level	80.0%
	Wholesalers / Merchants
	80.0%

Retail Level	Manufacturer	Wholesaler	Manufacturer	Wholesaler	Manufacturer	Wholesaler
	3.6%	6.3%	6.9%	2.3%	7.0%	5.0%
	Internet Retailers		DIY Retailers		Specialist Retailers	
	9.9%		9.2%		12.0%	

Manufacturer	Wholesaler	Internet	DIY	Specialist
2.2%	66.0%	0.0%	0.0%	10.0%
Installers				
78.2%				

End Use Level	Manufacturer	Wholesaler	Internet	DIY	Specialist	Installer	Manufacturer	Wholesaler	Internet	DIY	Specialist	Installer
	0.3%	0.4%	9.9%	9.2%	1.0%	76.2%	0.0%	0.0%	0.0%	0.0%	1.0%	2.0%
	Residential						Non-Residential					
	97.0%						3.0%					
	New Build			Residential RMI			New Build			Non-Residential RMI		
	47.0%			50.0%			1.8%			1.2%		
	Project		Non-Project	Project		Non-Project	Project		Non-Project	Project		Non-Project
	36.0%		11.0%	8.0%		42.0%	1.6%		0.2%	1.2%		0.0%

Source: BRG Based on Industry Interviews. - Totals may vary due to roundings

1.7.7 Route to Market - Consolidated View : Shower Trays

CH - ESTIMATED DISTRIBUTION FOR SHOWER TRAYS : 2019

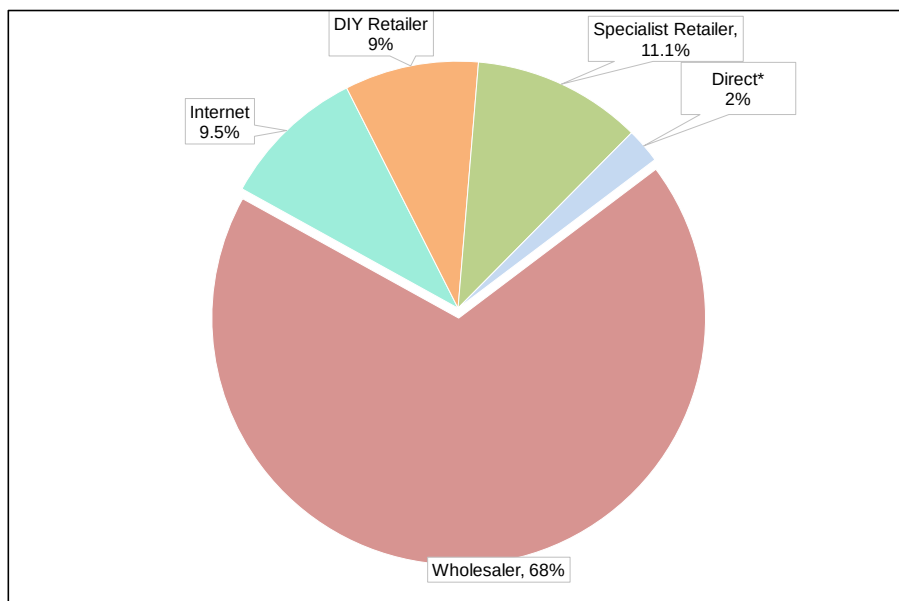
Route to Market - End Use Level					Project		Non-Project	
Wholesaler	Internet	DIY Retailer	Specialist Retailer	Direct*	Residential	Non-Residential	Residential	Non-Residential
68.3%	9.5%	8.8%	11.1%	2.3%	40.0%	2.5%	56.7%	0.8%
100%					42.5%		57.5%	

1.7.8 Route to Market - Consolidated View : Shower Trays

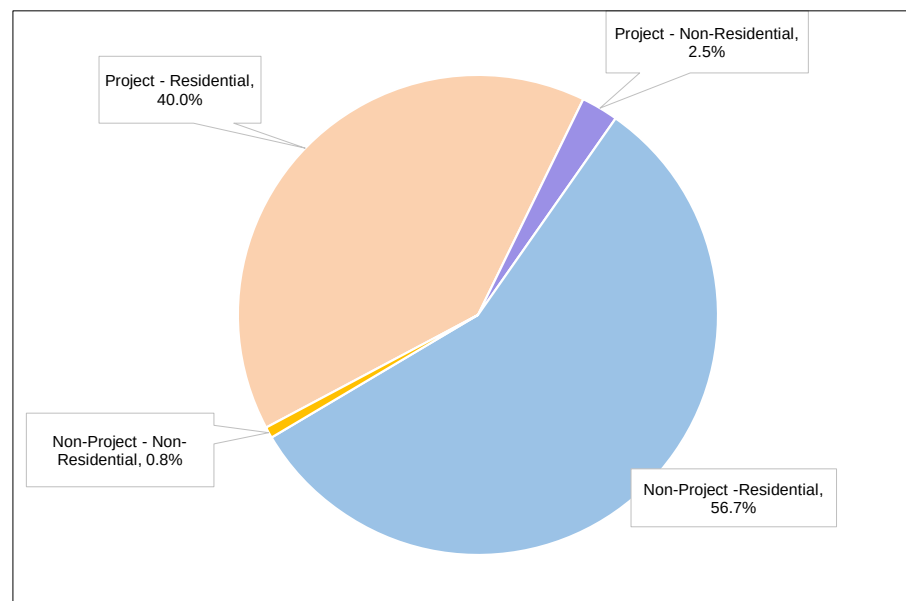
CH - ESTIMATED DISTRIBUTION FOR SHOWER TRAYS : 2024

Route to Market - End Use Level					Project		Non-Project	
Wholesaler	Internet	DIY Retailer	Specialist Retailer	Direct*	Residential	Non-Residential	Residential	Non-Residential
66.4%	9.9%	9.2%	12.0%	2.5%	44.0%	3.2%	51.8%	1.0%
100%					47.2%		52.8%	

CH - SALES OF SHOWER TRAYS BY DISTRIBUTION CHANNEL: 2019



CH - SALES OF SHOWER TRAYS BY POINT OF DECISION AND END-USE SECTOR: 2019



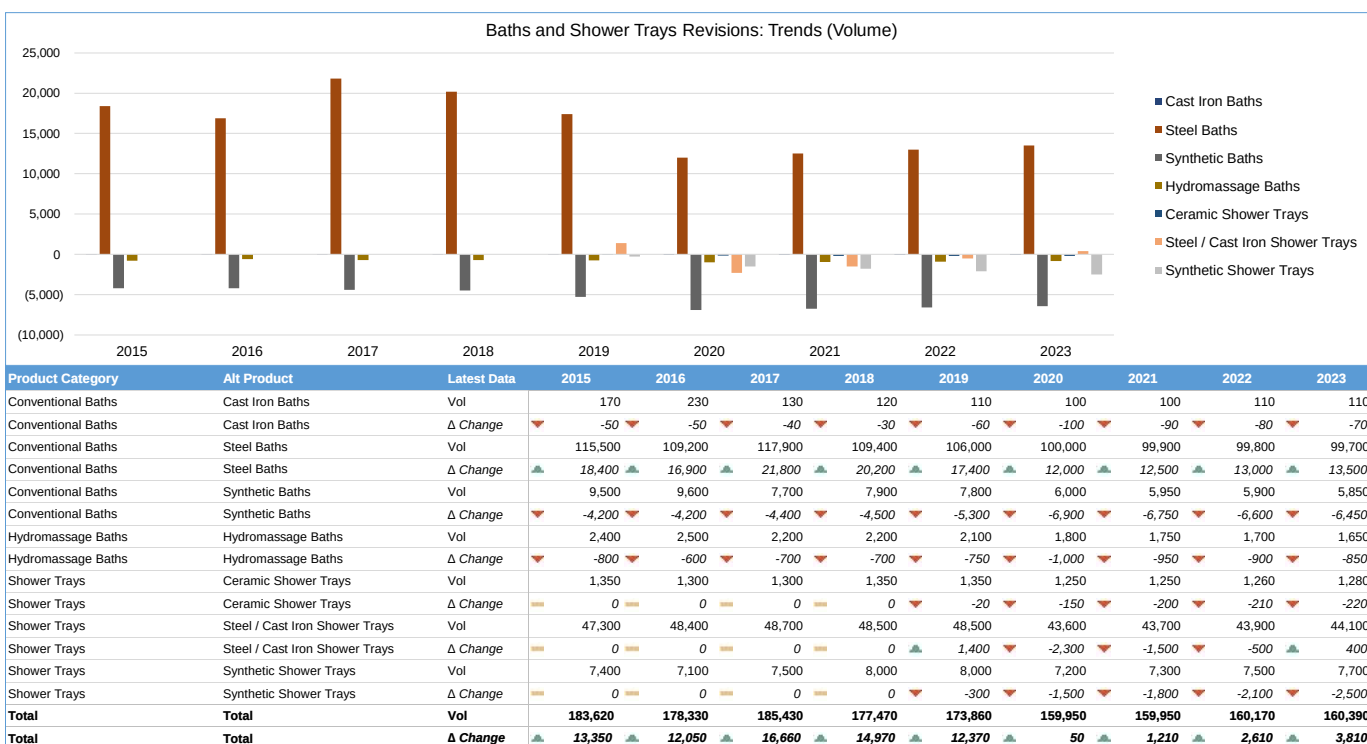
Source: BRG Based on Industry Interviews.

*Direct includes sales going directly from manufacturers to installers, contractors and private customers.

1.8 Revisions in the Swiss Baths and Shower Trays Market (July 2020)

CH - REVISIONS IN THE SWISS BATHS AND SHOWER TRAYS MARKET

Data Comparison: July 2019



All historical baths including steel, synthetic, cast iron and hydromassage models have been revised, due to more accurate data that became available from the industry, which also affected the 2019 sales as well as the forecast.

All 2019 shower tray market volumes, including synthetic, steel/cast iron and ceramic models have been revised accordingly due to the changes in the product mix. The overall shower tray market was strongly affected negatively by walk in showers in wet rooms, which gained strong popularity in the past, but in the near past the walk-in showers caused many problems such as the drain attack the substance of the house. As a result, walk-in showers are now prohibited in wooden houses, which are very popular in Switzerland. Other experiences such as hygiene issues in joint/groove between the tiles declined the demand on walk-in showers and this should continue in the coming years, which could affect the overall shower tray market positively in the coming years.

SWITZERLAND

SANITARY WARE

THE EUROPEAN BATHROOM & KITCHEN PRODUCT MARKETS



Market Characteristics and Technological Trends

The Swiss sanitary ware market is a highly mature market and, therefore, largely subject to cyclical drivers as well as to the economic development in the country. The overall sanitary ware market has been stagnating at around 900,000 pieces per annum for the last decade. Changes in the market size can be attributed to major economic development such as the European debt crisis and the development of the Swiss Franc, plus the consequent volatility in construction expenditures. In recent years, demand for ceramic sanitary ware has surpassed that of the overall sanitary ware market, primarily driven by new housing and large-scale non-housing projects.

Ceramic sanitary ware (CSW) is one of the oldest segments of the overall Swiss bathroom and sanitary market. After the Second World War, individual households started to obtain their own bathrooms, with the toilets often situated in a separate room. The tradition of having a dedicated WC room has perpetuated until today in larger apartments and houses. The ceramic sanitary ware market in Switzerland has historically been streamlined regarding the variety of products offered and consumer choice. Swiss consumers have traditionally preferred quality over aesthetics. However, a trend towards a greater variety of products can be identified. The market is characterised by almost all sanitary ware sold in Switzerland being white. Almost all WCs in new build sector are wall hung, of which an increasing amount are rimless. In the RMI sector, the share of floor standing WCs is higher because replacements are easier to carry out than displacements. Urinals for domestic use (with a lid for aesthetic purposes) are being promoted by some manufacturers, but are considered to be luxury goods. Most urinal sales go to public applications and, in recent years, waterless urinals have gained share.

As the market is highly mature, market growth depends on product innovations and niche solutions such as shower toilets WCs. The rimless WC, introduced by the market leaders, was accepted well and the product spurred growth. Other recent product innovations have been in the field of ceramic surfaces, such as non-stick and easy to clean and accessible ceramic sanitary ware (*barrierefrei*), adapted to the needs of the elderly – e.g. higher and broader WCs, roll-under washbasins and shower trays with extra grip.

Cisterns on the market are almost completely made of plastic. Concealed cisterns are always non-ceramic. The marginal share of ceramic cisterns is mainly sold as close-coupled, and mainly for high-priced suites. It is thought that all are pre-fitted with push-type selected flush mechanisms. The high penetration of plastic cisterns in Switzerland can be explained by the presence of the dominating Swiss producer, the indisputable market leader GEBERIT, which has managed to set plastic cisterns as the standard. Concealed cisterns are, in general, replacement products for exposed cisterns and are regularly installed, in both the new housing and non-housing sectors. Concealed cisterns are used in almost all public sector applications. The usual type of installation is a dry installation with frame.

The share of washbasins sold with a base unit has increased in recent years. Both vanity basins that cover the whole base unit surface and bowl basins that sit on top of the furniture are common products in new build non-residential projects, such as hotels and restaurants.

Recent Market Trends

In 2019 the Swiss sanitary ware market performed positively, and total sales increased slightly. The growth was carried by more WC, washbasin, concealed plastic cistern and non-ceramic washbasin sales. In contrast, sales of other CSW and exposed plastic cisterns slightly declined, and they were compensated for by the growth of the other products.

Switzerland has a comparably high share of non-housing buildings. Almost one third of the country's real estate buildings are used for commercial purposes such as sales, gastronomy, industry, offices, logistics and storage. Moreover, the amount of special real estate is disproportionately big when compared to the total building stock, as there are many old people's homes, shopping malls and infrastructure establishments. In 2019, the non-housing construction activity was positive and the growth supported the overall sanitary ware sales. In non-residential properties, it is common to have mainly ceramic WCs and washbasins, which both dominate the market.

Total sales of 'other' CSW products continued to decrease in 2019 when compared to 2018. The product range consists of products such as pedestals and half pedestals. Pedestal sales by major manufacturers have almost entirely vanished. Half pedestals can still be found on the market, e.g. in secondary bathrooms or low-cost hotels (both being places that usually do not feature bathroom furniture). Urinals are rarely used in residential houses. These products are less common nowadays, as they are replaced by other products. Instead of using pedestals, it has become a standard to install furniture under a washbasin. Bidets are being replaced by growing sales of shower toilets. In Swiss households the share of shower toilets is estimated to be around 20%. It is important to mention that shower toilets, which represent strong and growing competition for bidets, are not only in demand from high-end residential, but also to the upper-class non-residential market, especially luxury hotels and restaurants, in which the penetration rate of such WC models is increasing.

As expected, share of floor-standing WCs, which mostly use a low-level wall hung plastic cistern, have continued to fall while wall hung WCs gained share in 2019. As a result, concealed plastic cisterns experienced some strong growth, whereas exposed models declined further.

Prices and Market Values

Sanitary ware pricing depends on the locality of the manufacturer and how wide their distribution is. Local manufacturers are more sensitive to local price shifts and

sensitivity, while larger manufacturers can maintain fixed nationwide price strategies. Sanitary ware usually provides dealers with a margin of approximately 40% of the list price; this figure can increase to up to 60% if dealers sign one-year contracts with manufacturers in advance. Switzerland has, together with the Nordic countries, one of the highest price levels for sanitary ware in Europe. The reasons for this are mainly the consumers' high purchasing power, the generally stable economy of the country, and the dominance of the wholesale channel.

The middle price segment is shrinking on a small scale and demand increases either from the economy/lower or the upper/luxury segments. Swiss consumers are more price-sensitive when compared to 10 years ago, and the strong Swiss Franc makes it attractive to purchase products abroad. It is believed that during the years of the currency appreciation, an increasing number of Swiss consumers used the internet and cross-border trade to purchase products.

Products in the lower price segment are sold mainly through DIY stores. The economy price segment has long been accounted for by single pieces. However, DIY stores have started to offer complete lines. These products are usually sourced from Asian or Eastern European manufacturers and/or importers. Products in the upper segment are sold mainly through specialist retailers, who offer complete lines and usually work with West European manufacturers or importers. The manufacturer's selling price (MSP) for all sanitaryware products increased in 2019, as labour and raw material costs grew further. Due to the maturity of the sanitary ware market, the levels of margins are already low, so the manufacturers had to pass the increasing costs on to the distributors. Changes in the price segmentations also pushed up the average prices.

New Housing

Demand for all sanitary ware products slightly decreased in 2019, due to the negative development in the new building market. Constructions of multi-family building completions had a marginal decline when compared to 2018, whereas 1-2 family dwelling completions stayed stable. In this respect it is important to mention that the market for 'other' ceramic sanitary ware is mainly fuelled by the ceramic shower trays and ceramic sinks. Whereas concealed models are regarded as a standard by the Swiss population, the use of exposed plastic cisterns in new build is marginal and mainly to be found in social housing. Washbasins represent the best-performing market in terms of the new housing segment, due to the tendency to install more than one washbasin per bathroom when possible. Nowadays, it is considered standard in private and rented properties to have a washbasin in combination with bathroom furniture, which has reduced demand for pedestals and half pedestals to a niche segment.

Housing RMI

Almost every single house in Switzerland is equipped with at least one bathroom, and according to statistics, about half of all occupied properties have at least two bathrooms. Consequently, first-time installations are rather rare. According to

housing statistics, almost two thirds of all dwellings that were built between 1961 and 1980 have not been renovated since their construction. There is potential for RMI activity as this segment represents the major end use for bathroom products. Houses built during this time have a single bathroom unless they are upper/luxury properties. Sales to the replacement segment make up the largest share of the market. As such, the development in RMI impacts the overall sanitary ware market. This is especially true in the case of exposed plastic cisterns, which are highly dependent upon this end-use segment due to their lower cost and easier installation when compared to the concealed alternatives.

When taking a closer look at the washbasin market, it is noticeable that the non-ceramic market is increasing, even if it is only a marginal part of the whole washbasin market. According to industry research, non-ceramic washbasins are becoming popular in the luxury RMI sector. In fact, demand for new designs and forms is increasing in the bathroom market, and Swiss consumers are willing to invest in more expansive products when renovating. This trend is expected to further develop in the forecast period.

Overall RMI activities in Switzerland grew marginally in 2019 when compared to the previous year. Consequently, this resulted in a slight increase in washbasin, WC and concealed plastic cistern sales, whereas demand for exposed plastic cisterns and 'other' CSW declined. A reason for this was the strong performance of the new housing market, which occupies installers' work capacity.

Non-Housing

Non-residential construction slightly increased in 2019, due to growing investments in certain industries such as healthcare, education and tourism. For example, over 3,500 new and refurbished hotel rooms were added to the Swiss housing market. These three segments created stronger demand for CSW products, which are commonly found in the hospitality and healthcare industries. The positive development of non-housing buildings contributed to an increase in sales for this segment. As previously mentioned, non-housing buildings and public facilities are readily available in Switzerland, and more than a quarter of total sales volume is dedicated to this segment alone. When looking at 'other' CSW, around two thirds of sales are dedicated to the non-housing segment. Products such as urinals are mainly installed in public restrooms and half pedestals are mainly to be found in hotels. Sales numbers of urinals and half pedestals decreased in 2019 when compared to the previous year. In non-housing bathrooms, a strong demand has been noticed for washbasins that are moulded as one piece and do not have any joins. Such washbasins are regarded to have a higher level of hygiene. Therefore, they are appreciated in hospitals and hotels. Overall, demand for most product categories increased in this segment in 2019, thanks to the strong non-housing activity. Demand for other CSW, exposed plastic cisterns and urinal flushing vales was negative in this end use segment in 2019.

Supply Structure

The supply structure is strongly marked by the regional split of the country. Every region is dominated by smaller suppliers, which tend to have a strong position that depends on the location of each canton. The only exception is the domestic manufacturer and clear market leader on a national scale, LAUFEN (ROCA). ROCA products are distributed by SANITAS TROESCH on the Swiss market. The Turkish manufacturer VITRA is offering products for more price-oriented customers and has developed strongly in the project sector in the past, although in the last few years it has lost a significant part of its market share. IDEAL STANDARD is represented by agents, who offer a complete range of ceramic sanitary ware. Wholesalers have increased the competition for established brands in recent years, by offering private label products. These sales are usually included in 'others' in the market share tables.

The Swiss company GEBERIT acquired SANITEC in February 2015, after having bought over 99% of shares in the company. Following this acquisition, GEBERIT owns all the former SANITEC brands, including KERAMAG, CERAVID, and POZZI. However, the brand KERAMAG was shut down in April 2019, and GEBERIT simplified its portfolio for bathroom and ceramic products. Some of KERAMAG's ceramic products are now offered by the brand GEBERIT, while others were completely removed from the portfolio. Furthermore, BEKON-KORALLE was acquired by the Swiss AFG ARBONIA group in July 2016.

Regarding the shower toilet market, there are two major market players in Switzerland: CLOS-O-MAT from the UK and its main competitor GEBERIT, with its brand AQUACLEAN.

The market for plastic cisterns is strongly controlled by a handful of suppliers. GEBERIT is one of the world's largest manufacturers of plastic cisterns. The operating subsidiary of the GEBERIT GROUP is based in Jona. GROHE is also present on the market and is represented in Switzerland by a subsidiary and several distribution partners.

Forecasts

Given the exceptional circumstances related to the spread of the COVID-19 virus and measures in place for its containment, forecasts for 2020 and beyond are based on the latest information available at the time of publication. BRG has attempted to factor in the latest developments – see Macroeconomic data in Table II.3, and supporting summary table at the end of the Background section.

Overall, the trends from 2019 continued in the first quarter of 2020. New housing activity is forecast to continue to decline further, but keep its high level. The unexpected ongoing COVID-19 pandemic worldwide is changing business negatively. The negative impacts are likely to decrease demand for sanitary ware products in 2020. The tourism industry in Switzerland, which represents a big

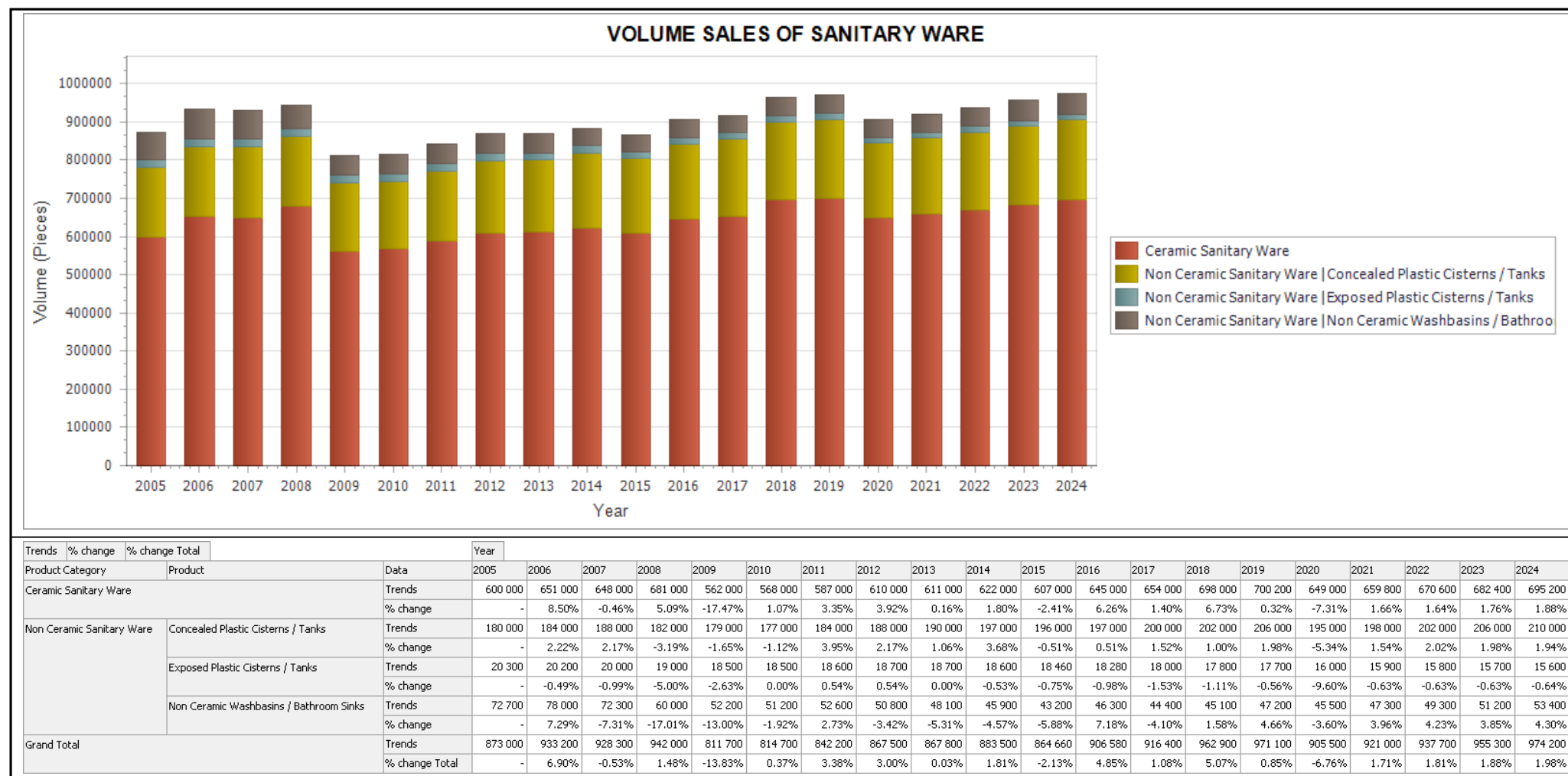
demand on sanitary ware was heavily affected, as hotels and restaurants were fully closed in March and April 2020. Many of them struggled to survive, due to the lack of income during this time, which should reduce the financial availability for the needed bathroom renovations. Moreover, apart from online sales, all other distribution channels were restricted and working hours in manufacturing sites were curbed down massively. All sanitary ware product sales should decline strongly as a whole in 2020.

Assuming the COVID-19 pandemic will be brought under control in the coming quarters, from 2021 onwards and the growing GDP, along with a declining but high level of new housing activity, the overall sanitary ware demand is predicted to recover and increase again. The trends seen in 2019 with growing WC, washbasin and concealed plastic cisterns and declining others CSW as well as exposed plastic cisterns, should continue from 2021 onwards. As already mentioned, these declining products are outdated and are being replaced by more modern bathroom solutions.

RMI activities are believed to start to increase during the forecast period, for several reasons. Since it is unlikely that new housing prices are going to decrease anytime soon, the number of complete renovations may increase instead, especially as the apartment boom is weakening. If a family cannot afford to build a new place, they might decide to renovate their current property or look for another one. Furthermore, the presence of new apartment buildings on the market, due to the construction boom of the last few years, may trigger refurbishments of existing apartments to make them more attractive to be rented. The non-housing sector is likely to be fuelled by further investments, which will create further significant growth. Growing renovation activities for bathrooms, in the field of age adaptations, are also likely to influence the market positively. All these drivers are expected to create demand for the three main sanitary ware markets. Hence, washbasins, WCs and concealed plastic cisterns are expected to grow gradually. 'Other' CSW, exposed plastic cisterns and urinal flushing values are most likely to remain on a downward trend for the whole forecast period.

2.2.1 Historical Trends and Forecasts : Sanitary Ware

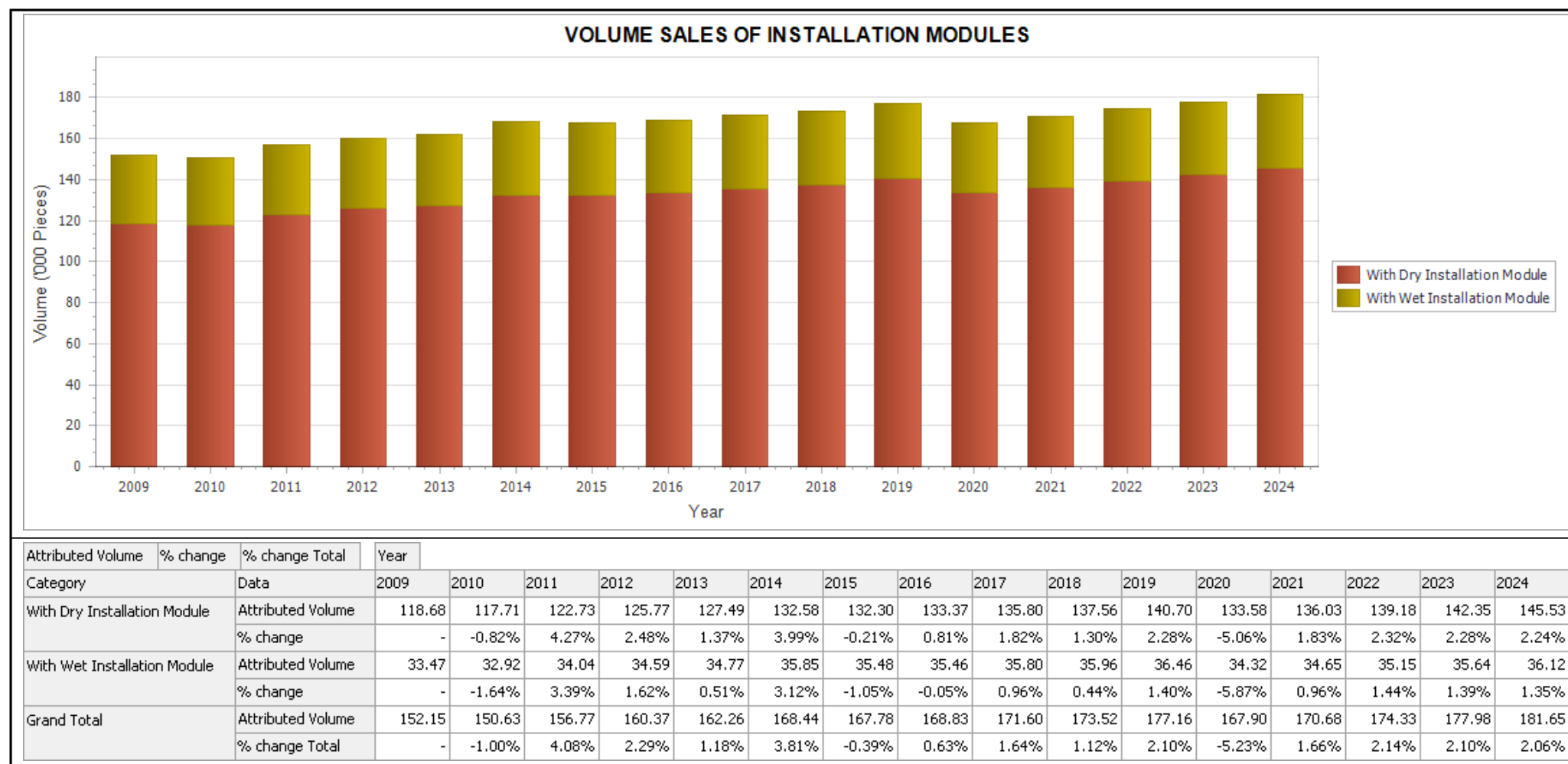
CH - SUMMARY OF TRENDS IN THE SANITARY WARE MARKET : HISTORICAL AND FORECASTS



Source: BRG based on industry interviews.

2.2.2 Historical Trend and Forecasts: Installation Mod.

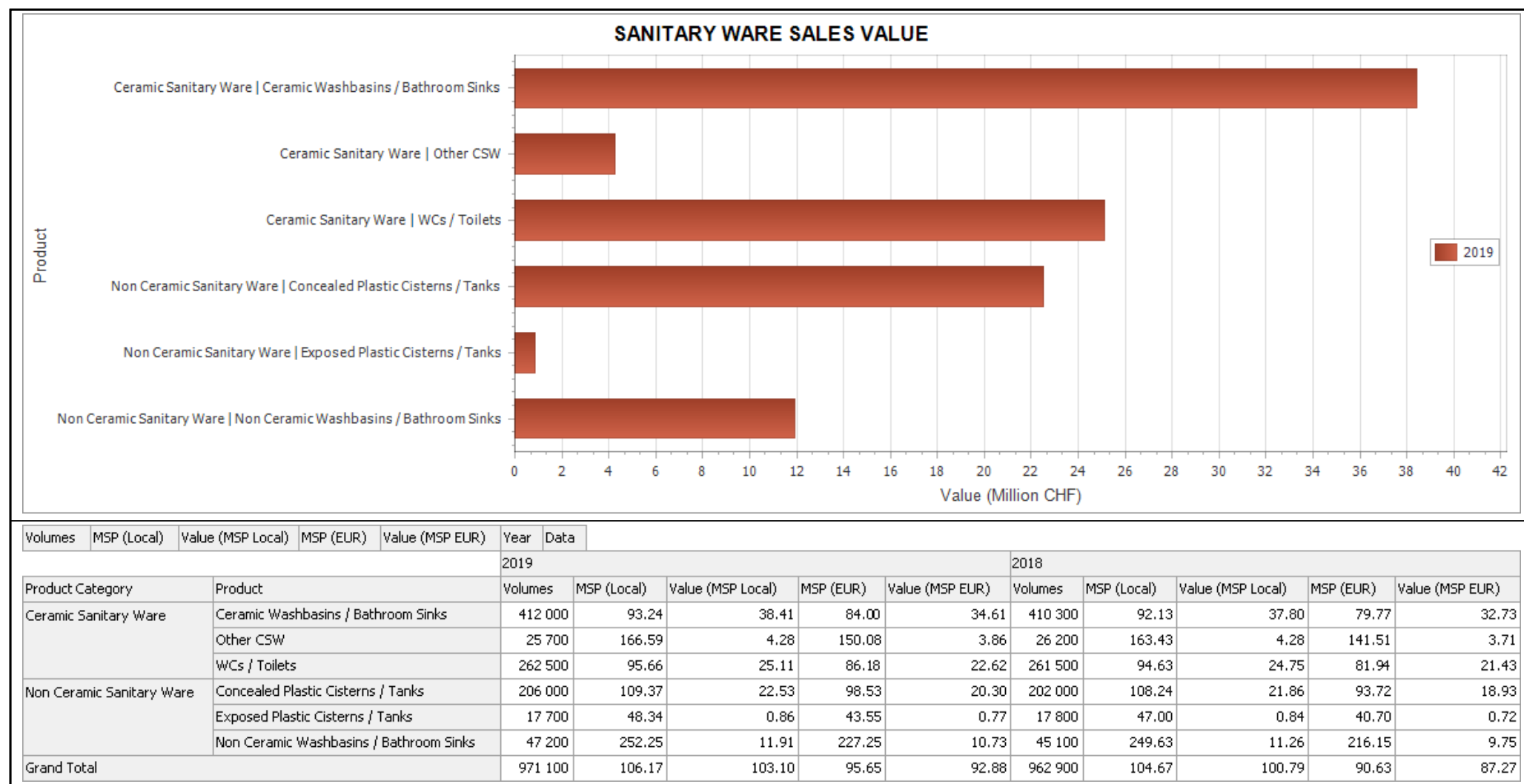
CH - SUMMARY OF TRENDS IN THE INSTALLATION MODULE MARKET : HISTORICAL AND FORECASTS ('000 PIECES)



Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding.

2.3.1 Prices and Market Values : Sanitary Ware

CH - ESTIMATED VALUES OF THE SANITARY WARE MARKET



Source: BRG based on industry interviews. Local Prices Shown in CHF. Values Shown in Millions (at MSP = Manufacturers' Selling Price).

2.3.2 Prices and Market Values by Type : CSW

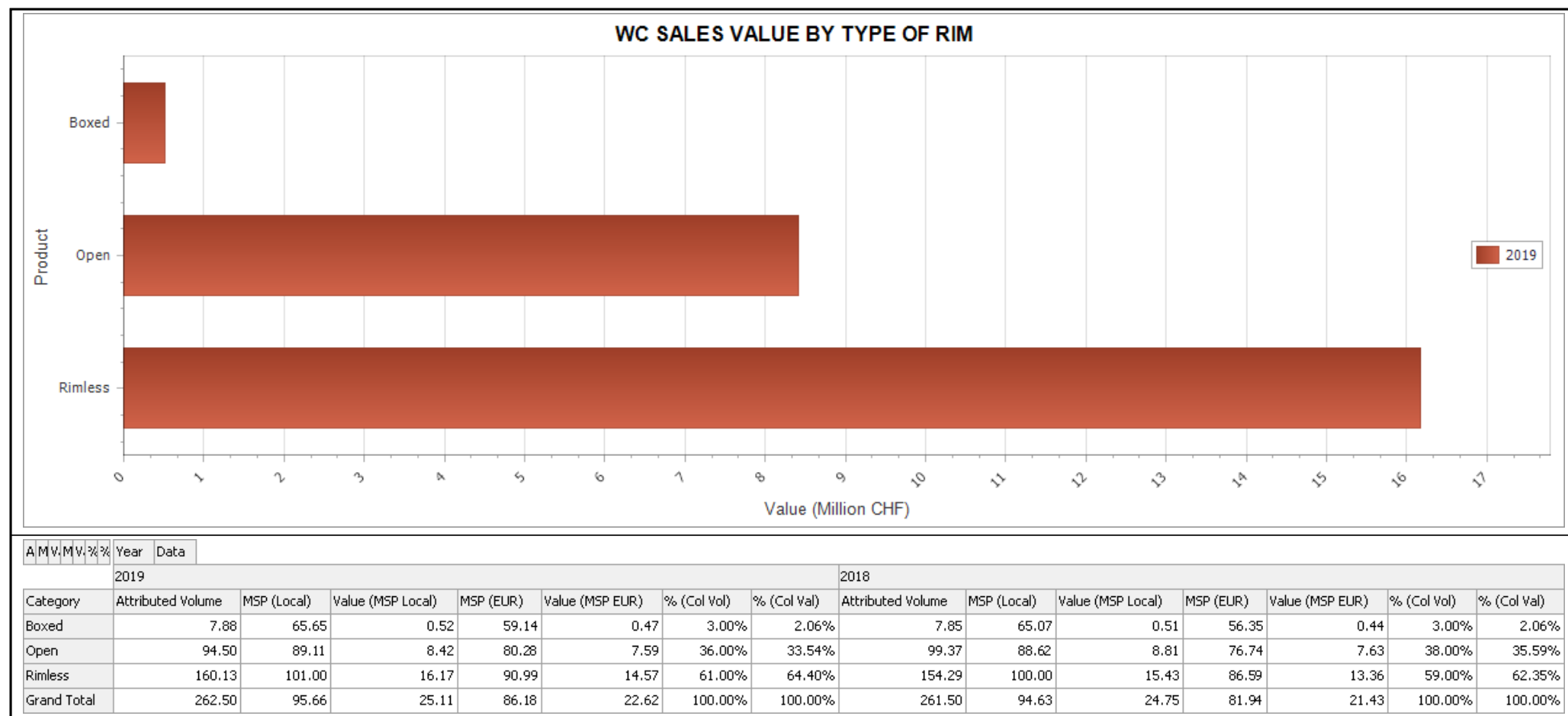
CH - ESTIMATED VALUES OF THE CERAMIC SANITARY WARE MARKET BY TYPE OF PRODUCT

Attributed	% (Col Vol)	MSP (Local)	Value (MSP)	MSP (EUR)	Value (MSP)	% (Col Vol)	Year	Data								
2019									2018							
Alt Product	Category	Attributed Volume	% (Col Vol)	MSP (Local)	Value (MSP Local)	MSP (EUR)	Value (MSP EUR)	% (Col Vol)	Attributed Volume	% (Col Vol)	MSP (Local)	Value (MSP Local)	MSP (EUR)	Value (MSP EUR)	% (Col Vol)	
Ceramic Washbasins / Bathroom Sinks	Countertop Washbasins	142.14	34.50%	116.15	16.51	104.64	14.87	42.98%	139.50	34.00%	115.00	16.04	99.58	13.89	42.44%	
	Hand Washbasins	25.96	6.30%	62.62	1.63	56.42	1.46	4.23%	26.26	6.40%	62.00	1.63	53.68	1.41	4.31%	
	Inset Washbasins	12.36	3.00%	105.04	1.30	94.63	1.17	3.38%	12.31	3.00%	104.00	1.28	90.05	1.11	3.39%	
	Pedestal Washbasins	2.06	0.50%	80.80	0.17	72.79	0.15	0.43%	2.05	0.50%	80.00	0.16	69.27	0.14	0.43%	
	Semi-Recessed Washbasins	1.24	0.30%	110.09	0.14	99.18	0.12	0.35%	1.23	0.30%	109.00	0.13	94.38	0.12	0.35%	
	Undermount Washbasins	12.36	3.00%	99.99	1.24	90.08	1.11	3.22%	12.31	3.00%	99.00	1.22	85.72	1.06	3.22%	
	Wall Hung Washbasins	215.89	52.40%	80.80	17.44	72.79	15.71	45.41%	216.64	52.80%	80.00	17.33	69.27	15.01	45.85%	
Other CSW	Bidets	2.19	8.50%	85.85	0.19	77.34	0.17	4.38%	2.23	8.50%	85.00	0.19	73.60	0.16	4.42%	
	Close-Coupled Cisterns	3.98	15.48%	106.05	0.42	95.54	0.38	9.86%	4.28	16.34%	105.00	0.45	90.92	0.39	10.50%	
	Kitchen Sinks	3.10	12.06%	421.47	1.31	379.71	1.18	30.52%	3.07	11.71%	417.00	1.28	361.07	1.11	29.88%	
	Others	0.39	1.50%	40.40	0.02	36.40	0.01	0.36%	0.39	1.50%	40.00	0.02	34.63	0.01	0.37%	
	Pedestals & Half Pedestals	2.49	9.70%	78.78	0.20	70.97	0.18	4.59%	2.57	9.80%	78.00	0.20	67.54	0.17	4.68%	
	Shower Trays	1.35	5.25%	224.99	0.30	202.70	0.27	7.09%	1.35	5.16%	222.73	0.30	192.85	0.26	7.03%	
	Urinals	12.21	47.50%	151.50	1.85	136.49	1.67	43.19%	12.31	47.00%	150.00	1.85	129.88	1.60	43.13%	
WCs / Toilets	Close-Coupled WC Bowls	2.63	1.00%	87.87	0.23	79.16	0.21	0.92%	2.62	1.00%	87.00	0.23	75.33	0.20	0.92%	
	Floor Standing WC Bowls	19.69	7.50%	80.80	1.59	72.79	1.43	6.34%	20.92	8.00%	80.00	1.67	69.27	1.45	6.76%	
	Wall Hung WC Bowls	240.19	91.50%	96.96	23.29	87.35	20.98	92.75%	237.97	91.00%	96.00	22.84	83.12	19.78	92.32%	
Grand Total		700.20	100.00%	96.84	67.81	87.24	61.09	100.00%	698.00	100.00%	95.74	66.83	82.90	57.86	100.00%	

Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding. Local Prices Shown in CHF. Volumes Shown in Thousands and Values Shown in Millions (at MSP = Manufacturers' Selling Price).

2.3.3 Prices and Market Values by Type of Rim : WCs

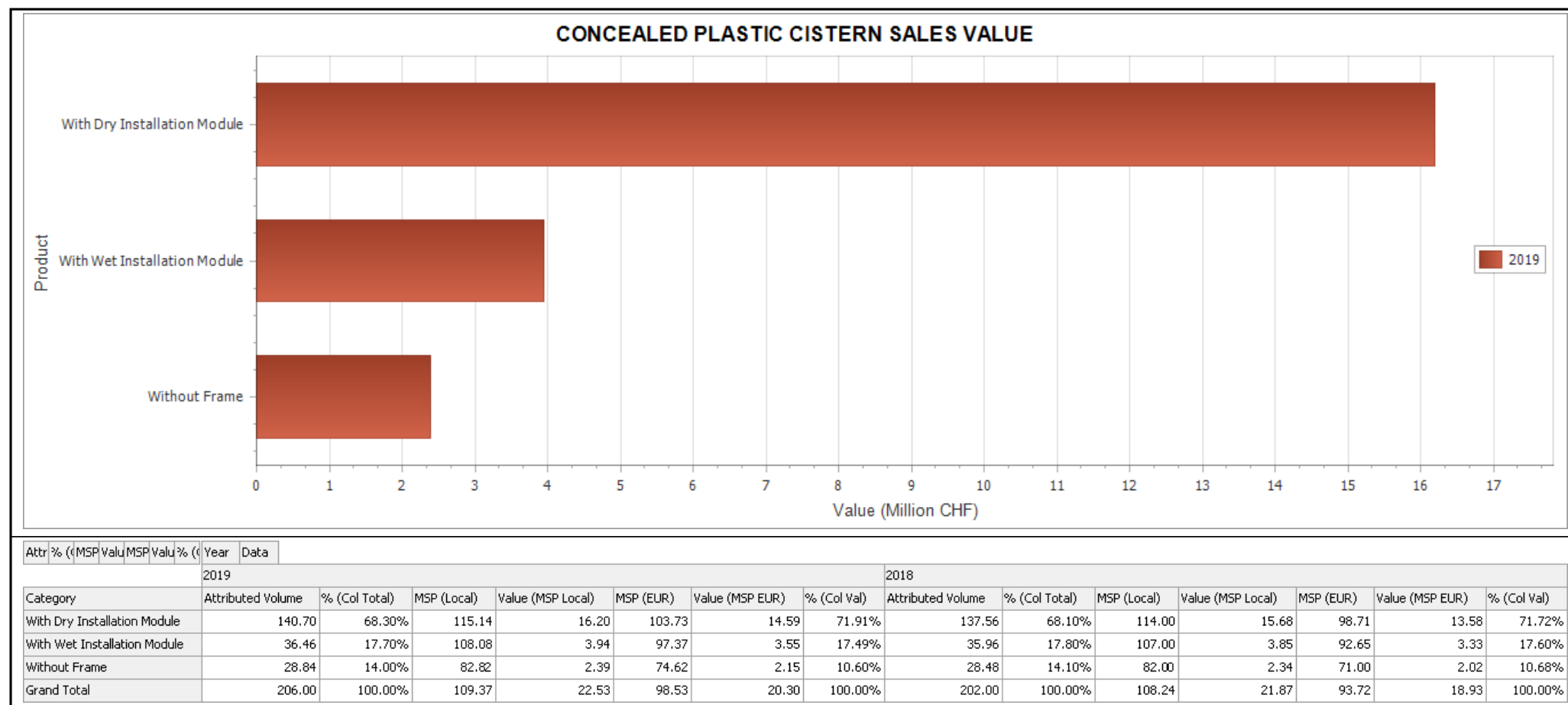
CH - ESTIMATED VALUES OF THE WC MARKET BY TYPE OF RIM



Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding. Local Prices Shown in CHF. Volumes Shown in Thousands and Values Shown in Millions (at MSP = Manufacturers' Selling Price).

2.3.4 Prices and Market Values by Type : Conc. Cisterns

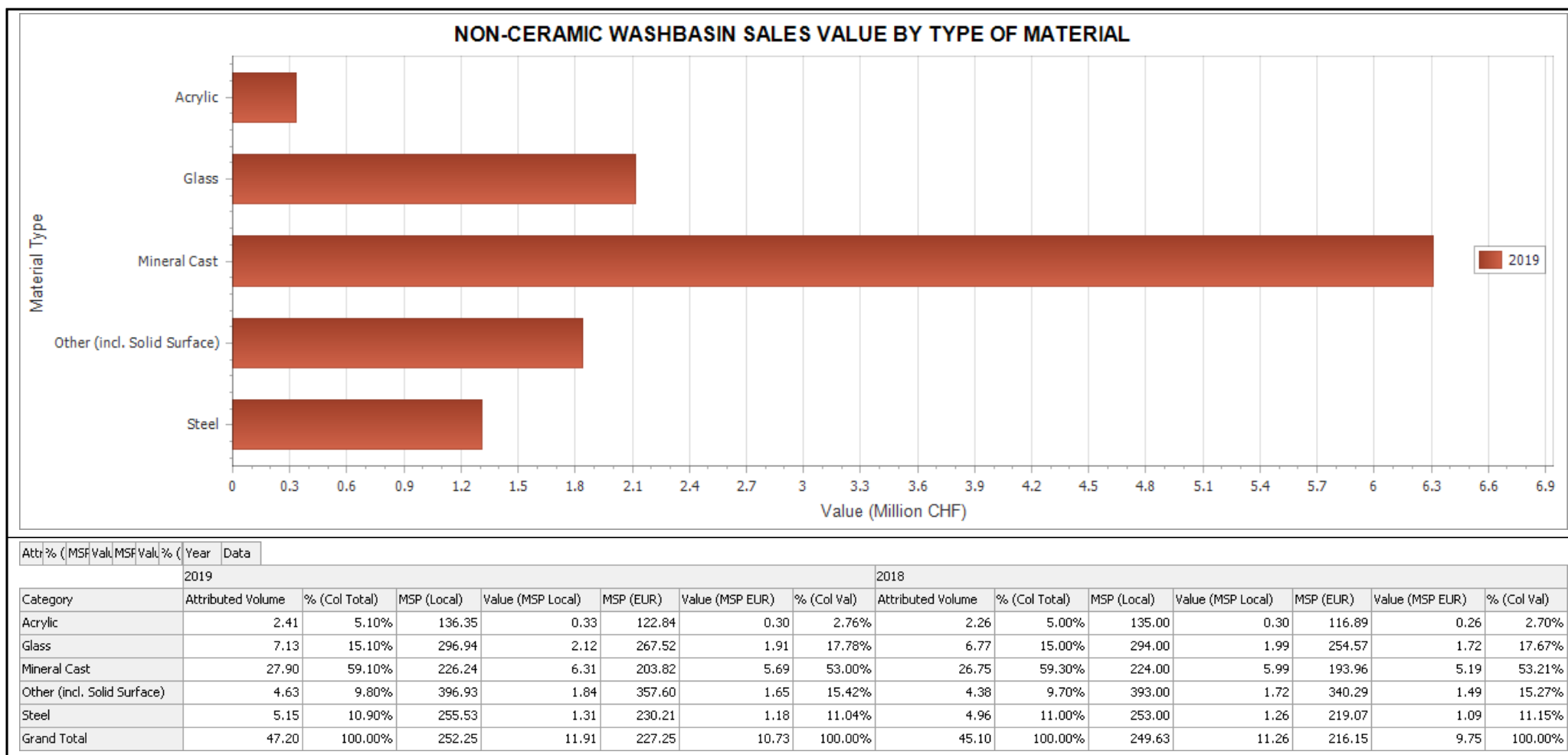
CH - ESTIMATED VALUE OF THE CONCEALED PLASTIC CISTERNS MARKET BY TYPE OF INSTALLATION



Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding. Local Prices Shown in CHF. Volumes Shown in Thousands and Values Shown in Millions (at MSP = Manufacturers' Selling Price).

2.3.5 Prices and Market Values : Non-Ceramic Washbasins

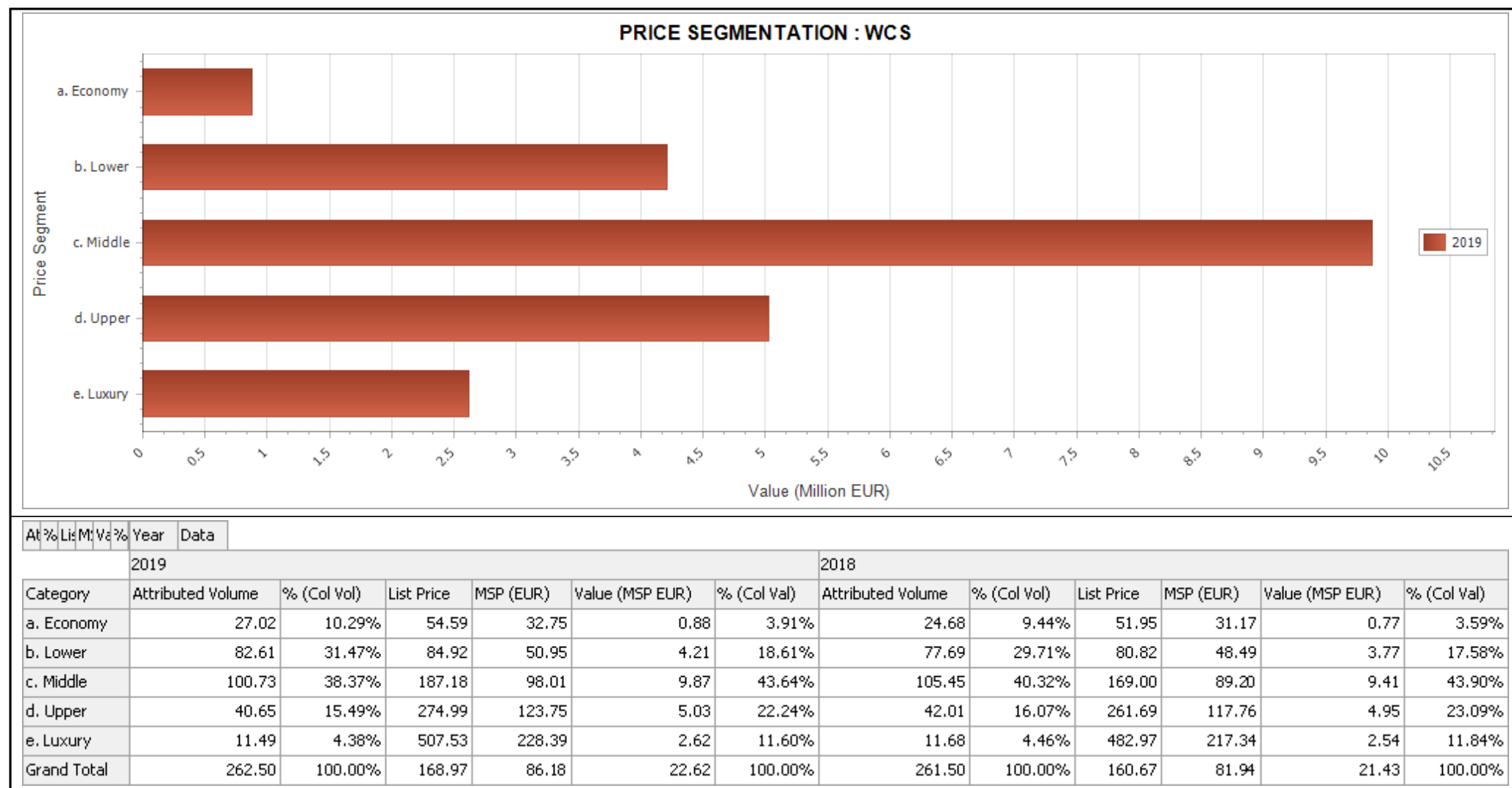
CH - ESTIMATED VALUE OF THE NON-CERAMIC WASHBASIN MARKET BY MATERIAL TYPE



Source: BRG based on industry interviews. Local Prices Shown in CHF. Values Shown in Millions (at MSP = Manufacturers' Selling Price).

2.3.6 Price Segmentation : WCs

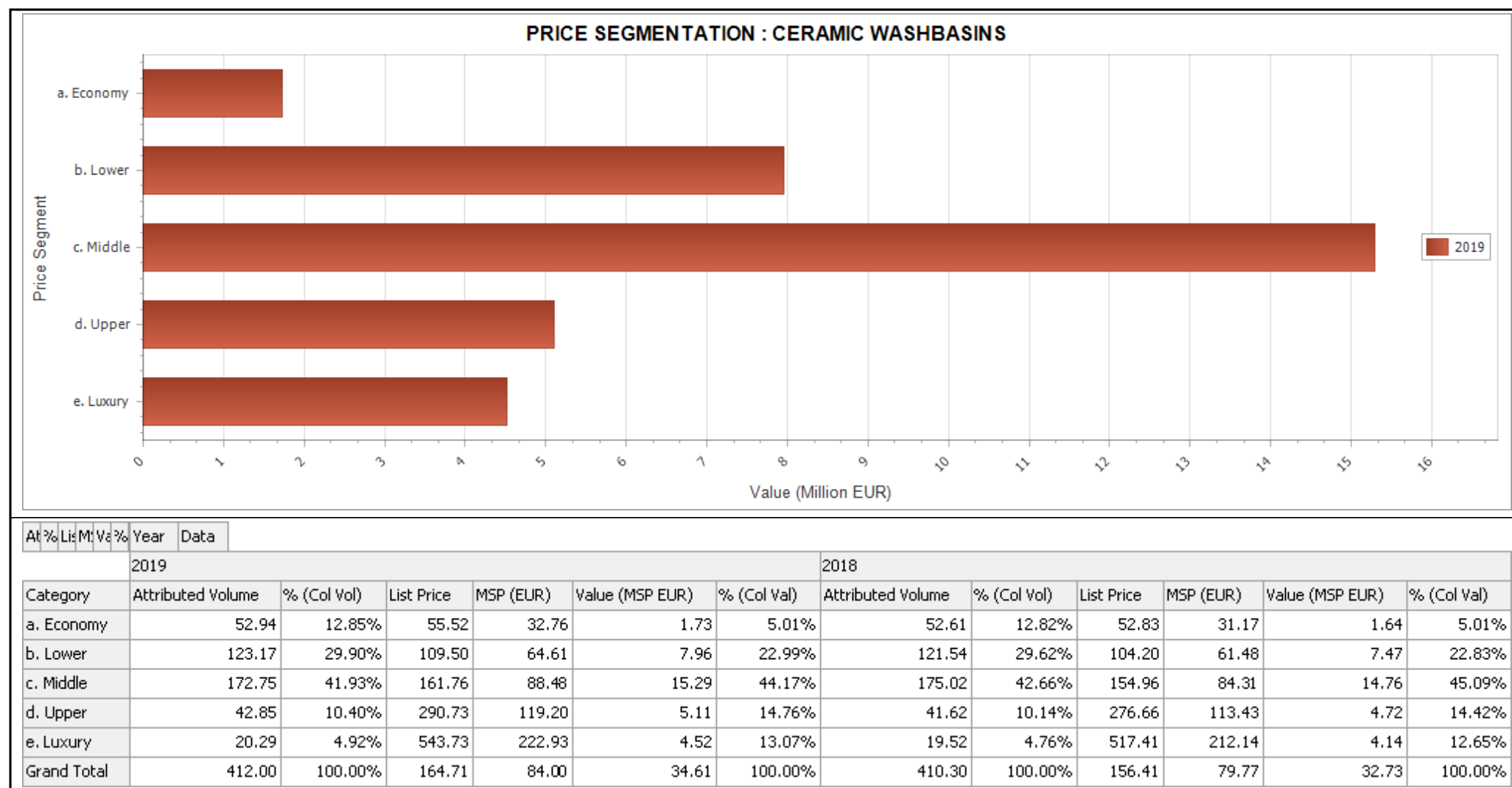
CH - ESTIMATED PRICE SEGMENTATION FOR WC



Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding. Includes all WC Types. Volumes Shown in Thousands and Values Shown in Millions. Economy <€40, Lower €40-€60, Middle €60-€100, Upper >€100-€180, Luxury >€180

2.3.7 Price Segmentation : Ceramic Washbasins

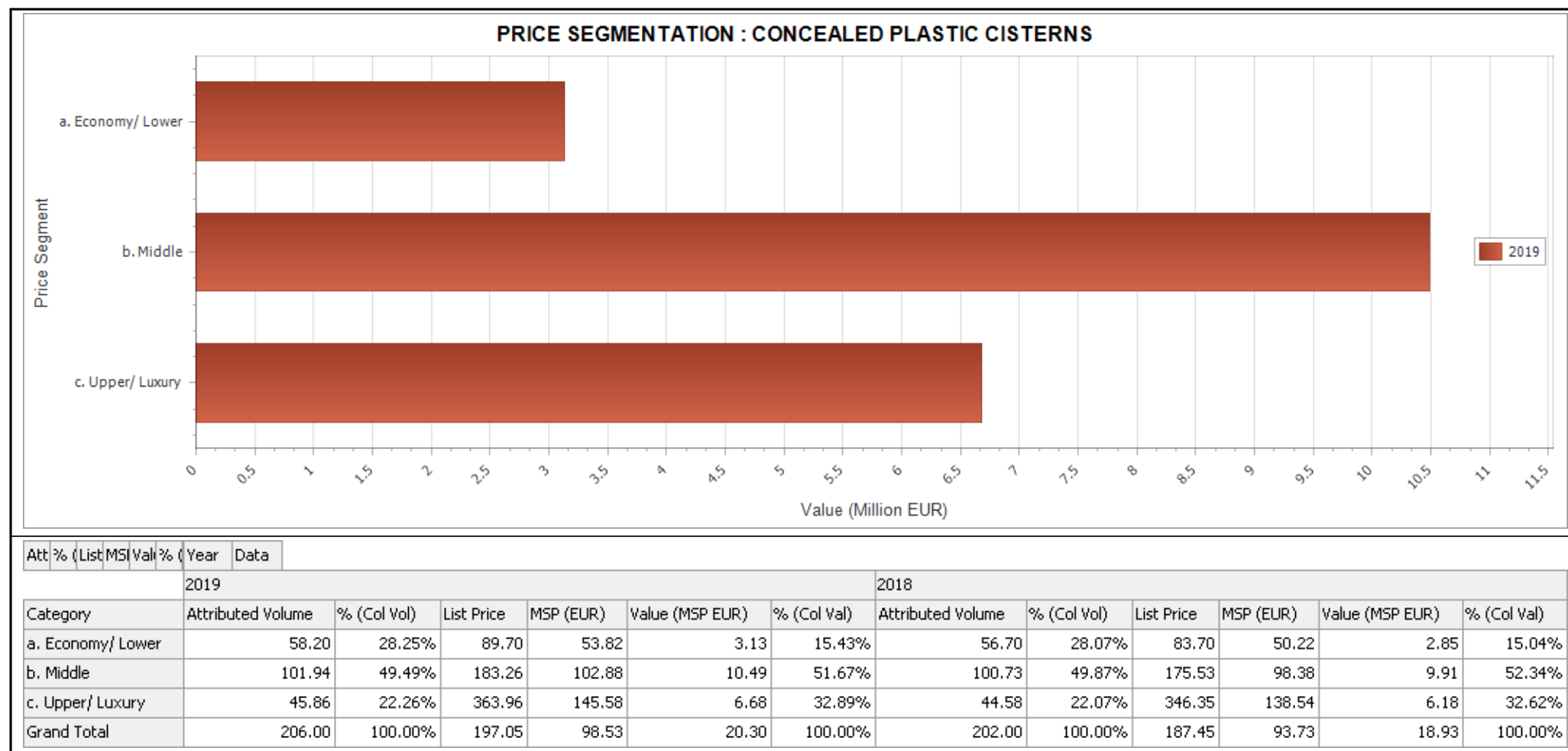
CH - ESTIMATED PRICE SEGMENTATION FOR CERAMIC WASHBASINS



Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding. Includes all Washbasin Types. Volumes Shown in Thousands and Values Shown in Millions. Economy <€40, Lower €40-€75, Middle €75-€100, Upper €100-€180, Luxury >€180

2.3.8 Price Segmentation : Concealed Plastic Cisterns

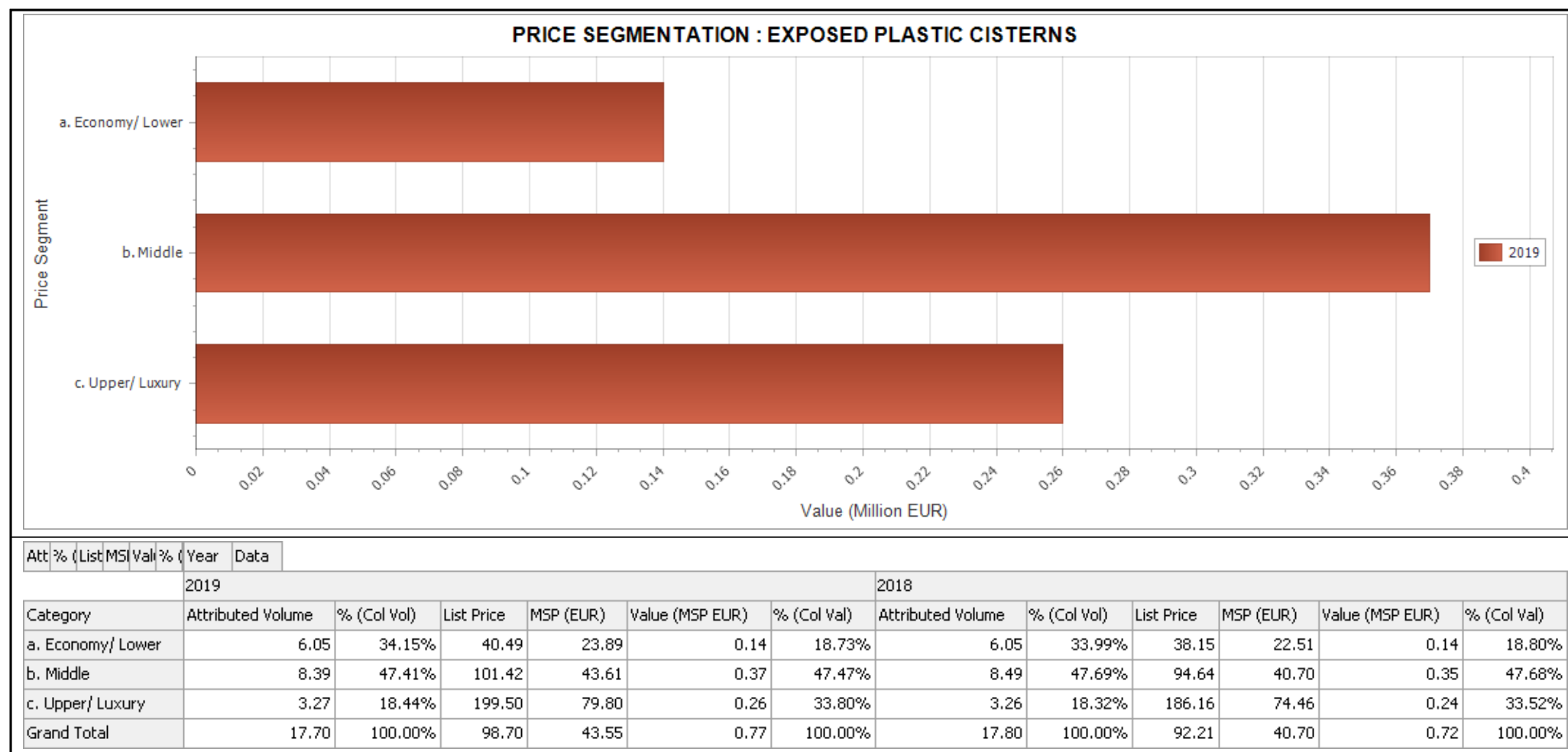
CH - ESTIMATED PRICE SEGMENTATION FOR CONCEALED PLASTIC CISTERNS



Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding. Volumes Shown in Thousands and Values Shown in Millions. Economy/ Lower <€60, Middle €60-€120, Upper/ Luxury >€120

2.3.9 Price Segmentation : Exposed Plastic Cisterns

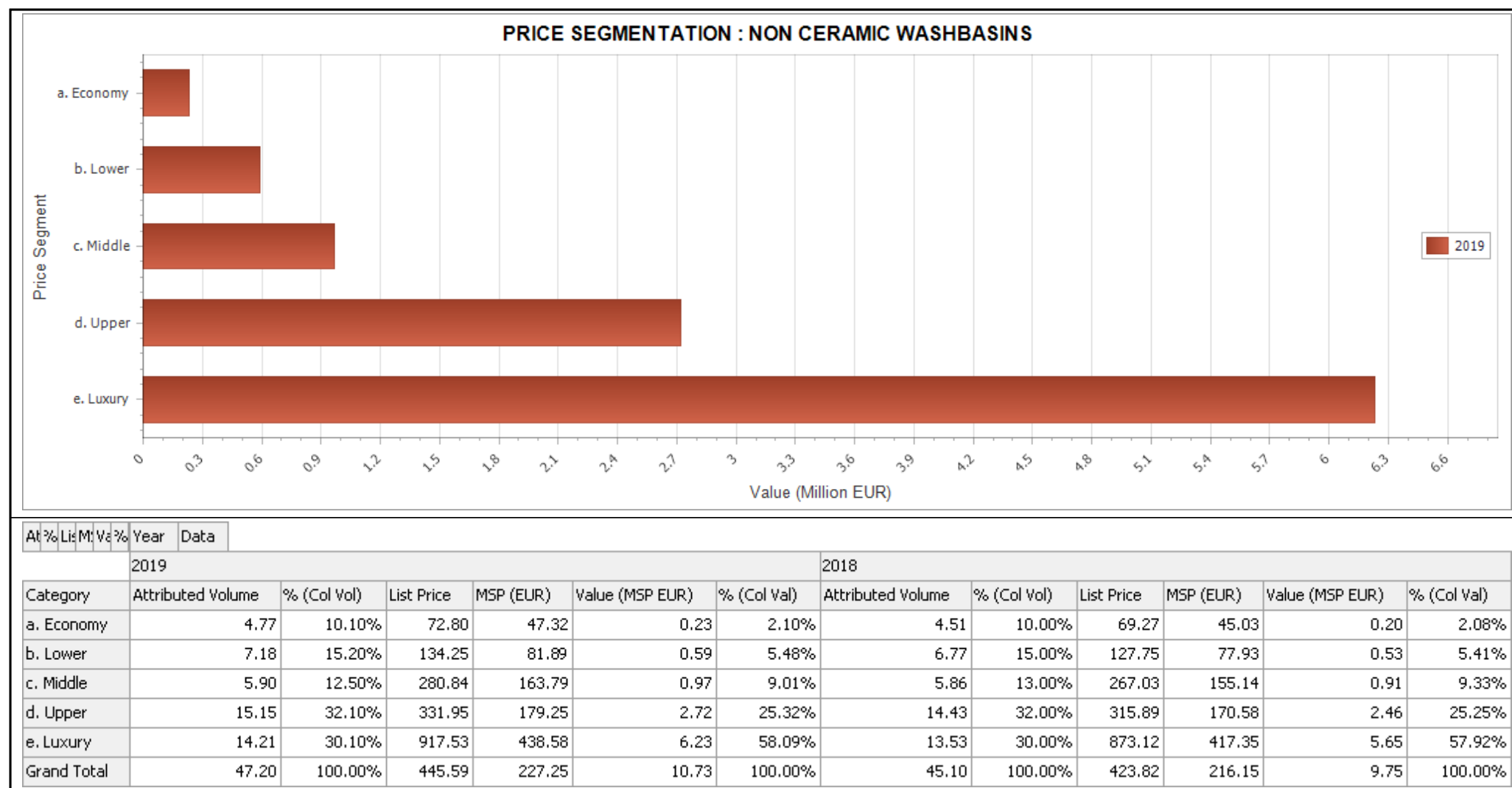
CH - ESTIMATED PRICE SEGMENTATION FOR EXPOSED PLASTIC CISTERNS



Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding. Volumes Shown in Thousands and Values Shown in Millions. Economy/ Lower <€40, Middle €40-€60, Upper/ Luxury >€60

2.3.10 Price Segmentation : Non Ceramic Washbasins

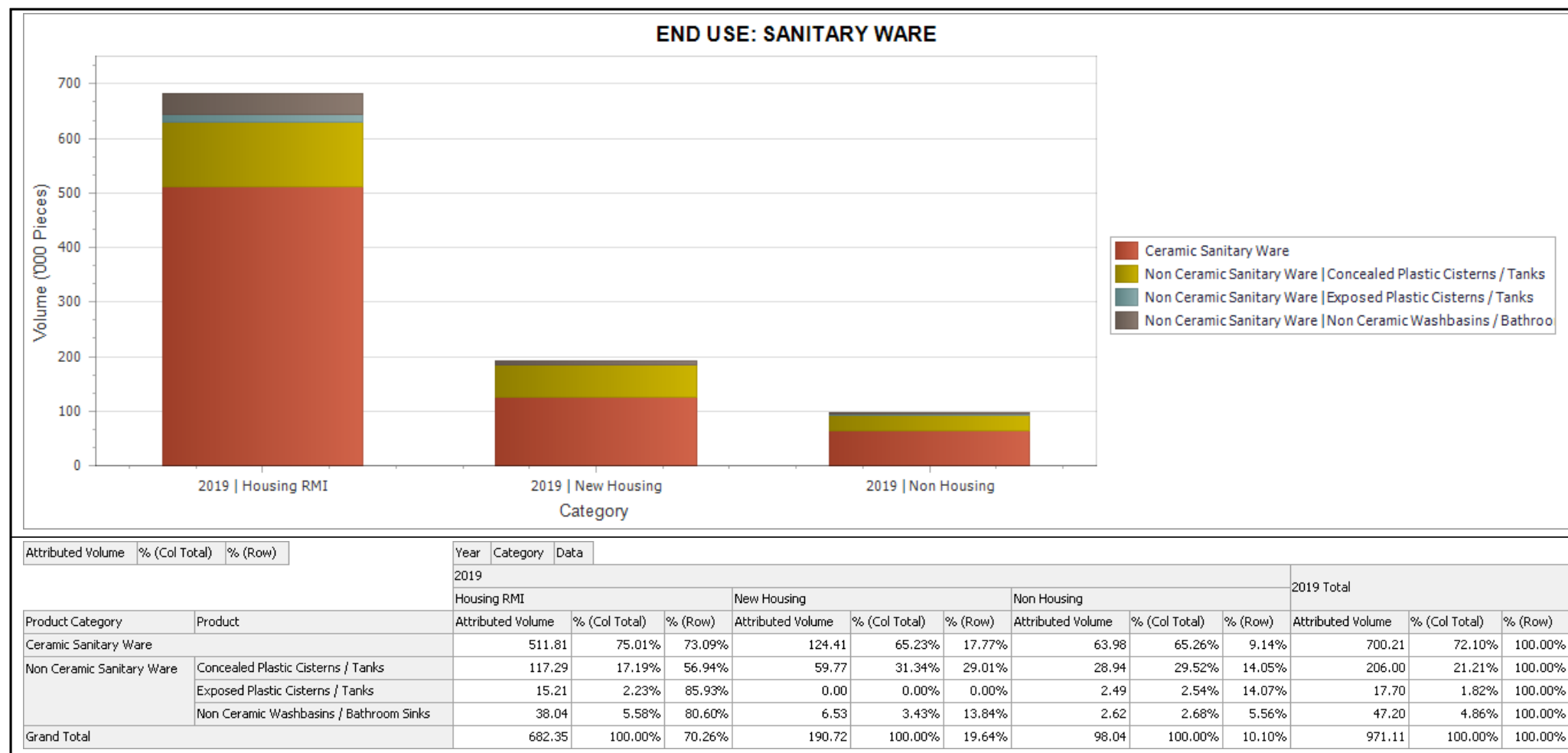
CH - ESTIMATED PRICE SEGMENTATION FOR NON CERAMIC WASHBASINS



Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding. Includes all Washbasin Types. Volumes Shown in Thousands and Values Shown in Millions. Economy <€50, Lower €50-€100, Middle €100-€165, Upper >€165-€200, Luxury >€200

2.4.1 End Use : Base Year

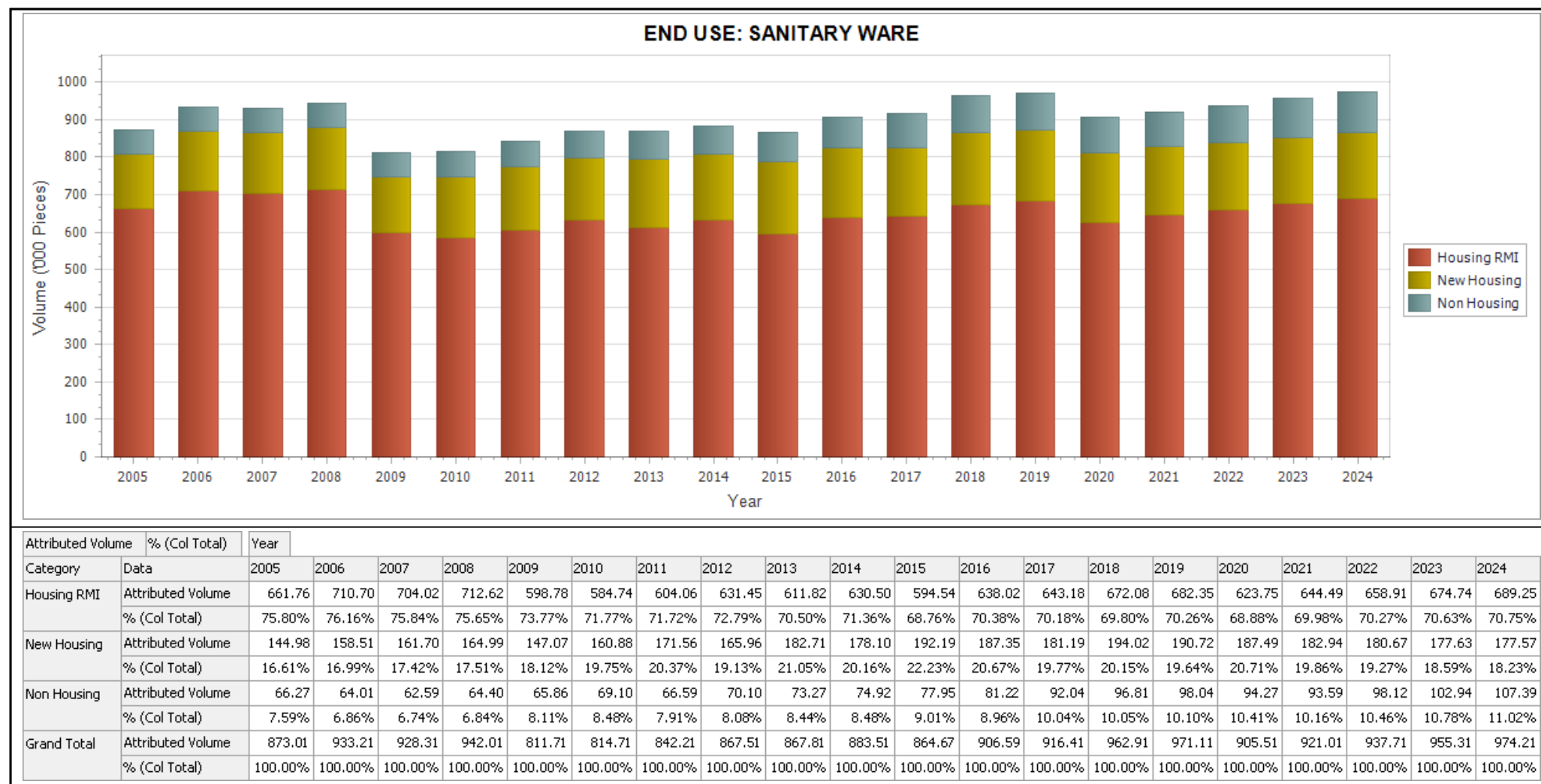
CH - SALES OF SANITARY WARE BY TYPE AND END USE SEGMENT ('000 PIECES)



Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding.

2.4.2 End Use : Historical and Forecasts

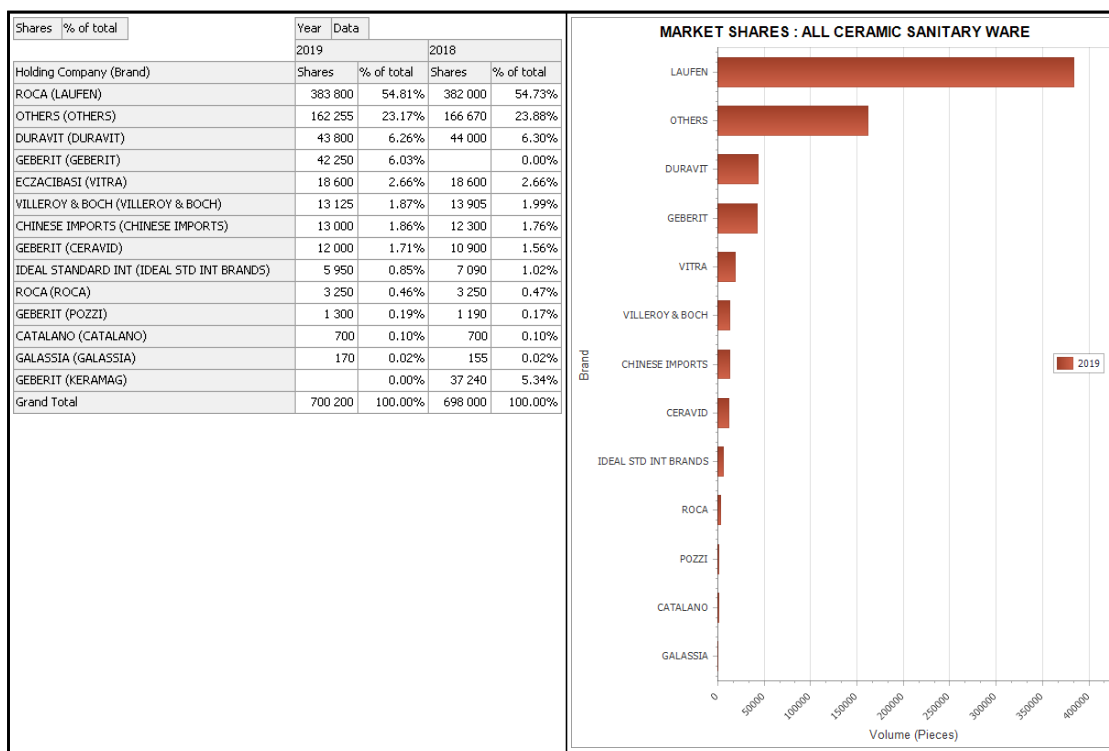
CH - SALES OF SANITARY WARE BY END USE SEGMENT ('000 PIECES)



Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding.

2.5.1 Market Shares : All Ceramic Sanitary Ware

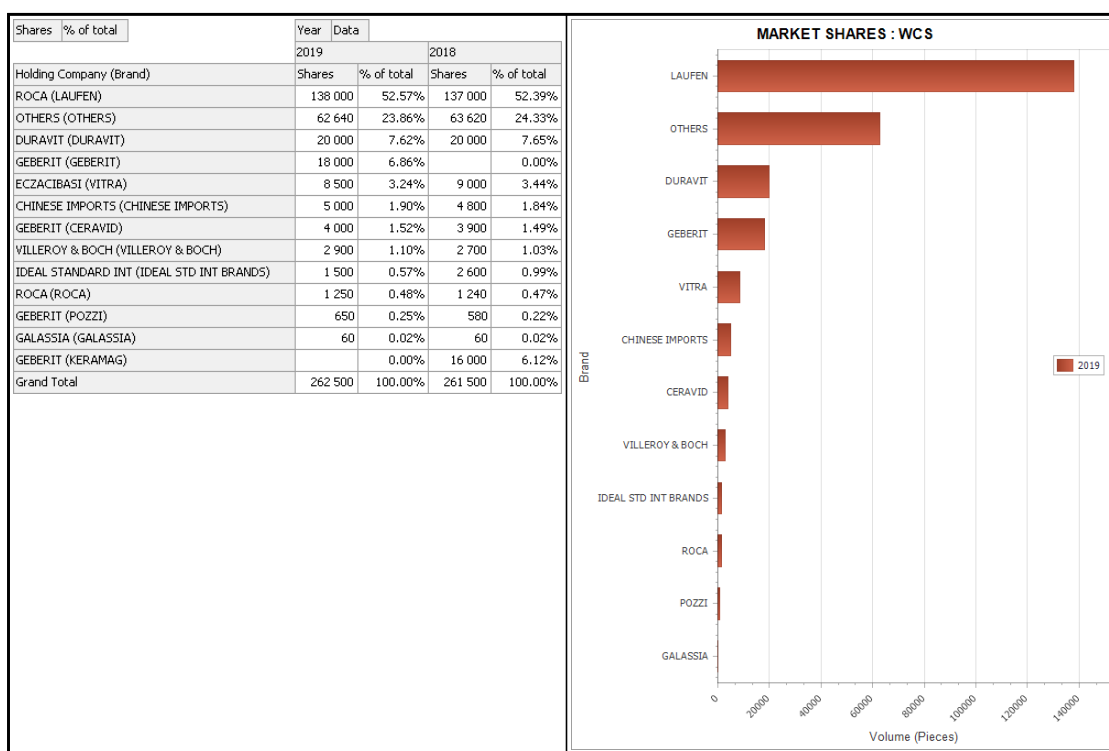
CH - ESTIMATED MARKET SHARES FOR ALL CERAMIC SANITARY WARE



Source: BRG based on industry interviews

2.5.2 Market Shares : WCs

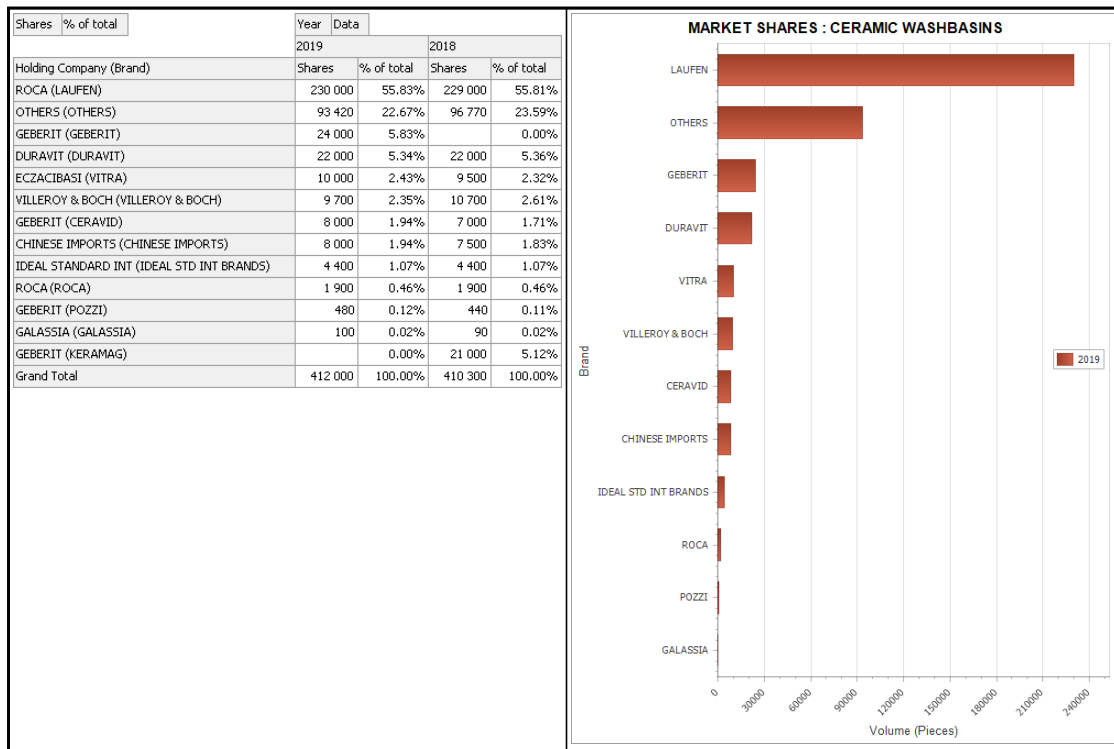
CH - ESTIMATED MARKET SHARES FOR WCS



Source: BRG based on industry interviews

2.5.3 Market Shares : Ceramic Washbasins

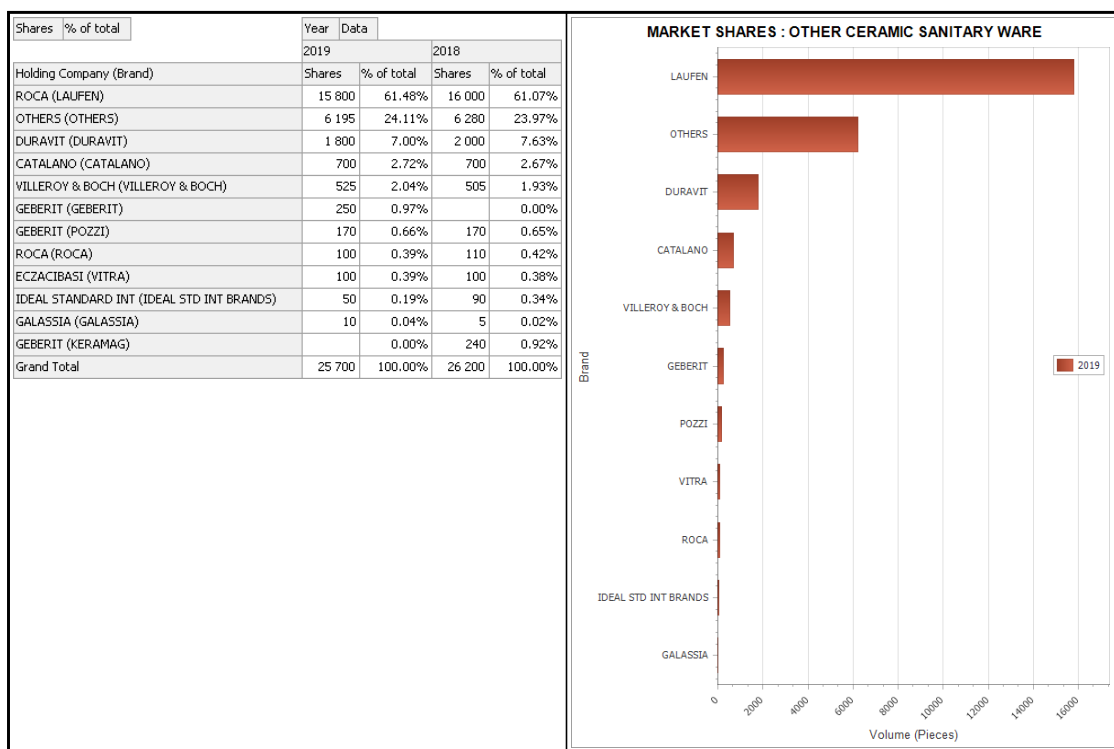
CH - ESTIMATED MARKET SHARES FOR CERAMIC WASHBASINS



Source: BRG based on industry interviews

2.5.4 Market Shares : Other Ceramic Sanitary Ware

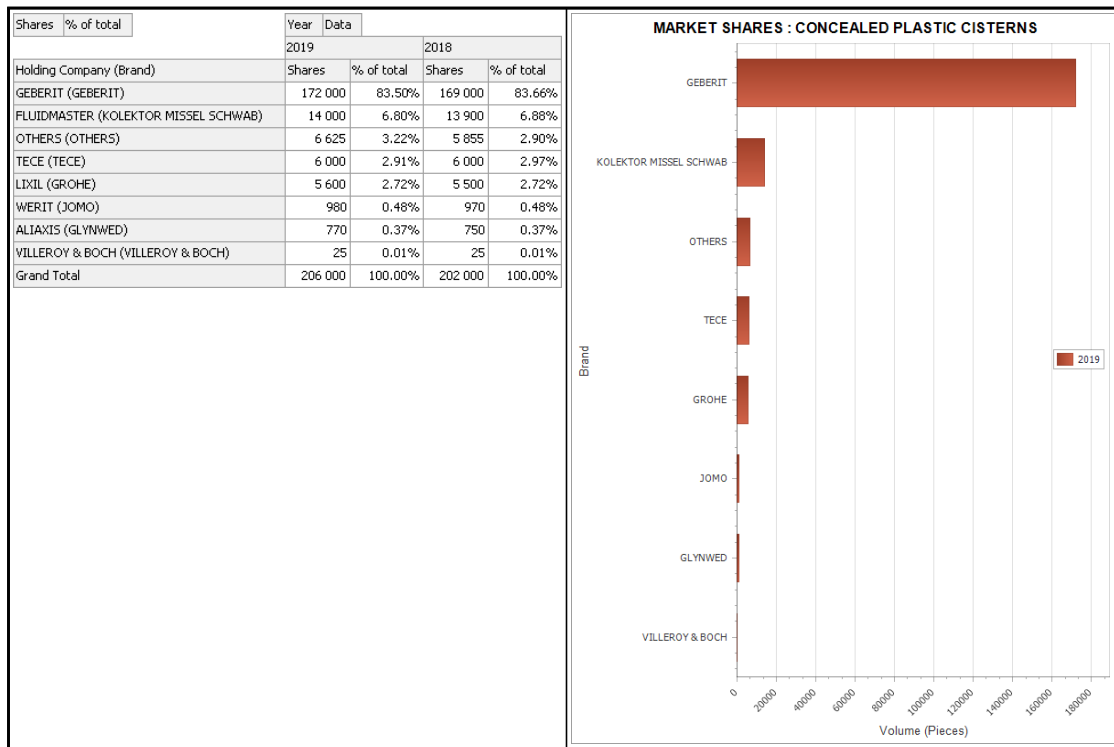
CH - ESTIMATED MARKET SHARES FOR OTHER CERAMIC SANITARY WARE



Source: BRG based on industry interviews

2.5.5 Market Shares : Concealed Plastic Cisterns

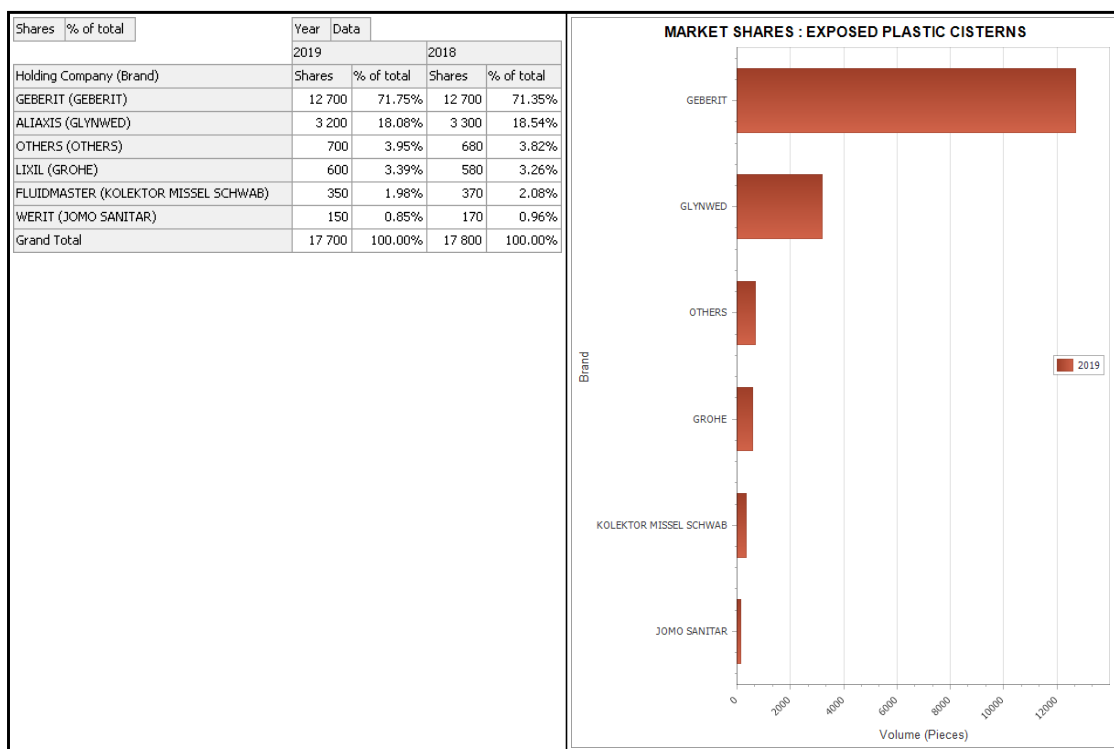
CH - ESTIMATED MARKET SHARES FOR CONCEALED PLASTIC CISTERNS



Source: BRG based on industry interviews

2.5.6 Market Shares : Exposed Plastic Cisterns

CH - ESTIMATED MARKET SHARES FOR EXPOSED PLASTIC CISTERNS



Source: BRG based on industry interviews.

2.6.1 CH - IMPORTS OF ALL CERAMIC SANITARY WARE 2019

Source Country	2019				2018			
	Volume		Value 000		Volume		Value 000	
	Tonnes	%	Euros	%	Tonnes	%	Euros	%
Germany	3 039	35.0%	39 758	56.3%	3 493	41.1%	39 527	58.0%
Italy	1 595	18.4%	13 680	19.4%	1 428	16.8%	12 877	18.9%
Czech Republic	1 263	14.6%	2 628	3.7%	957	11.3%	1 969	2.9%
Austria	900	10.4%	5 805	8.2%	1 014	11.9%	6 191	9.1%
Poland	802	9.2%	2 227	3.2%	531	6.2%	1 593	2.3%
Turkey	442	5.1%	1 218	1.7%	428	5.0%	1 273	1.9%
China	184	2.1%	1 220	1.7%	114	1.3%	746	1.1%
Spain	90	1.0%	544	0.8%	81	1.0%	386	0.6%
OTHERS	357	4.1%	3 480	4.9%	446	5.3%	3 642	5.3%
Total	8 671	100.0%	70 560	100.0%	8 493	100.0%	68 204	100.0%

Source : Trademap

2.6.2 CH - EXPORTS OF ALL CERAMIC SANITARY WARE 2019

Destination	2019				2018			
	Volume		Value 000		Volume		Value 000	
	Tonnes	%	Euros	%	Tonnes	%	Euros	%
Czech Republic	662	50.5%	3 030	43.3%	708	30.2%	3 238	8.4%
Germany	360	27.4%	2 177	31.1%	1 363	58.1%	33 466	87.1%
Austria	204	15.5%	1 131	16.2%	207	8.8%	1 038	2.7%
Spain	20	1.5%	216	3.1%	7	0.3%	88	0.2%
OTHERS	66	5.0%	444	6.3%	59	2.5%	576	1.5%
Total	1 311	100.0%	6 998	100.0%	2 345	100.0%	38 406	100.0%

Source : Trademap

2.6.3 CH - IMPORTS OF PLASTIC CISTERNS 2019

Source Country	2019				2018			
	Volume		Value 000		Volume		Value 000	
	Tonnes	%	Euros	%	Tonnes	%	Euros	%
Germany	3 827	89.1%	44 568	88.0%	4 025	88.5%	46 055	88.5%
Italy	213	5.0%	2 138	4.2%	235	5.2%	1 948	3.7%
China	76	1.8%	810	1.6%	59	1.3%	727	1.4%
OTHERS	178	4.2%	3 105	6.1%	227	5.0%	3 286	6.3%
Total	4 294	100.0%	50 621	100.0%	4 547	100.0%	52 016	100.0%

Source : Trademap

2.6.4 CH - EXPORTS OF PLASTIC CISTERNS 2019

Destination	2019				2018			
	Volume		Value 000		Volume		Value 000	
	Tonnes	%	Euros	%	Tonnes	%	Euros	%
Germany	2 395	85.2%	34 622	85.5%	2 187	83.2%	33 543	85.3%
Italy	181	6.4%	1 379	3.4%	163	6.2%	912	2.3%
Czech Republic	74	2.6%	983	2.4%	85	3.2%	1 179	3.0%
Austria	44	1.6%	519	1.3%	58	2.2%	557	1.4%
Poland	35	1.2%	462	1.1%	30	1.2%	372	0.9%
OTHERS	84	3.0%	2 549	6.3%	104	3.9%	2 781	7.1%
Total	2 812	100.0%	40 514	100.0%	2 628	100.0%	39 344	100.0%

Source : Trademap

2.7.1 Route to Market: Ceramic Sanitary Ware
CH - ESTIMATED DISTRIBUTION FOR CERAMIC SANITARY WARE: 2019

Manufacturer / Importer	Manufacturers / Importers
	100.0%

Wholesale Level	70.8%
	Wholesalers / Merchants
	70.8%

Retail Level	Manufacturer 4.7%	Wholesaler 2.1%	Manufacturer 9.4%	Wholesaler 2.1%	Manufacturer 9.6%	Wholesaler 1.0%
	Internet Retailers		DIY Retailers		Specialist Retailers	
	6.8%		11.5%		10.6%	

Manufacturer	Wholesaler	Internet	DIY	Specialist
5.4%	65.0%	2.6%	0.0%	4.6%
Installers				
77.6%				

End Use Level	Manufacturer 0.0%	Wholesaler 0.6%	Internet 4.2%	DIY 5.5%	Specialist 6.0%	Installer 74.5%	Manufacturer 0.0%	Wholesaler 0.0%	Internet 0.0%	DIY 6.0%	Specialist 0.0%	Installer 3.1%
	Residential						Non-Residential					
	90.9%						9.1%					
	New Build			Residential RMI			New Build			Non-Residential RMI		
	17.8%			73.1%			4.5%			4.6%		
	Project		Non-Project	Project		Non-Project	Project		Non-Project	Project		Non-Project
	16.0%		1.8%	6.5%		66.6%	4.2%		0.3%	4.0%		0.6%

2.7.2 Route to Market: Ceramic Sanitary Ware
CH - ESTIMATED DISTRIBUTION FOR CERAMIC SANITARY WARE: 2024

Manufacturer / Importer	Manufacturers / Importers
	100.0%

Wholesale Level	70.0%
	Wholesalers / Merchants
	70.0%

Retail Level	Manufacturer 4.8%	Wholesaler 2.3%	Manufacturer 9.1%	Wholesaler 2.3%	Manufacturer 9.0%	Wholesaler 1.0%
	Internet Retailers		DIY Retailers		Specialist Retailers	
	7.1%		11.4%		10.0%	

Manufacturer	Wholesaler	Internet	DIY	Specialist
5.0%	64.0%	2.7%	0.0%	4.0%
Installers				
75.7%				

End Use Level	Manufacturer 2.1%	Wholesaler 0.4%	Internet 4.4%	DIY 5.3%	Specialist 6.0%	Installer 71.9%	Manufacturer 0.0%	Wholesaler 0.0%	Internet 0.0%	DIY 6.1%	Specialist 0.0%	Installer 3.8%
	Residential						Non-Residential					
	90.1%						9.9%					
	New Build			Residential RMI			New Build			Non-Residential RMI		
	16.5%			73.6%			4.8%			5.1%		
	Project		Non-Project	Project		Non-Project	Project		Non-Project	Project		Non-Project
	15.0%		1.5%	6.2%		67.4%	4.5%		0.3%	4.6%		0.5%

Source: BRG Based on Industry Interviews. - Totals may vary due to roundings

2.7.3 Route to Market - Consolidated View : Ceramic Sanitary Ware

CH - ESTIMATED DISTRIBUTION FOR CERAMIC SANITARY WARE : 2019

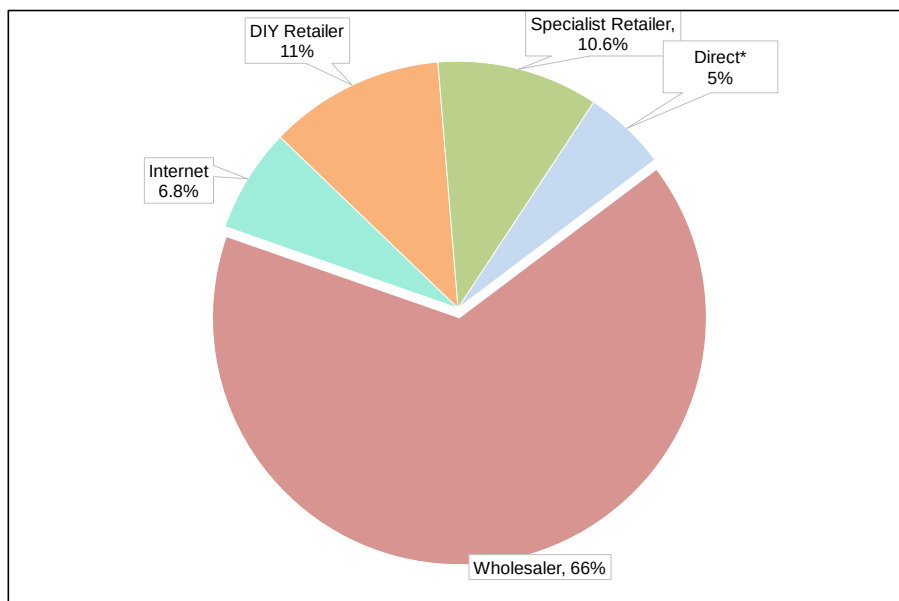
Route to Market - End Use Level					Project		Non-Project	
Wholesaler	Internet	DIY Retailer	Specialist Retailer	Direct*	Residential	Non-Residential	Residential	Non-Residential
65.6%	6.8%	11.5%	10.6%	5.4%	22.5%	20.2%	56.1%	1.2%
100%					42.7%		57.3%	

2.7.4 Route to Market - Consolidated View : Ceramic Sanitary Ware

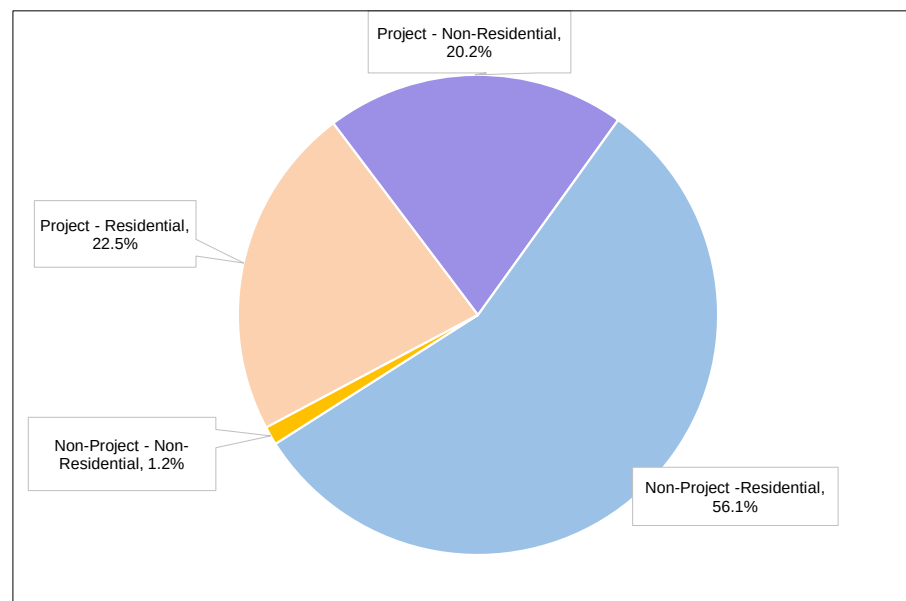
CH - ESTIMATED DISTRIBUTION FOR CERAMIC SANITARY WARE : 2024

Route to Market - End Use Level					Project		Non-Project	
Wholesaler	Internet	DIY Retailer	Specialist Retailer	Direct*	Residential	Non-Residential	Residential	Non-Residential
64.4%	7.1%	11.4%	10.0%	7.1%	21.2%	20.3%	56.7%	1.8%
100%					41.5%		58.5%	

CH - SALES OF CERAMIC SANITARY WARE BY DISTRIBUTION CHANNEL: 2019



CH - SALES OF CERAMIC SANITARY WARE BY POINT OF DECISION AND END-USE SECTOR: 2019



Source: BRG Based on Industry Interviews.

*Direct includes sales going directly from manufacturers to installers, contractors and private customers.

2.7.5 Route to Market: Plastic Cisterns
CH - ESTIMATED DISTRIBUTION FOR PLASTIC CISTERNS: 2019

Manufacturer / Importer	Manufacturers / Importers
	100.0%

Wholesale Level	89.3%
	Wholesalers / Merchants
	89.3%

Retail Level	Manufacturer	Wholesaler	Manufacturer	Wholesaler	Manufacturer	Wholesaler
	1.9%	2.6%	2.6%	3.1%	4.3%	2.0%
	Internet Retailers		DIY Retailers		Specialist Retailers	
	4.5%		5.7%		6.3%	

Manufacturer	Wholesaler	Internet	DIY	Specialist
1.9%	81.0%	2.0%	0.0%	5.3%
Installers				
90.2%				

End Use Level	Manufacturer	Wholesaler	Internet	DIY	Specialist	Installer
	0.0%	0.6%	2.5%	5.7%	1.0%	76.2%
	Residential					
	85.9%					

Manufacturer	Wholesaler	Internet	DIY	Specialist	Installer
0.0%	0.0%	0.0%	0.0%	0.0%	14.1%
Non-Residential					
14.1%					

New Build		Residential RMI	
26.7%		59.2%	
Project	Non-Project	Project	Non-Project
16.0%	10.7%	5.5%	53.7%

New Build		Non-Residential RMI	
6.0%		8.1%	
Project	Non-Project	Project	Non-Project
5.5%	0.5%	5.0%	3.1%

2.7.6 Route to Market: Plastic Cisterns
CH - ESTIMATED DISTRIBUTION FOR PLASTIC CISTERNS: 2024

Manufacturer / Importer	Manufacturers / Importers
	100.0%

Wholesale Level	89.0%
	Wholesalers / Merchants
	89.0%

Retail Level	Manufacturer	Wholesaler	Manufacturer	Wholesaler	Manufacturer	Wholesaler
	2.1%	2.8%	2.8%	3.3%	4.0%	2.0%
	Internet Retailers		DIY Retailers		Specialist Retailers	
	4.9%		6.1%		6.0%	

Manufacturer	Wholesaler	Internet	DIY	Specialist
1.8%	80.5%	2.1%	0.0%	5.0%
Installers				
89.4%				

End Use Level	Manufacturer	Wholesaler	Internet	DIY	Specialist	Installer
	0.3%	0.4%	2.8%	6.1%	1.0%	73.9%
	Residential					
	84.5%					

Manufacturer	Wholesaler	Internet	DIY	Specialist	Installer
0.0%	0.0%	0.0%	0.0%	0.0%	15.5%
Non-Residential					
15.5%					

New Build		Residential RMI	
24.9%		59.6%	
Project	Non-Project	Project	Non-Project
15.0%	9.9%	5.6%	54.0%

New Build		Non-Residential RMI	
6.5%		9.0%	
Project	Non-Project	Project	Non-Project
5.8%	0.7%	5.7%	3.3%

Source: BRG Based on Industry Interviews. N.B. Include both Exposed and Concealed Plastic Cisterns - Totals may vary due to roundings

2.7.7 Route to Market - Consolidated View : Plastic Cisterns

CH - ESTIMATED DISTRIBUTION FOR PLASTIC CISTERNS : 2019

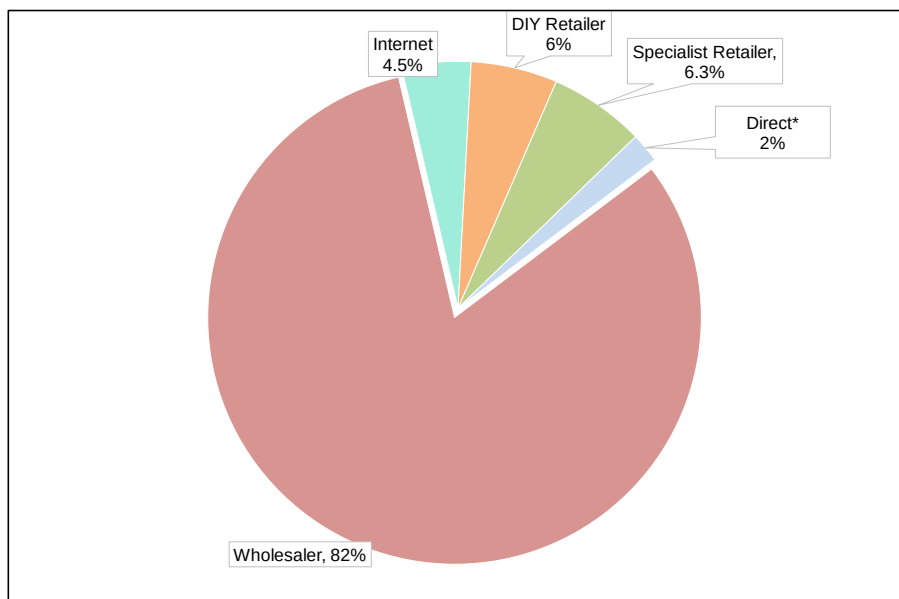
Route to Market - End Use Level					Project		Non-Project	
Wholesaler	Internet	DIY Retailer	Specialist Retailer	Direct*	Residential	Non-Residential	Residential	Non-Residential
81.6%	4.5%	5.7%	6.3%	1.9%	21.5%	26.6%	44.9%	7.0%
100%					48.1%		51.9%	

2.7.8 Route to Market - Consolidated View : Plastic Cisterns

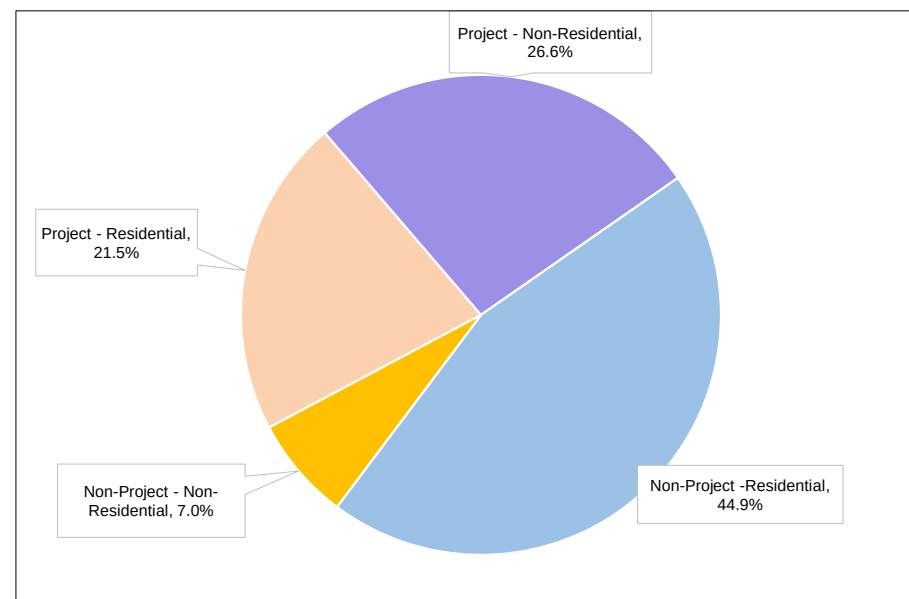
CH - ESTIMATED DISTRIBUTION FOR PLASTIC CISTERNS : 2024

Route to Market - End Use Level					Project		Non-Project	
Wholesaler	Internet	DIY Retailer	Specialist Retailer	Direct*	Residential	Non-Residential	Residential	Non-Residential
80.9%	4.9%	6.1%	6.0%	2.1%	20.6%	26.9%	44.4%	8.1%
100%					47.5%		52.5%	

CH - SALES OF PLASTIC CISTERNS BY DISTRIBUTION CHANNEL: 2019



CH - SALES OF PLASTIC CISTERNS BY POINT OF DECISION AND END-USE SECTOR: 2019



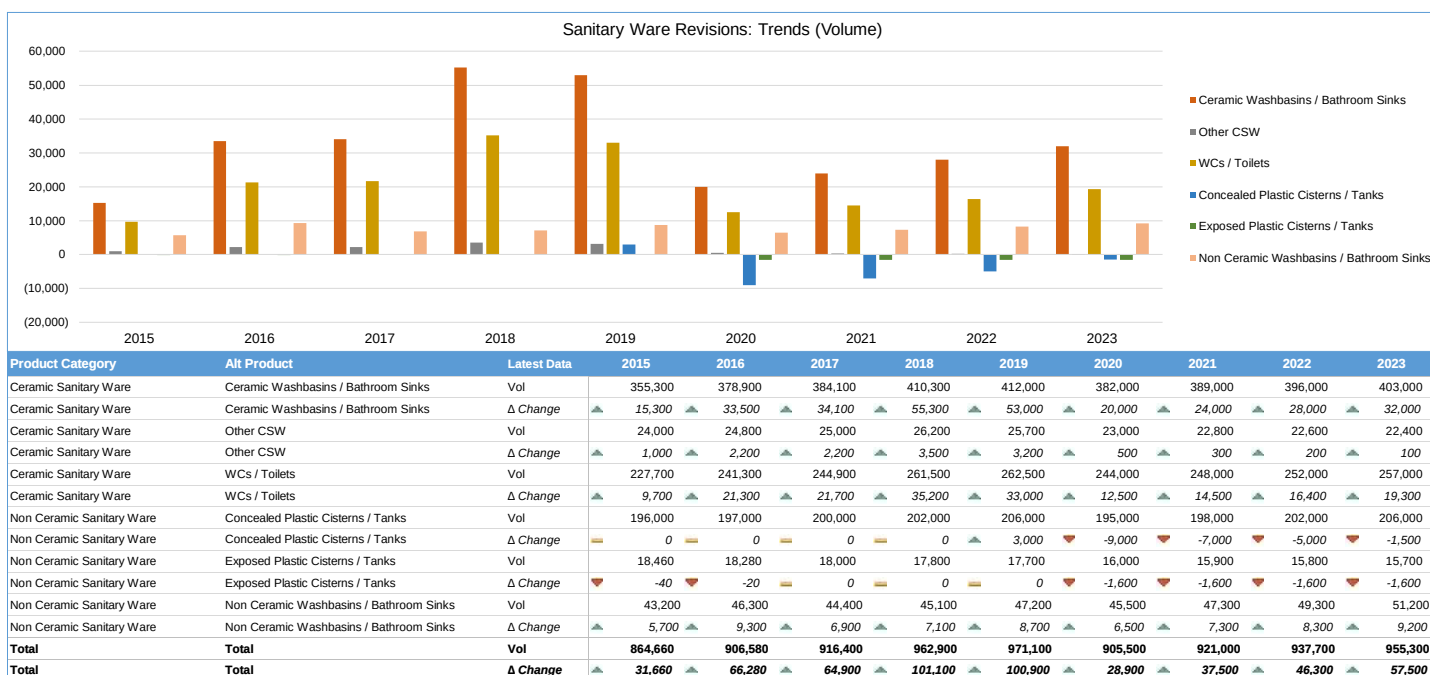
Source: BRG Based on Industry Interviews.

*Direct includes sales going directly from manufacturers to installers, contractors and private customers.

2.8 Revisions in the Swiss Sanitary Ware Market (July 2020)

CH - REVISIONS IN THE SWISS SANITARY WARE MARKET

Data Comparison: July 2019



All historical sanitary ware including washbasin ceramic, WC ceramic, other ceramic as well as concealed and plastic cisterns have been revised, due to more accurate data became available from the industry, which also affected the 2019 sales as well as the forecast.

SWITZERLAND

TAPS AND MIXERS

THE EUROPEAN BATHROOM & KITCHEN PRODUCT MARKETS



Market Characteristics and Technological Trends

The Swiss taps and mixers market is characterised by a long-term, stable, positive development. Even throughout the economic crisis in 2008 the market decreased only marginally. The market is dominated by one-head mixers, which appeared on the Swiss market at the end of the 1970s and rapidly took over from two-head ones. Nowadays, Switzerland has one of the highest shares of one-head mixers in Europe. The market is mature, and the development is highly correlated with the overall economic climate, RMI investments and construction expenditure. As the market is showing signs of saturation, manufacturers penetrate the market with product innovations – such as lighting features, kitchen taps with water filters, touch mixers, and digital products such as remote controls – to spur growth. Consumers prefer water-efficient products, and a voluntary labelling system indicating product efficiency has been introduced (*Energieetikette*). The Swiss taps and mixers market is characterised by high-quality products, and therefore has some of the highest prices in Europe.

The two long-term trends in the market are the shift from two-head mixers to one-head mixers, and from one- and two-head mixers to thermostatic mixers. Thermostatic mixers appeared on the Swiss market in the early 1970s – even before one-head mixers. They soon became very popular with Swiss consumers who seek a high level of comfort. Besides that, the transition towards one-head mixers accelerated when they became available in the middle and lower price segments. Switzerland has a low share of thermostatic mixers, especially when compared to other Western European countries such as Germany. On the other hand, Switzerland still has two-head mixers on the market, as these models have remained popular in the upper and luxury segments because they are considered to be aesthetically pleasing.

Concealed taps and mixers, mostly thermostatic, entered the market as a niche product in the past, particularly for shower and bath applications. However, their share is expected to increase over the next couple of years, driven by the marketing efforts of the large market players. The share of concealed taps and mixers on offer differs strongly by manufacturer. The split of sales by type of mixer differs in the linguistic regions. Two-head mixers have kept a higher share in the French-speaking part of the country; however, sales of one-head mixers are reported to be growing. In terms of surface processing, most mixers are either chromed or chromed with colour, and only a minority of sales have a special metal treatment.

Self-closing taps are operated manually, and they are commonly found in public and commercial sanitary areas. BRG distinguishes a more modern product of self-closing taps, namely electronic mixers. The electronic mixers can be operated automatically, without physical contact. They represent state of the art technology when it comes to water saving and ease of operation in public, semi-public and commercial sanitary and kitchen areas. The overall trend in the market depends on

the development of non-housing construction. Demand for electronic mixers in the residential segment is growing. This market has potential, as the products are ideal for the frequent variation in water pressure in Switzerland – and appeal to many consumers because of their water efficiency.

Recent Market Trends

The Swiss taps and mixers market continued its sustained increase in 2019, building on the growth experienced in 2018. The taps and mixers market reached in 2019 its highest level ever recorded on the Swiss market. This development reflects the overall positive performance observed in the bathroom market. Sales were driven by the high level of new housing construction, which slightly declined in 2019, as well as stronger RMI and non-residential demand.

In terms of product mix, apart from the underlying growth trend, no major changes have been recorded in 2019. Almost all different taps and mixers recorded some growth. Electric mixer sales have grown more than those of most other products within the overall taps and mixers market, thanks to the ongoing investments in the non-residential and public sectors. New construction and modernisation of hospitals and other public buildings continued in 2019. When taking a closer look, it becomes evident that the popularity of thermostatic mixers is growing, and end users prefer to use thermostatic mixers instead of one-head mixers in showers, especially in combination with a shower pipe. This trend seems to be occurring not only in private dwellings but also in rented apartments (commercial real estate). Additionally, thermostatic mixers are benefitting from the ongoing trend away from bathing towards showering. Moreover, Swiss consumers have strong purchasing power and a great affinity with high-quality products with innovative features. The market has responded well to GROHE's products that have filtered, sparkling and boiling water coming directly from the kitchen tap. BRG identifies these products as one-head mixers and does not distinguish them further. The overall market remains clearly dominated by one head mixers, which are mostly used for washbasins as they are the most used ceramic sanitary ware product. One head mixers are mainly represented in the replacement park and are closely correlated to washbasin replacements, as such an instance provides the consumer with the opportunity to switch the old models. Within all taps and mixers, washbasin mixers are the most common models, followed by kitchen and shower mixers. Shower mixers benefited from the trend, away from baths towards showering. As a result, bath taps and mixer sales were challenged from this trend and experienced some decline in 2019.

According to industry research, a trend has become more evident in the last two years. Manufacturers have observed a big difference in the product mix, especially regarding rented apartments. The overall market size has hardly changed, and the total value of tap and mixer sales has declined significantly for some manufacturers. Compared to other countries, Switzerland has expensive ground prices and prime locations are rare. In recent years, constructions have been in demand and houses are built on expensive grounds. Therefore, even if lower-quality products are chosen, the overall price of the dwellings remains high.

Investors and construction companies have recognised their opportunity to increase profit margins by installing taps and mixers from a lower price segment into middle- and upper-segment dwellings, which are mainly rented apartments. The lower costs are not passed on to end consumers, however, and property prices remain high. With new housing construction being at a high level, installers have sufficient workloads. In fact, an installer would tend to prefer a new housing project to a replacement one. Installers are not actively trying to get jobs, as they have enough work to choose from. This influences demand from the RMI segment, which is being neglected to some extent.

Prices and Market Values

Average MSPs (manufacturers' selling prices) for all products increased in 2019, according to the normal price increase, to compensate for inflation, higher production and material costs. Some manufacturers are seizing the opportunity to increase prices while the economy and demand are positive. The average MSP has come under pressure in recent years, due to the market maturity and increased competition among the market players. Price pressure for wholesalers, who deliver to the installers, leads to decreasing margins. Manufacturers are less affected. Nevertheless, the price level in Switzerland remains significantly higher than in most other European countries. In 2019 some manufacturers increased prices for the first-time since 2017. After a few years of no price increases, the Swiss economy and currency had sufficiently stabilised for manufacturers to adjust their prices upwards. It is believed that the number of Swiss consumers buying products abroad in neighbouring countries such as Germany and France was not affected by the price increase. Nevertheless, consumers remained price sensitive and all types of taps and mixers underwent only a slight price increase when compared to 2018.

The lower price segment includes wholesalers' own label products imported mainly from Italy and Germany, for example SANITAS TROESCH's and CRH's private label products, as well as products sold in DIY stores. BRG counts these sales in the market share as 'others'. The upper price and luxury segments are supplied by Swiss manufacturers ARWA and KWC, as well as German manufacturers such as HANSGROHE, GROHE, and IDEAL STANDARD. The super luxury segment is mainly occupied by imports from DORNBACH, from AXOR by HANSGROHE, and from Swiss producer KWC.

New Housing

In accordance with the previously mentioned construction development in Switzerland, taps and mixer sales for all applications in the new housing segment decreased slightly in 2019. The decline in completions for rented apartments affected sales negatively in the new housing segment. Sales of tap and mixer products destined for new build dwellings account for a small share of all tap and mixer sales. The penetration of one-head mixers in new build dwellings is high, and they cover almost all new housing demand. However, thermostatic mixers are taking away share from one-head mixers, as their sales growth is disproportionately bigger. Two-head mixers are a small market that is following a declining trend. On

the one hand, they are installed in private properties in the high-end segment for applications such as washbasins, kitchen sinks, baths and showers, but on the other, two-head mixers in the price entry level are available in DIYs and online shops. Demand for hydrotherapy shower panels in new housing is insignificantly small.

Housing RMI

Housing RMI represents the main end-use segment of the Swiss taps and mixers market, and it generates about two thirds of the total market volume. While a major share of tap and mixer sales are triggered by the installation in applications such as washbasins, showers, bidets or kitchen sinks, a significant number are sold as separate products for replacement purposes. These sales are the result of a broken or leaking product, a product upgrade or the desire for a more environmentally friendly product. These sales depend less on the overall bathroom market and emerge from wear and tear damage. Ceramic sanitary ware and synthetic bathroom and kitchen products are believed to have a longer lifespan than that of taps and mixers. Therefore, it is more likely to replace a tap or mixer before a bathroom or kitchen renovation is required. Additionally, sometimes taps and mixers are replaced as an act of simply improving the appearance of a kitchen or bathroom. In the renovation sector one-head mixers are the most sold product, as they have the largest park in existing buildings, followed by thermostatic and two-head mixers. Demand for one-head and thermostatic mixers increased in 2019, whereas pillar and two-head mixers slightly declined. Housing RMI accounts for the largest share of the hydrotherapy shower panel market, for which demand significantly grew in 2019.

Non-Housing

As previously mentioned, non-residential construction output increased in 2019 in comparison to the previous year. Hospitals, educational institutions and hotels are mainly responsible for the increase in construction activity. The ageing population requires additional capacities in retirement houses and hospitals and, hence, the cantonal governments have prioritised these non-residential sectors. In addition to the previous facilities, the opening of several new hotels, and the refurbishment of existing ones, both contributed to a growing demand for taps and mixers in 2019. The most common end-use segment for electronic and self-closing taps and mixers is represented by demand from non-residential facilities. They are a standard in public toilets, and most newly developed commercial buildings are equipped with electronic taps. Overall, demand for taps and mixers slightly increased in 2019.

Supply Structure

The taps and mixers market in Switzerland is characterised by a fragmented market situation. The Swiss manufacturer KWC, which is part of FRANKE, and SIMILOR KUGLER/ARWA, which is owned by ROCA, have prevalent positions in the market. When looking at the whole of Switzerland, KWC is the market leader. However, the supply structure is marked by the geographical and linguistic split of

the country. For example, SIMILOR KUGLER, which has its historic origins in the French-speaking part of Switzerland, has a much higher market share in this region than its total market share in the country. The other main market players are of European origin and come mainly from Germany and Italy. The main German manufacturers present on the Swiss market are HANSGROHE, GROHE, and DORNBACHT, and the main Italian manufacturers are CRISTINA, ZUCCHETTI, and GESSI. Moreover, the Italian manufacturers are present exclusively in the housing sector, while the Swiss and German producers are also present in the non-housing sector.

In April 2013, the Swiss kitchen manufacturer FRANKE agreed to buy the leading Swiss taps and mixers manufacturer KWC, which is based in Unterkulm, from IK INVESTMENT PARTNERS. KWC has become an independent subsidiary of the FRANKE GROUP, which sources its taps and mixers from KWC. Also in 2013, IK INVESTMENT PARTNERS sold the German HANSA METALLWERKE to the Finnish manufacturer of sanitary fittings, ORAS.

HANSGROHE has its own subsidiary in Switzerland and is mainly present in the upper and luxury end of the market. With its brand AXOR, HANSGROHE has a luxury line, for which sales are included in HANSGROHE's market share.

GROHE, which is distributed by SANITAS TROESCH, is mainly present in the upper end of the market and its popularity has been increasing on a yearly basis. After opening its own Swiss subsidiary in 1999, GROHE started to develop and improve its after-sales service, which is particularly important in Switzerland since most sanitary products are installed by professionals. In 2014, GROHE was acquired by the Japanese LIXIL group and the Development Bank of Japan. Along with this acquisition, GROHE underwent a restructuring of the company and its sales strategy. It has been successfully exploiting its potential through a multi-channel distribution strategy, and in the past few years, sales have increased significantly – to above the market average. The hydrotherapy shower panel market is dominated by KLUDI and HANSGROHE, which is one of the last major manufacturers to still be active in Switzerland. Other manufacturers, such as GROHE, KLUDI, and DUSCHOLUX, left the Swiss market for shower panels in 2014. TEUCO, which was declared bankrupt in 2018, is believed to have stopped selling shower panels in Switzerland since 2017.

Forecasts

Given the exceptional circumstances related to the spread of the COVID-19 virus and measures in place for its containment, forecasts for 2020 and beyond are based on the latest information available at the time of publication. BRG has attempted to factor in the latest developments – see Macroeconomic data in Table II.3, and supporting summary table at the end of the Background section.

Overall, the trends from 2019 continued in the first quarter of 2020. The new housing activity is expected to decline slightly, which is expected to have a negative impact on taps and mixers sales. The unexpected ongoing COVID-19

pandemic is affecting business negatively worldwide, which could support the expected negative trend further. The pandemic slowed down business operations from March onwards, along with many Swiss losing jobs and income. Hence, the declined purchase power is expected to affect the overall market negatively. As a result, all taps and mixers should decline in 2020.

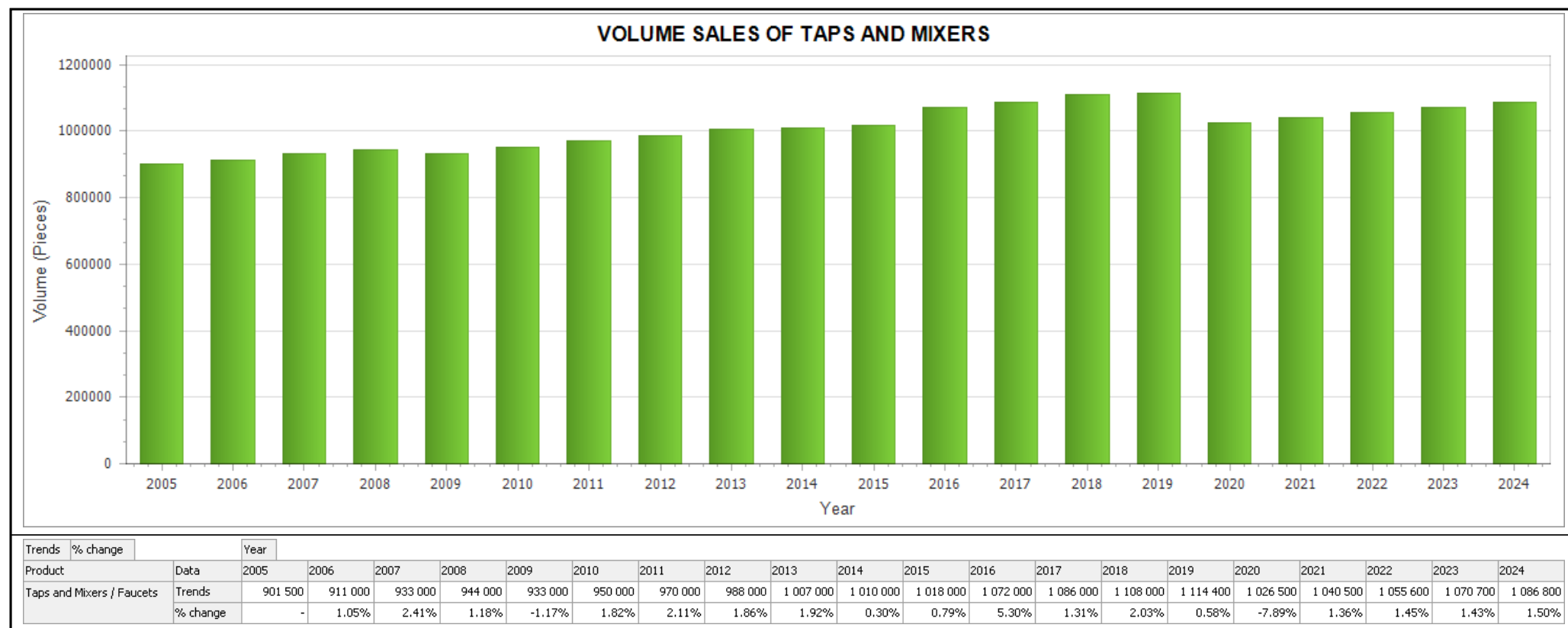
Looking at the coming years, a gradual decline in construction activity is predicted throughout the forecast period. However, being a highly mature market the impact from new housing in terms of volume is believed to be modest, as most taps and mixers are installed in replacements. While new housing completions are estimated to slightly decline on a yearly basis throughout the period, RMI activity is expected to remain positive, and consumers are likely to profit from the availability of installers once new housing construction weakens. The increase in RMI is expected to cover the decreasing demand from new housing. It is expected that the market will increase in volume due to the strongly performing RMI sector from 2021 onwards. Swiss private owners tend to spend money on expensive high-quality products for renovations, which is a strong contribution to this development. According to industry research, the surplus of old buildings in need of renovation in Switzerland is still high. This means that once the decline in new housing construction is considerable, the RMI sector is predicted to increase more. Currently, in some regions such as Zurich, Basel and Bern, the increased activity in the RMI sector is already noticeable.

Regarding product mix, BRG does not expect any major changes. In terms of application, the overall market is predicted to be dominated by washbasins, followed by kitchen and shower mixers, which are mostly installed with one head models. All three mixer sales are likely to increase in volume terms, thanks to predicted growing RMI activity. Moreover, shower mixer sales should profit from the shift away from baths towards showering. Kitchen mixer sales should benefit from the trend to upgrade kitchens. Only the market for bath mixers should decline, due to the trend away from bath towards showering. The growth for bidet mixers is predicted to increase only slightly, due to the trend towards smaller bathrooms with more space issues.

In terms of the types of mixers, the trend towards electronic and concealed models should continue. Aesthetics and product design, in combination with the MSP, are predicted to remain key concerns for manufacturers. One head mixers should retain their popularity. New designs are also likely to be increasingly available at lower price points, as the internet channel continues to gain share, placing continued pressure on MSP margins. Distribution is expected to shift towards DIY and internet channels in the coming five years, through both private and installer purchases. The increase in internet distribution is likely to enable consumers to obtain higher quality products and lower prices, which will put pressure on traditional distribution channels such as independent merchants and DIY.

3.2 Historical Trends and Forecasts : Taps and Mixers

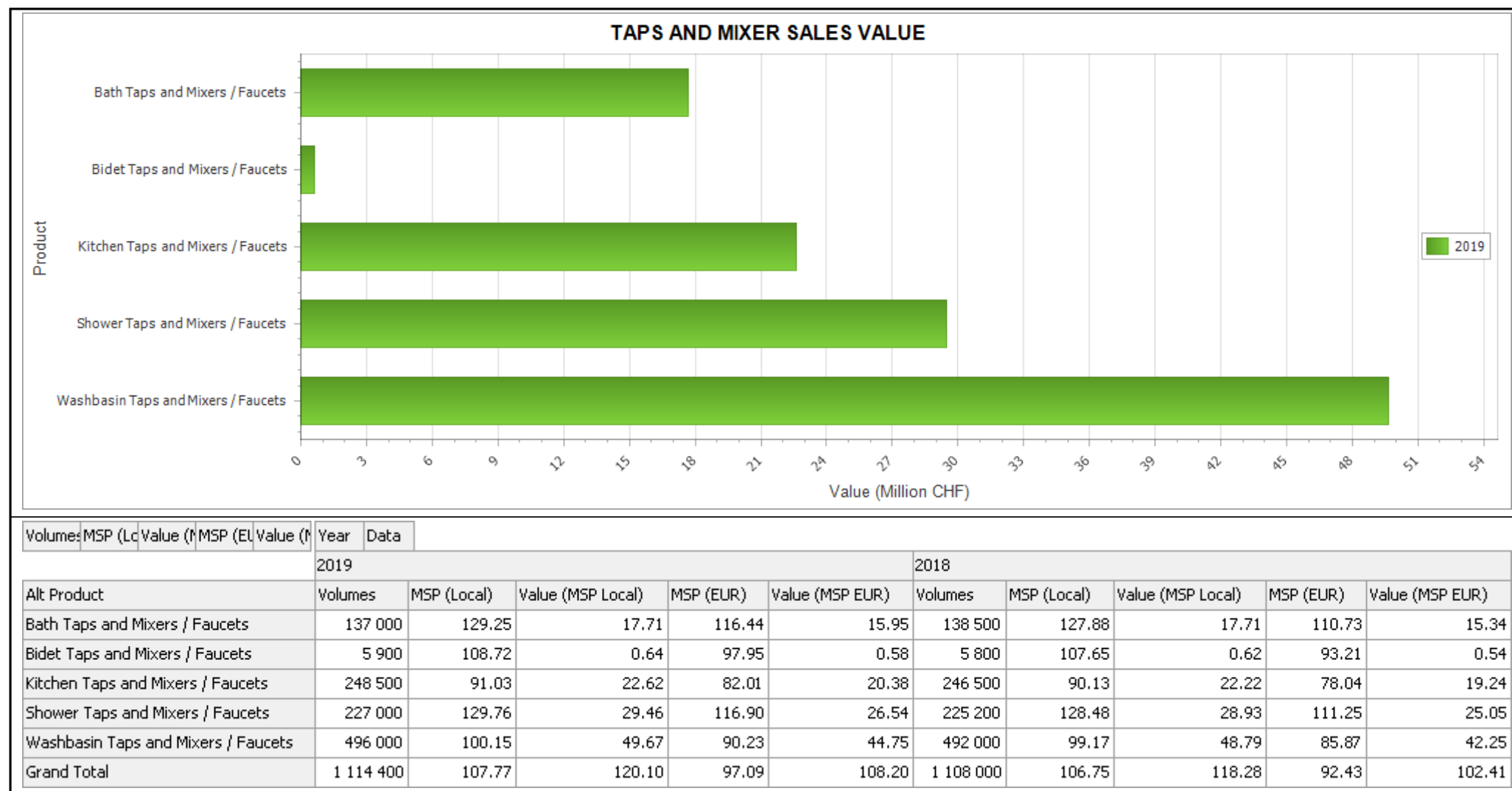
CH - SUMMARY OF TRENDS IN THE TAP AND MIXER MARKET : HISTORICAL AND FORECASTS



Source: BRG based on industry interviews. N.B. Includes Both Kitchen and Sanitary Taps & Mixers

3.3.1 Prices and Market Values : Taps and Mixers

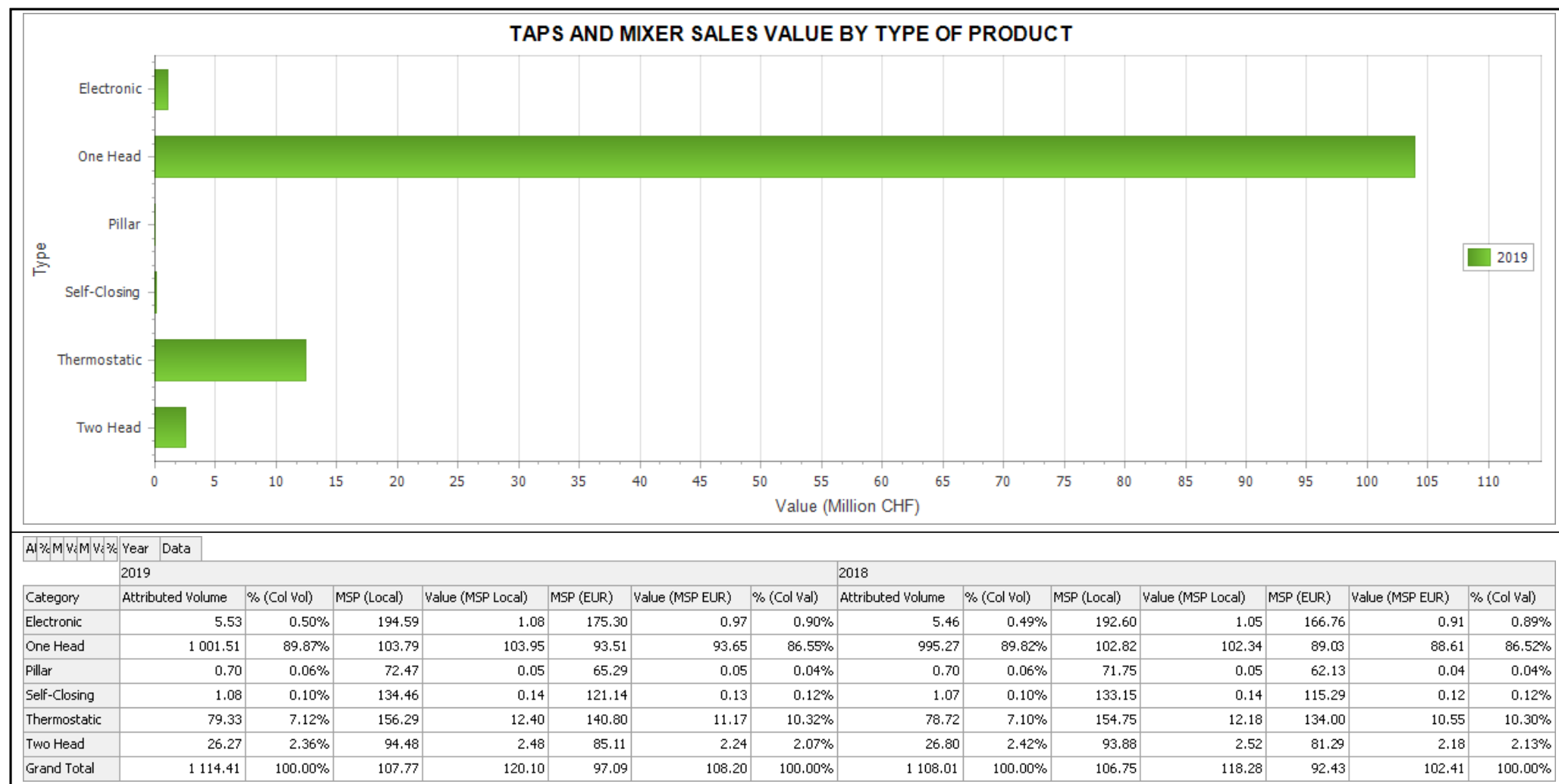
CH - ESTIMATED VALUES OF THE TAP AND MIXER MARKET



Source: BRG based on industry interviews. Local Prices Shown in CHF. Values Shown in Millions (at MSP = Manufacturers' Selling Price).

3.3.2 Prices and Market Values by Type : Taps & Mixers

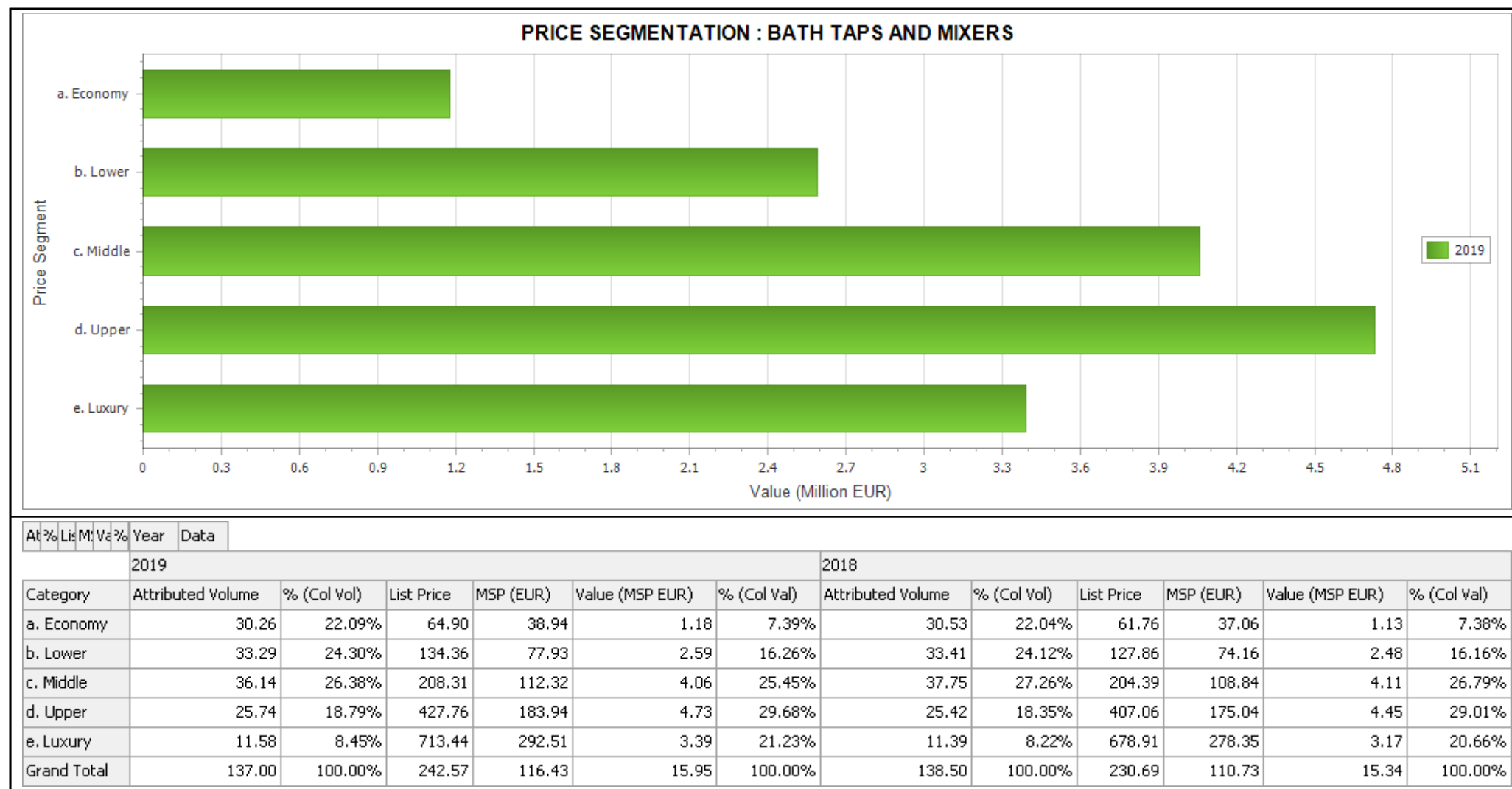
CH - ESTIMATED VALUES OF THE TAP AND MIXER MARKET BY TYPE OF PRODUCT



Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding. Local Prices Shown in CHF. Volumes Shown in Thousands and Values Shown in Millions (at MSP = Manufacturers' Selling Price).

3.3.3 Price Segmentation : Bath Taps and Mixers

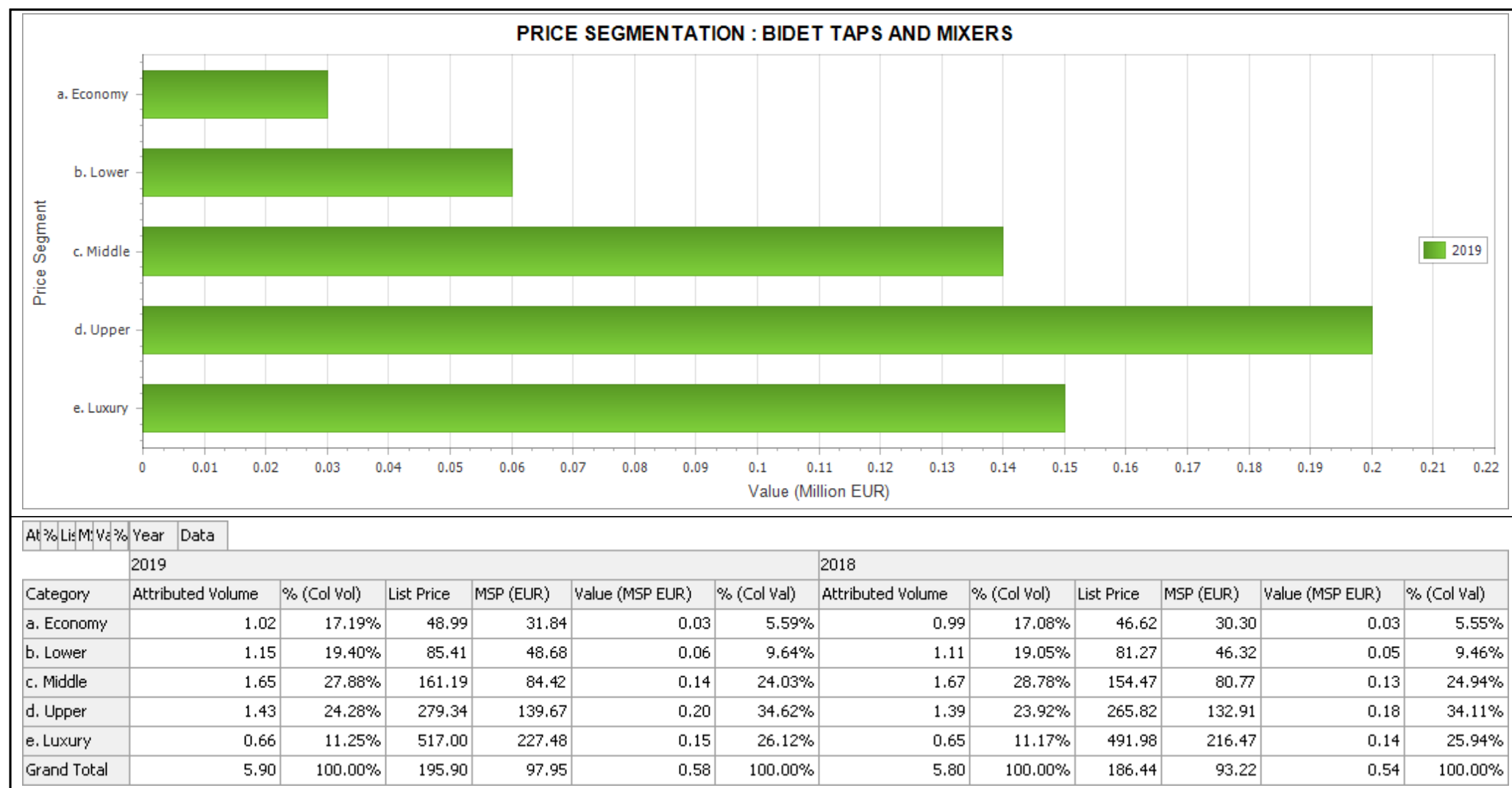
CH - ESTIMATED PRICE SEGMENTATION FOR BATH TAPS AND MIXERS



Source: BRG based on industry interviews. Total may show slight variance compared to market data due to rounding. Volumes Shown in Thousands and Values Shown in Millions (at MSP = Manufacturers' Selling Price). Economy <€40, Lower €40-€100, Middle €100-€150, Upper €150-€220 and Luxury >€220

3.3.4 Price Segmentation : Bidet Taps and Mixers

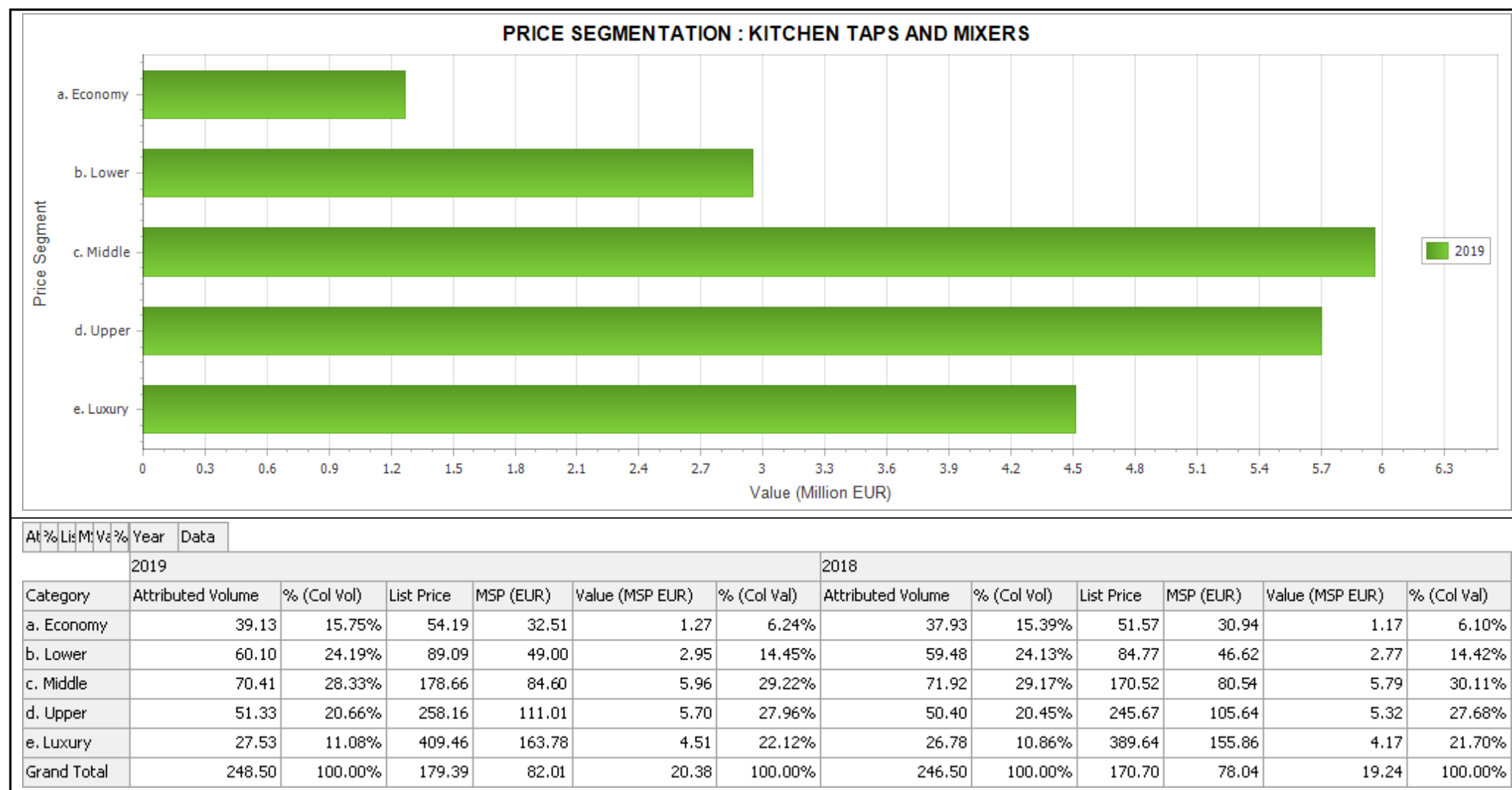
CH - ESTIMATED PRICE SEGMENTATION FOR BIDET TAPS AND MIXERS



Source: BRG based on industry interviews. Total may show slight variance compared to market data due to rounding. Volumes Shown in Thousands and Values Shown in Millions (at MSP = Manufacturers' Selling Price). Economy <€40, Lower €40-€80, Middle €80-€120, Upper €120-€200 and Luxury >€200

3.3.5 Price Segmentation : Kitchen Taps and Mixers

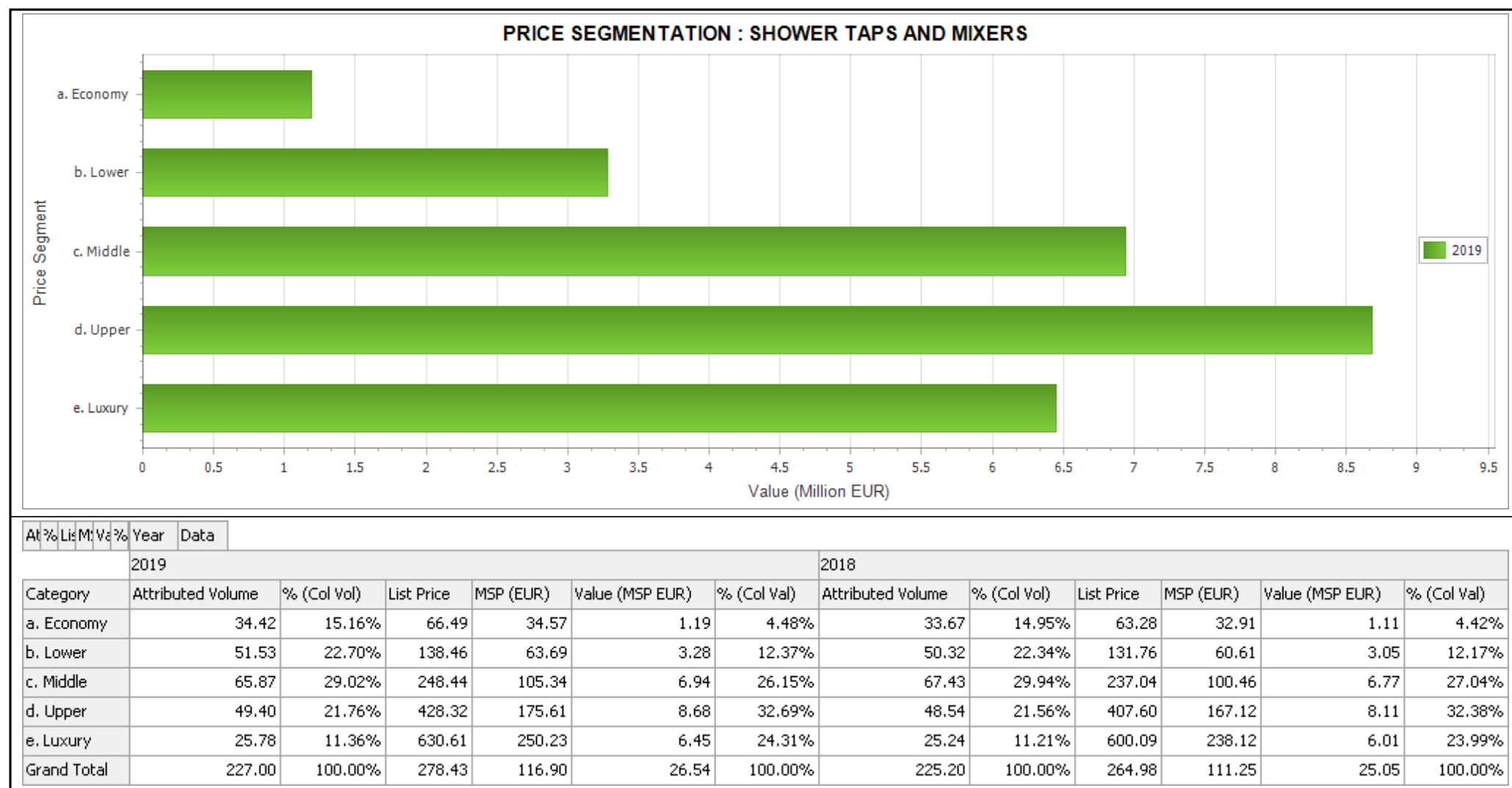
CH - ESTIMATED PRICE SEGMENTATION FOR KITCHEN TAPS AND MIXERS



Source: BRG based on industry interviews. Total may show slight variance compared to market data due to rounding. Volumes Shown in Thousands and Values Shown in Millions (at MSP = Manufacturers' Selling Price). Economy <€40, Lower €40-€80, Middle €80-€100, Upper €100-€150 and Luxury >€150

3.3.6 Price Segmentation : Shower Taps and Mixers

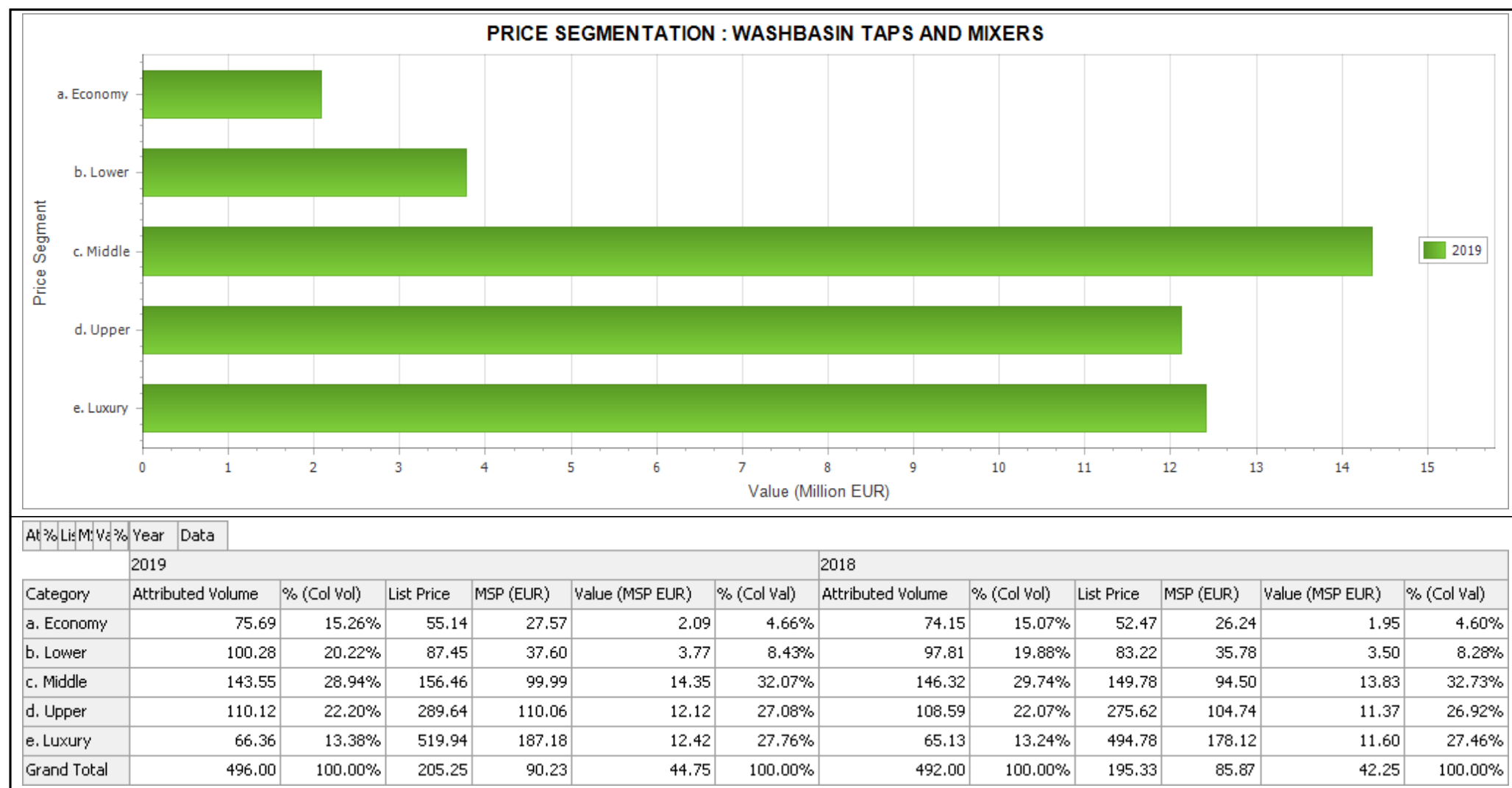
CH - ESTIMATED PRICE SEGMENTATION FOR SHOWER TAPS AND MIXERS



Source: BRG based on industry interviews. Total may show slight variance compared to market data due to rounding. Volumes Shown in Thousands and Values Shown in Millions (at MSP = Manufacturers' Selling Price). Economy <€40, Lower €40-€80, Middle €80-€120, Upper €120-€200 and Luxury >€200

3.3.7 Price Segmentation : Washbasin Taps and Mixers

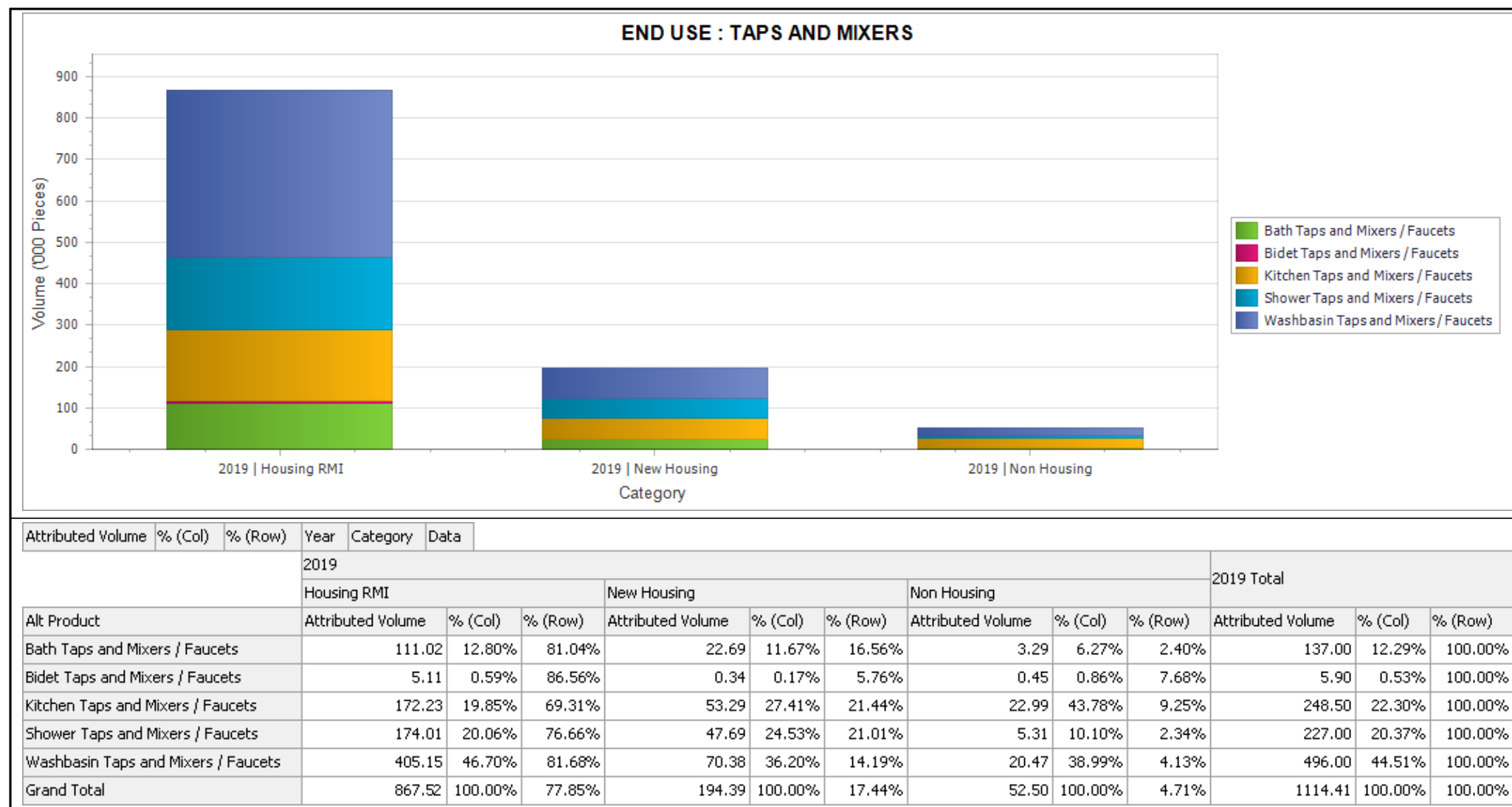
CH - ESTIMATED PRICE SEGMENTATION FOR WASHBASIN TAPS AND MIXERS



Source: BRG based on industry interviews. Total may show slight variance compared to market data due to rounding. Volumes Shown in Thousands and Values Shown in Millions (at MSP = Manufacturers' Selling Price). Economy <€30, Lower €30-€60, Middle €60-€100, Upper €100-€160 and Luxury >€160

3.4.1 End Use : Base Year

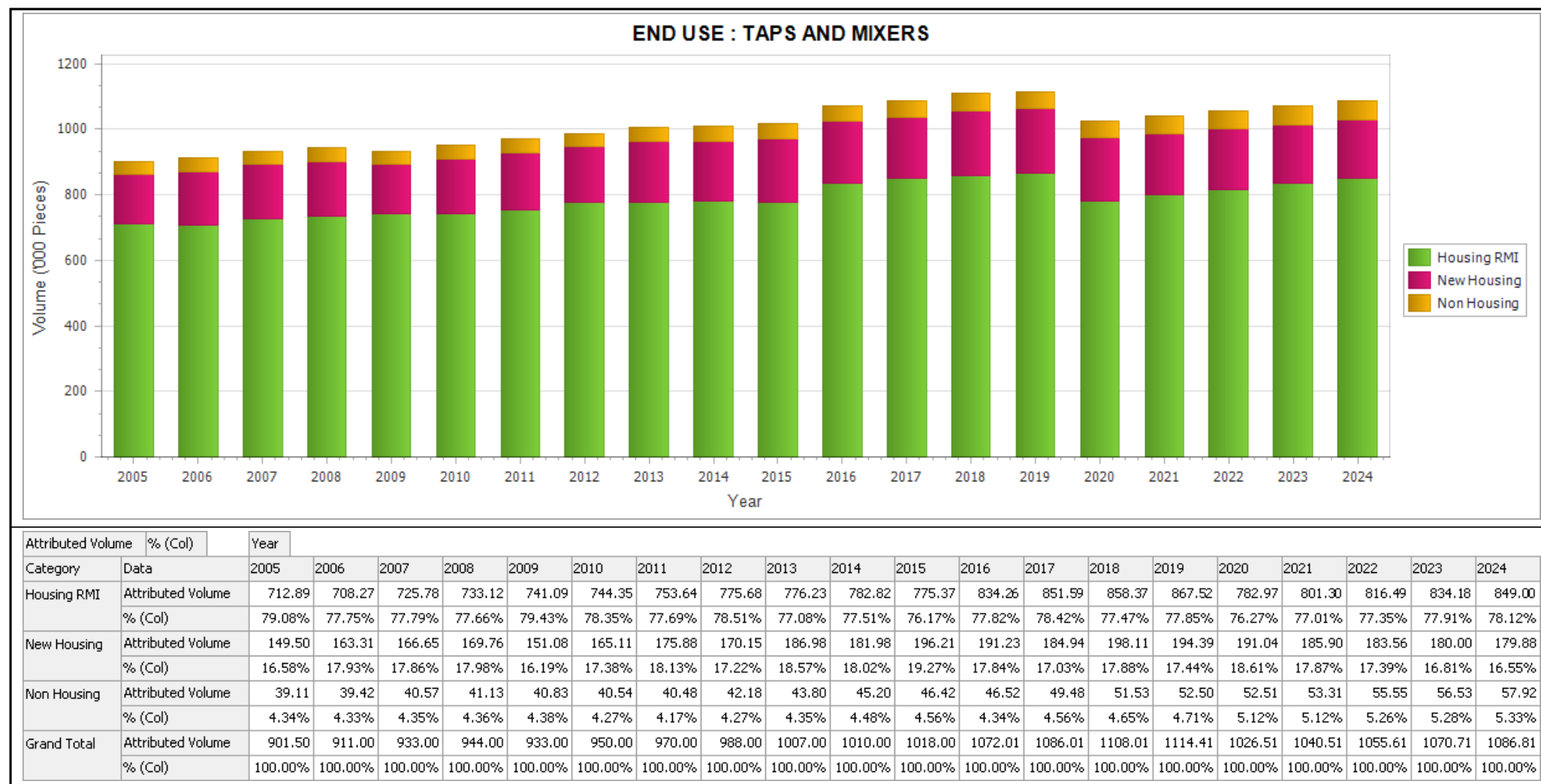
CH - SALES OF TAPS AND MIXERS BY TYPE AND END USE SEGMENT ('000 PIECES)



Source: BRG based on industry interviews. Totals may show slight variance due to rounding. N.B. Includes Kitchen and Sanitary Taps & Mixers

3.4.2 End Use : Historical and Forecasts

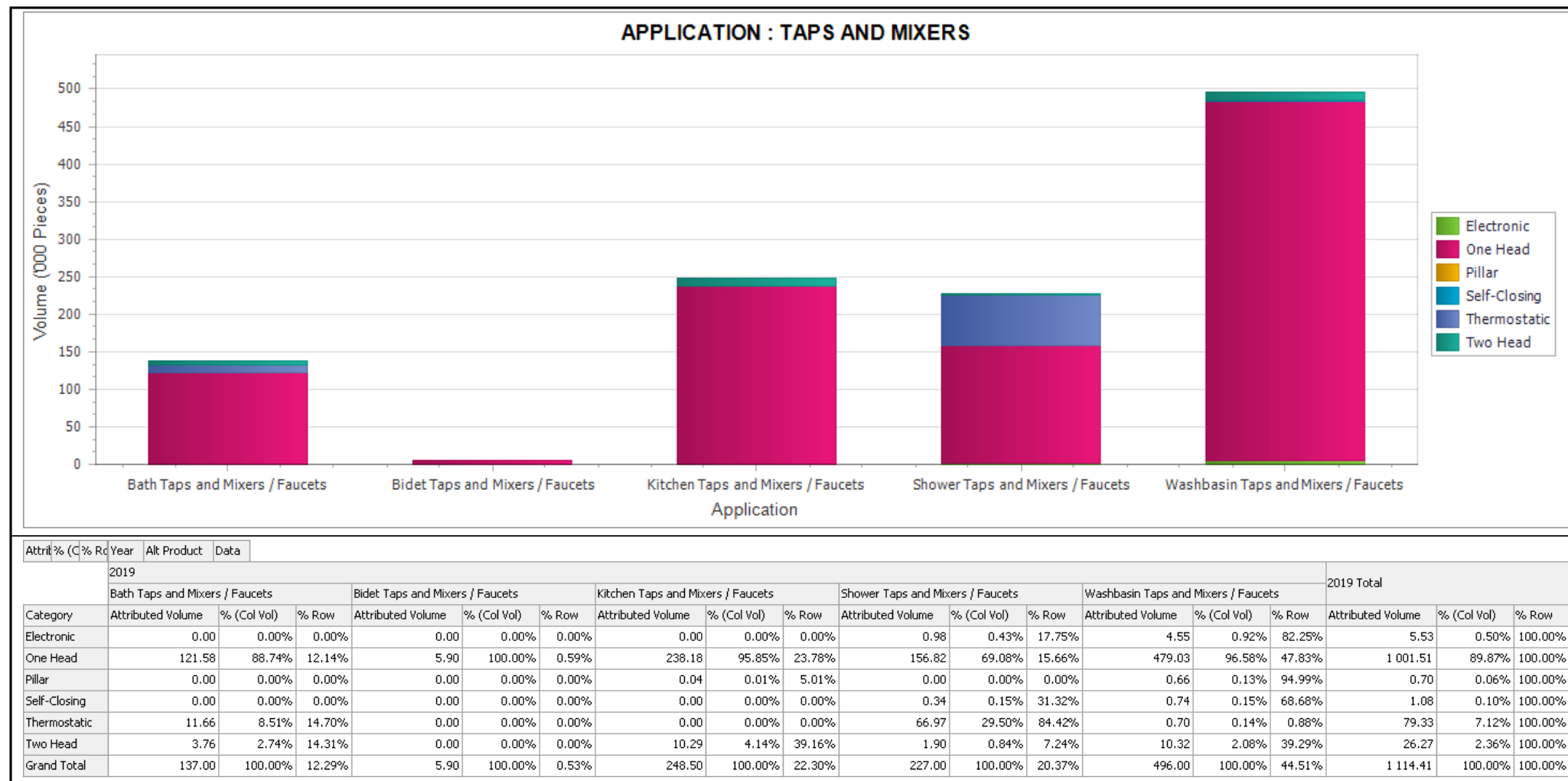
CH - SALES OF TAPS AND MIXERS BY END USE SEGMENT ('000 PIECES)



Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding. N.B. Includes Both Kitchen and Sanitary Taps & Mixers

3.4.3 Sales by Type and Application : Taps and Mixers

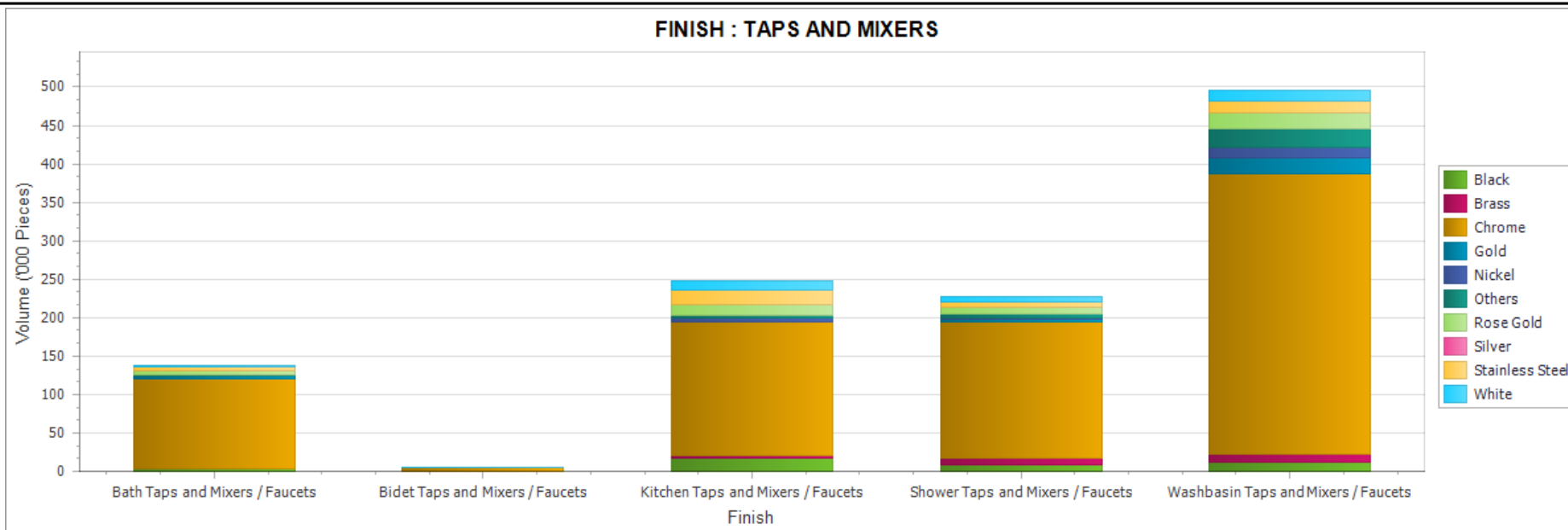
CH - TAP AND MIXER SALES BY TYPE AND APPLICATION ('000 PIECES)



Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding.

3.4.4 Sales by Type of Finish : Taps and Mixers

CH - TAP AND MIXER SALES BY TYPE OF FINISH ('000 PIECES)

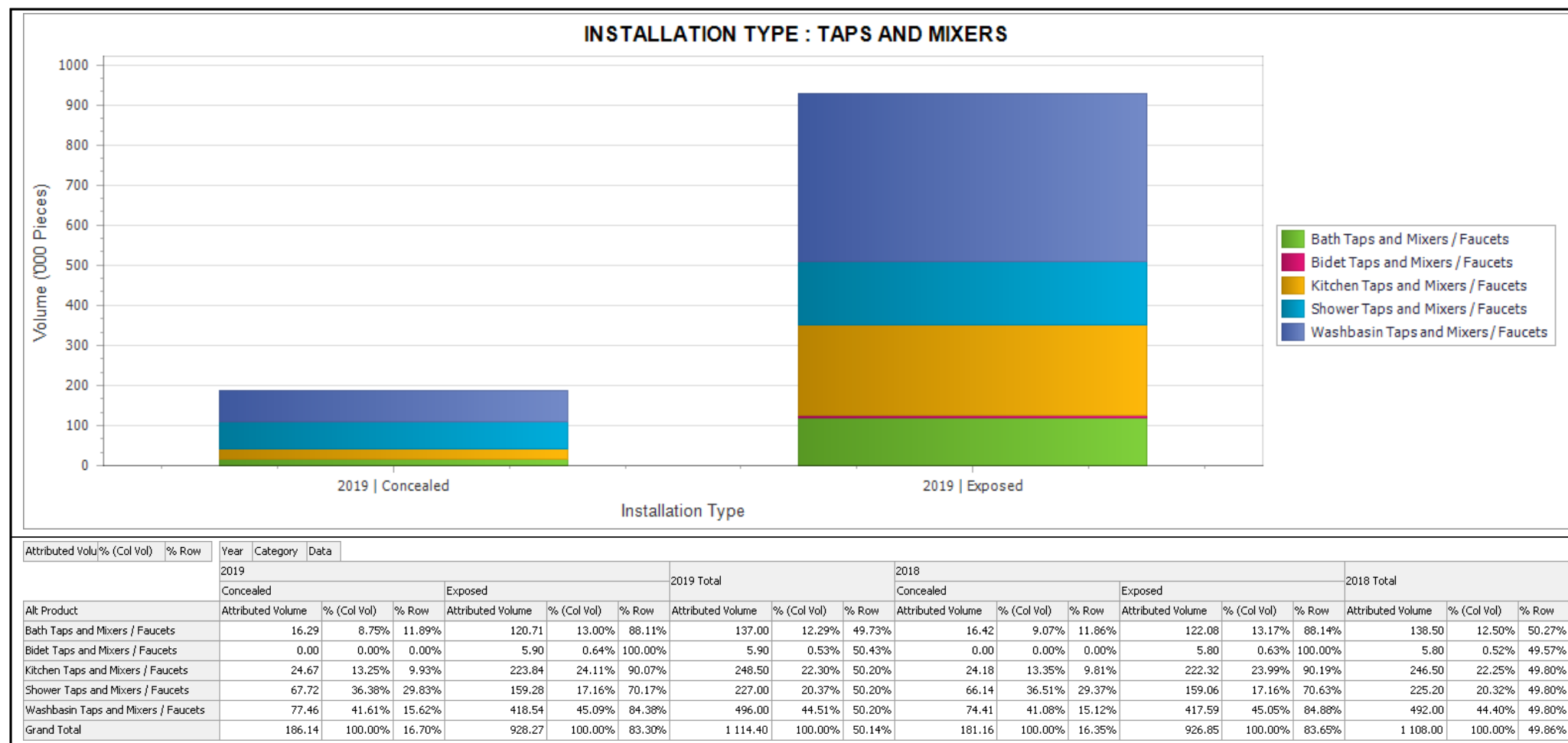


Attrib	% (C	% Ro	Year	Alt Product	Data															
2019																		2019 Total		
Bath Taps and Mixers / Faucets						Bidet Taps and Mixers / Faucets			Kitchen Taps and Mixers / Faucets			Shower Taps and Mixers / Faucets			Washbasin Taps and Mixers / Faucets					
Category	Attributed Volume	% (Col Vol)	% Row	Attributed Volume	% (Col Vol)	% Row	Attributed Volume	% (Col Vol)	% Row	Attributed Volume	% (Col Vol)	% Row	Attributed Volume	% (Col Vol)	% Row	Attributed Volume	% (Col Vol)	% Row		
Black	3.15	2.30%	7.60%	0.08	1.41%	0.20%	17.40	7.00%	41.94%	7.95	3.50%	19.16%	12.90	2.60%	31.10%	41.47	3.72%	100.00%		
Brass	0.82	0.60%	3.68%	0.00	0.00%	0.00%	3.48	1.40%	15.57%	8.63	3.80%	38.59%	9.42	1.90%	42.16%	22.35	2.01%	100.00%		
Chrome	116.45	85.00%	13.91%	5.21	88.28%	0.62%	173.21	69.70%	20.69%	177.06	78.00%	21.15%	365.06	73.60%	43.62%	836.98	75.11%	100.00%		
Gold	3.43	2.50%	12.08%	0.00	0.00%	0.00%	0.99	0.40%	3.51%	4.09	1.80%	14.42%	19.84	4.00%	69.99%	28.35	2.54%	100.00%		
Nickel	0.69	0.50%	3.51%	0.09	1.51%	0.46%	3.73	1.50%	19.09%	1.14	0.50%	5.81%	13.89	2.80%	71.13%	19.53	1.75%	100.00%		
Others	1.37	1.00%	3.76%	0.06	1.00%	0.16%	4.97	2.00%	13.65%	5.22	2.30%	14.34%	24.80	5.00%	68.09%	36.42	3.27%	100.00%		
Rose Gold	5.48	4.00%	11.64%	0.24	4.00%	0.50%	12.43	5.00%	26.40%	9.08	4.00%	19.29%	19.84	4.00%	42.16%	47.06	4.22%	100.00%		
Silver	0.00	0.00%	0.00%	0.20	3.41%	100.00%	0.00	0.00%	0.00%	0.00	0.00%	0.00%	0.00	0.00%	0.00%	0.20	0.02%	100.00%		
Stainless Steel	4.52	3.30%	9.37%	0.00	0.00%	0.00%	19.88	8.00%	41.19%	7.49	3.30%	15.52%	16.37	3.30%	33.92%	48.26	4.33%	100.00%		
White	1.10	0.80%	3.24%	0.02	0.41%	0.07%	12.43	5.00%	36.77%	6.36	2.80%	18.81%	13.89	2.80%	41.10%	33.79	3.03%	100.00%		
Grand Total	137.00	100.00%	12.29%	5.90	100.00%	0.53%	248.50	100.00%	22.30%	227.00	100.00%	20.37%	496.00	100.00%	44.51%	1 114.41	100.00%	100.00%		

Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding.

3.4.5 Sales by Type of Installation : Taps and Mixers

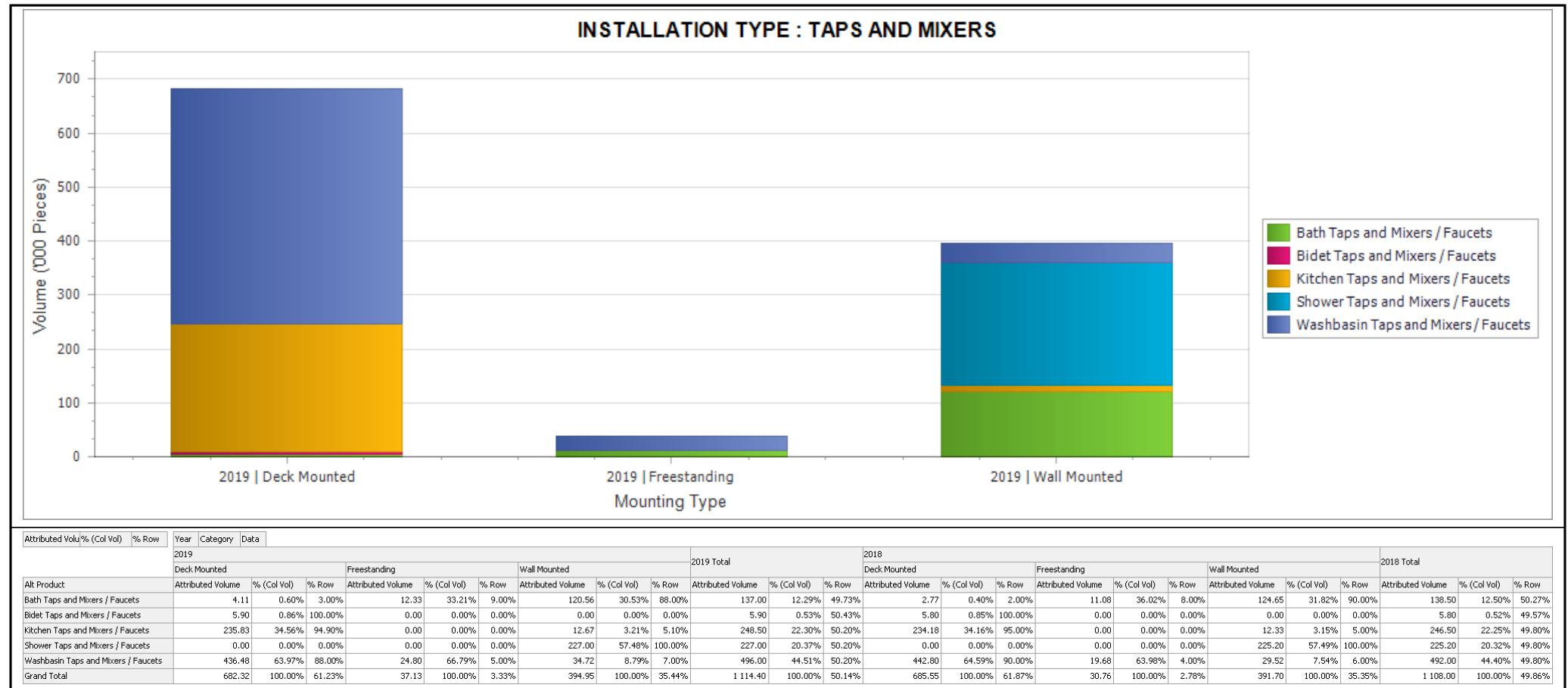
CH - TAP AND MIXER SALES BY INSTALLATION TYPE ('000 PIECES)



Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding.

3.4.6 Sales by Type of Mounting : Taps and Mixers

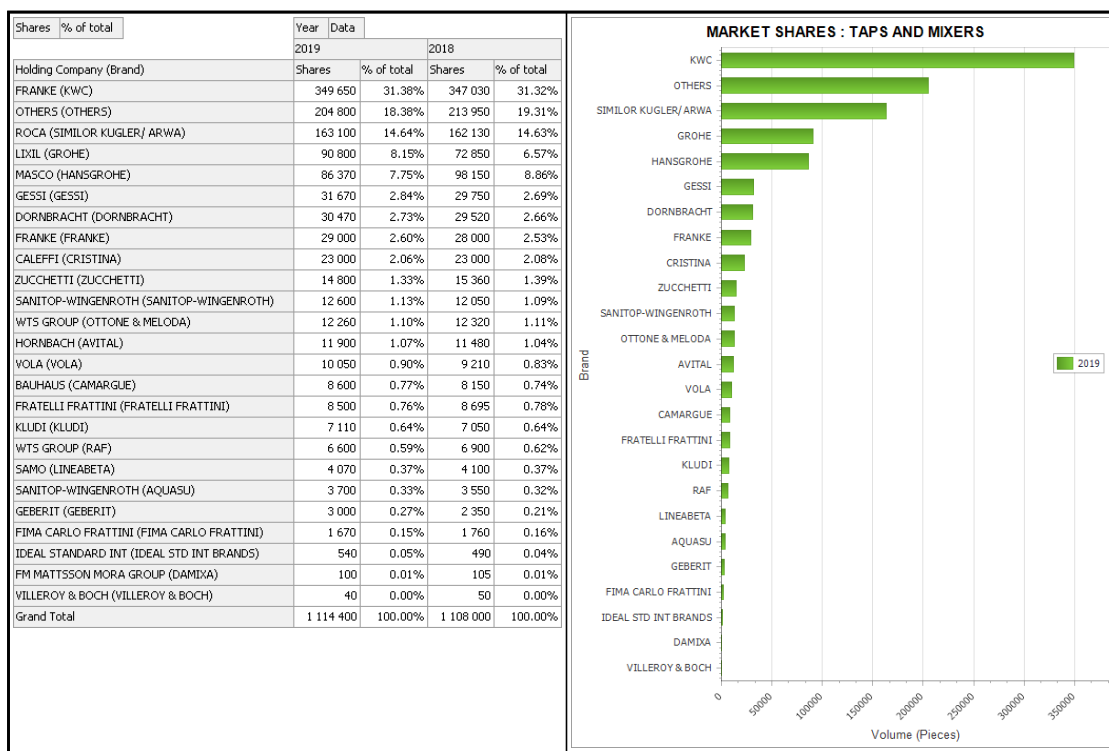
CH - TAP AND MIXER SALES BY TYPE OF MOUNTING ('000 PIECES)



Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding.

3.5 Market Shares : Taps and Mixers

CH - ESTIMATED MARKET SHARES FOR TAPS AND MIXERS



Source: BRG based on industry interviews. N.B. Includes Both Kitchen and Sanitary Taps & Mixers.

3.6.1 CH - IMPORTS OF TAPS & MIXERS 2019

Source Country	2019				2018			
	Volume		Value 000		Volume		Value 000	
	Tonnes	%	Euros	%	Tonnes	%	Euros	%
Germany	6 011	40.8%	207 597	44.2%	6 063	39.9%	202 797	44.6%
Italy	3 874	26.3%	89 657	19.1%	4 002	26.3%	90 428	19.9%
China	1 143	7.8%	21 372	4.6%	1 518	10.0%	22 608	5.0%
Austria	756	5.1%	18 125	3.9%	734	4.8%	14 139	3.1%
Spain	402	2.7%	4 919	1.0%	309	2.0%	3 757	0.8%
Denmark	354	2.4%	13 002	2.8%	320	2.1%	11 360	2.5%
France	306	2.1%	17 179	3.7%	429	2.8%	19 463	4.3%
Thailand	265	1.8%	1 992	0.4%	255	1.7%	1 874	0.4%
Czech Republic	245	1.7%	8 065	1.7%	196	1.3%	7 017	1.5%
Taipei, Chinese	220	1.5%	3 922	0.8%	175	1.2%	3 210	0.7%
Portugal	188	1.3%	4 969	1.1%	183	1.2%	4 516	1.0%
OTHERS	968	6.6%	78 509	16.7%	1 007	6.6%	73 556	16.2%
Total	14 732	100.0%	469 308	100.0%	15 191	100.0%	454 725	100.0%

Source : Trademap

3.6.2 CH - EXPORTS OF TAPS & MIXERS 2019

Destination	2019				2018			
	Volume		Value 000		Volume		Value 000	
	Tonnes	%	Euros	%	Tonnes	%	Euros	%
Germany	4 331	35.9%	167 314	34.6%	4 598	38.2%	173 476	36.4%
United States of America	1 224	10.1%	55 875	11.6%	1 198	10.0%	54 677	11.5%
China	803	6.7%	38 801	8.0%	609	5.1%	28 169	5.9%
France	741	6.1%	21 128	4.4%	672	5.6%	19 797	4.1%
Italy	467	3.9%	16 330	3.4%	457	3.8%	17 033	3.6%
Austria	430	3.6%	15 814	3.3%	408	3.4%	13 992	2.9%
United Kingdom	356	3.0%	19 906	4.1%	333	2.8%	19 776	4.1%
United Arab Emirates	316	2.6%	5 266	1.1%	410	3.4%	5 964	1.2%
Netherlands	256	2.1%	14 336	3.0%	166	1.4%	12 377	2.6%
Poland	244	2.0%	7 828	1.6%	191	1.6%	6 937	1.5%
Saudi Arabia	235	1.9%	4 739	1.0%	190	1.6%	3 197	0.7%
OTHERS	2 657	22.0%	115 604	23.9%	2 789	23.2%	121 736	25.5%
Total	12 060	100.0%	482 941	100.0%	12 021	100.0%	477 131	100.0%

Source : Trademap

3.7.1 Route to Market: Taps & Mixers / Faucets
CH - ESTIMATED DISTRIBUTION FOR TAPS & MIXERS / FAUCETS: 2019

Manufacturer / Importer	Manufacturers / Importers
	100.0%

Wholesale Level	75.6%
	Wholesalers / Merchants
	75.6%

Retail Level	Manufacturer 4.1%	Wholesaler 2.1%	Manufacturer 6.3%	Wholesaler 5.1%	Manufacturer 11.4%	Wholesaler 2.0%
	Internet Retailers		DIY Retailers		Specialist Retailers	
	6.2%		11.4%		13.4%	

Manufacturer	Wholesaler	Internet	DIY	Specialist
2.7%	65.0%	1.1%	0.0%	2.4%
Installers				
71.1%				

End Use Level	Manufacturer 0.0%	Wholesaler 1.4%	Internet 4.0%	DIY 11.4%	Specialist 11.0%	Installer 67.5%	Manufacturer 0.0%	Wholesaler 0.0%	Internet 1.1%	DIY 0.0%	Specialist 0.0%	Installer 3.6%
	Residential						Non-Residential					
	95.3%						4.7%					
	New Build			Residential RMI			New Build			Non-Residential RMI		
	17.4%			77.8%			1.5%			3.2%		
	Project		Non-Project	Project		Non-Project	Project		Non-Project	Project		Non-Project
	15.0%		2.4%	12.0%		65.8%	1.1%		0.4%	2.0%		1.2%

3.7.2 Route to Market: Taps & Mixers / Faucets
CH - ESTIMATED DISTRIBUTION FOR TAPS & MIXERS / FAUCETS: 2024

Manufacturer / Importer	Manufacturers / Importers
	100.0%

Wholesale Level	75.0%
	Wholesalers / Merchants
	75.0%

Retail Level	Manufacturer 4.2%	Wholesaler 2.3%	Manufacturer 6.5%	Wholesaler 5.3%	Manufacturer 11.7%	Wholesaler 2.2%
	Internet Retailers		DIY Retailers		Specialist Retailers	
	6.5%		11.8%		13.9%	

Manufacturer	Wholesaler	Internet	DIY	Specialist
2.5%	63.0%	1.2%	0.0%	2.9%
Installers				
69.6%				

End Use Level	Manufacturer 0.1%	Wholesaler 2.2%	Internet 4.1%	DIY 11.8%	Specialist 11.0%	Installer 65.5%	Manufacturer 0.0%	Wholesaler 0.0%	Internet 1.2%	DIY 0.0%	Specialist 0.0%	Installer 4.1%
	Residential						Non-Residential					
	94.7%						5.3%					
	New Build			Residential RMI			New Build			Non-Residential RMI		
	16.6%			78.1%			1.7%			3.6%		
	Project		Non-Project	Project		Non-Project	Project		Non-Project	Project		Non-Project
	14.8%		1.8%	12.0%		66.1%	1.2%		0.5%	2.2%		1.4%

Source: BRG Based on Industry Interviews. N.B. Include both Kitchen and Sanitary Taps & Mixers / Faucets - Totals may vary due to roundings

3.7.3 Route to Market - Consolidated View : Taps and Mixers

CH - ESTIMATED DISTRIBUTION FOR TAPS AND MIXERS : 2019

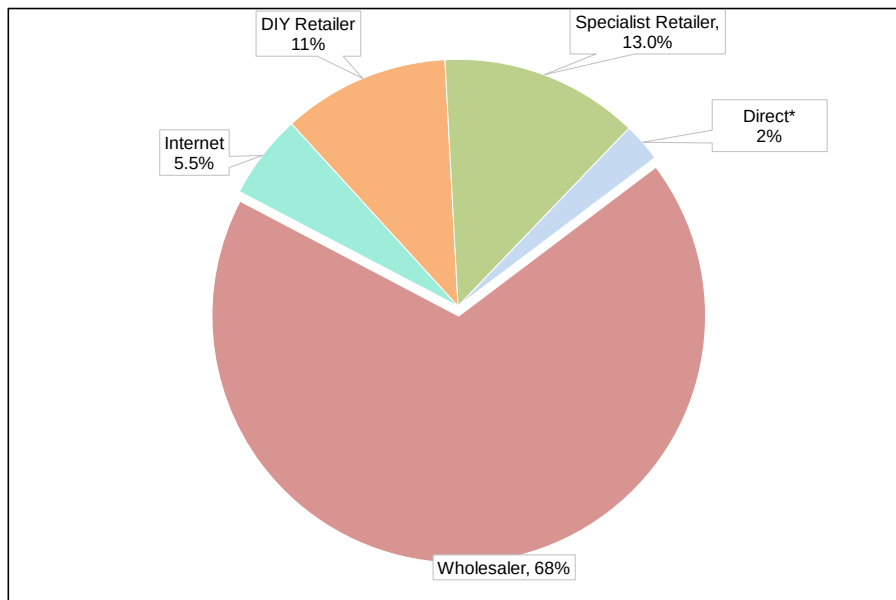
Route to Market - End Use Level					Project		Non-Project	
Wholesaler	Internet	DIY Retailer	Specialist Retailer	Direct*	Residential	Non-Residential	Residential	Non-Residential
68.0%	5.5%	10.9%	13.0%	2.5%	27.0%	9.1%	60.7%	3.2%
100%					36.1%		63.9%	

3.7.4 Route to Market - Consolidated View : Taps and Mixers

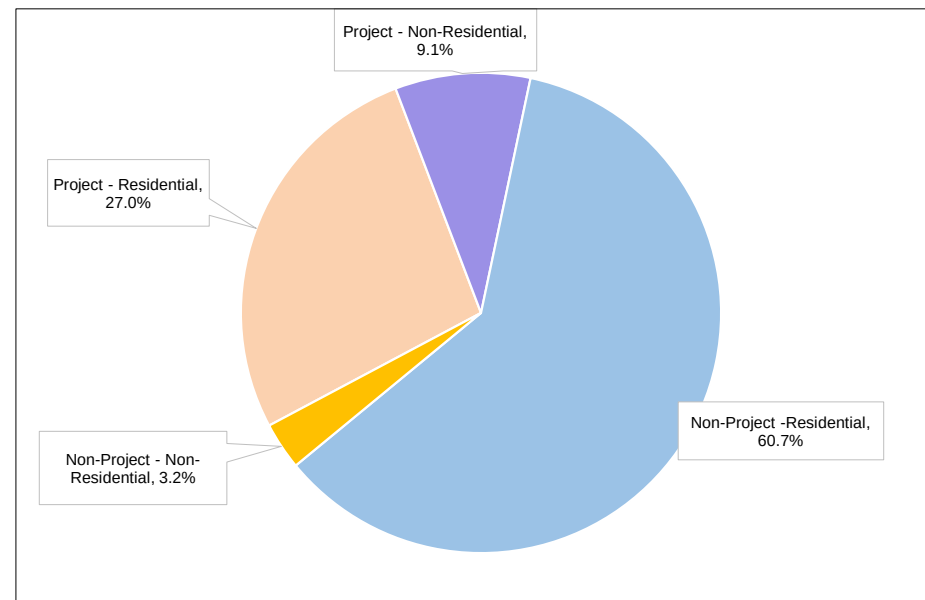
CH - ESTIMATED DISTRIBUTION FOR TAPS AND MIXERS : 2024

Route to Market - End Use Level					Project		Non-Project	
Wholesaler	Internet	DIY Retailer	Specialist Retailer	Direct*	Residential	Non-Residential	Residential	Non-Residential
65.2%	6.5%	11.8%	13.9%	2.6%	26.8%	9.5%	59.9%	3.8%
100%					36.3%		63.7%	

CH - SALES OF TAPS AND MIXERS BY DISTRIBUTION CHANNEL: 2019



CH - SALES OF TAPS AND MIXERS BY POINT OF DECISION AND END-USE SECTOR: 2019



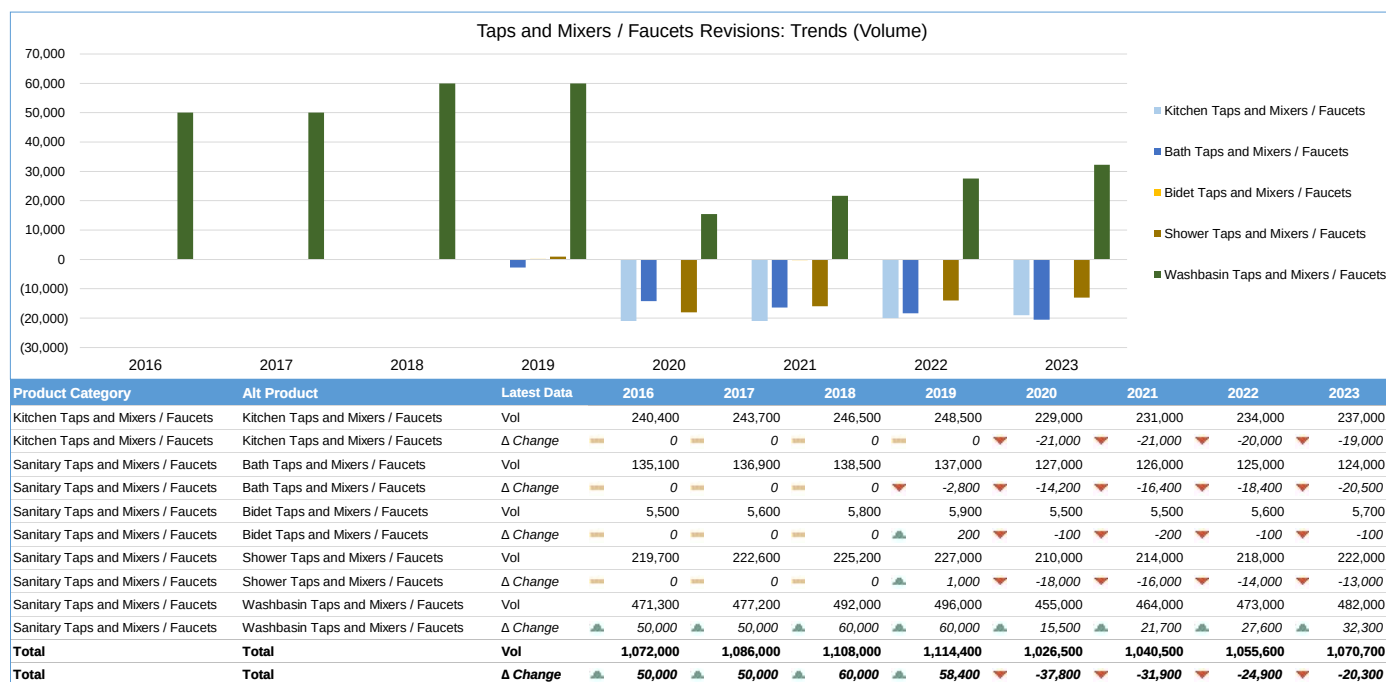
Source: BRG Based on Industry Interviews.

*Direct includes sales going directly from manufacturers to installers, contractors and private customers.

3.8 Revisions in the Swiss Taps and Mixers / Faucets Market (July 2020)

CH - REVISIONS IN THE SWISS TAPS AND MIXERS / FAUCETS MARKET

Data Comparison: July 2019



All 2019 taps and mixer volumes, including washbasin, bath, shower, bidet and kitchen models have been revised accordingly. Shower taps and mixers benefitting from the trend towards showering, away from bath, which results in declining bath taps and mixers in 2019. The revisions in 2019, affected also the forecast for all products.

SWITZERLAND

SHOWER WALL

THE EUROPEAN BATHROOM & KITCHEN PRODUCT MARKETS



Market Characteristics and Technological Trends

Shower wall products were introduced to Switzerland in as early as the mid-1970s, and growth only accelerated in the 1980s. Since then demand has been continuously increasing, as showers have been taking share from baths. Nowadays, a substantial number of apartments in Switzerland are only equipped with a shower. This explains the long-term success in sales of shower enclosures compared to bath screens, as bathtubs are increasingly replaced by large shower solutions, hampering the demand for bath screens. The connection between shower wall and shower tray sales volumes has become less significant over the years, as wet shower rooms continue to gain market share and benefit the demand for shower enclosures. As far as conventional shower cubicles are concerned, these products have nearly disappeared from the Swiss market. This product category is small and considered to be a niche market, with sales being almost exclusively for renovation purposes. Shower cubicles are functional products with a small range, mostly installed in fitness rooms or commercial applications where no bathroom is available.

The shower enclosure market, thus, has been the driving force in the overall shower wall market, as the trend towards glass enclosures continues and more showers are being installed or upgraded. Like neighbouring Austria and Germany, a trend can be seen towards the so-called wet shower rooms that use a shower drainage system. The reason for the large use of glass shower enclosures can be attributed to the fact that it is very expensive to have a bathroom installed in Switzerland, as it needs to be installed by a registered plumber. Consequently, Swiss consumers prefer to pay more for high-quality and long-lasting products to ensure that the bathroom can be used for 20 to 25 years. Plastic shower enclosures might be less expensive as upfront investments; however, they are also known to be less durable.

Hydrotherapy shower cubicles are relatively easy to install and have a wide range of functions, which may help to explain their success. The most common functions are a variety of massage jets, electronic controls, steam functions, aromatherapy dispensers, music and lighting. There is a strong trend towards steam and infrared cubicles, as they are easier to install and cheaper than a real steam bath or sauna. The hydrotherapy market completely collapsed within three-step distribution, because of the change in consumer behaviour during the financial crisis. Hydromassage products are not perceived as status symbols anymore, and the hydrotherapy trend is slowly fading away. Instead, most Swiss consumers prefer to visit commercial wellness places such as water parks, saunas and wellness hotels. What remains is a split market that is divided into luxury and DIY products.

Recent Market Trends

In 2019, total sales of shower walls increased marginally when compared to the previous year, being primarily driven by demand for shower enclosures, which

compensated for declining sales of bath screens. Overall, this market profited from the declining, but still high level of new completions of multi-family buildings. With the trend towards showering, new baths are rarely installed to be used for showering. If a consumer opts for a bath, it is just for the purpose of having a bath. Installing a bath that is used as a shower is not contemporary because of the demographic change; for example, elderly people might struggle to get inside the bath to have a shower. Instead, it would be more convenient to have a spacious shower. In the new house sector bathrooms tend to be bigger and Swiss households prefer a bath without a bath screen.

Concerning RMI, there are two main trends that influence the substitution of baths for shower trays. On the one hand, if owners have no space to add a shower to an existing bath due to limited bathroom size, then they are likely to replace the bath with a large shower. Exceptions within this trend can be observed with young couples, for example, who might need a bath for their children and therefore prefer to keep it. However, if there is no need for a bath anymore because the children have moved out of the house, for example, then the owners decide to replace their bath with a large shower.

The size of showers has increased, and manufacturers have had to adjust their products to fit the new standards. Along with a significant increase of walk-in showers on the Swiss market in the near past, shower wall manufacturers noticed increasing competition from local glaziers. In many cases, a glazier tailor makes a single glass wall faster and more economically. This competitive advantage has benefitted consumers who favour walk-in showers. BRG does not capture shower wall sales by glaziers in the market share category known as 'others'. It is estimated that around 20% of all showers are equipped with a shower wall manufactured by a glassmaker. This volume needs to be added on top of BRG's market volume of shower walls.

However, as mentioned before, the share of walk-in showers grew strongly in the recent past and reached its turnaround in 2018, as residents made not the best experiences with it. It looks modern and stylish as well as the ease of accessibility, the popularity was growing up until 2018, but this trend stopped. Walk-in showers caused many problems such as the drain attack the substance of the house. As a result, walk-in showers are now prohibited in wooden houses, which are very popular in Switzerland. Other experiences such as hygiene issues in joint/groove between the tiles declined the demand for walk-in showers further. This could decline the demand on customized glassmakers in the coming years.

Demand for hydrotherapy shower cubicles slightly increased in 2019. Demand is believed to come from the upper market segment, by convincing consumers to install a hydrotherapy shower cubicle instead of a walk-in shower. The cost for a walk-in shower is around 7 000 to 8 000 CH, which is around 3 000 CHF short of purchasing a hydrotherapy shower cubicle with additional benefits such as LED, music and steam function. It is believed that these added values provide a reason for consumers to invest more in a hydrotherapy product. Demand for upper market hydrotherapy cubicles is believed will increase during the forecast period.

Prices and Market

The MSPs (manufacturers' selling prices) of shower wall products in Swiss Francs had only a marginal change in 2019. Being a mature market, competition is harsh and end consumers are sensitive to price changes. Additional pressure on average prices comes from DIY supply, which although being currently still low has the potential to take market shares in the distribution of shower enclosures. Furthermore, local glass manufacturers are an increasing competitor, especially for walk-in shower solutions. Additionally, there is the option of consumers to cross the Swiss border to take advantage of much lower prices in Austria and Germany. It has also been observed that a high number of new foreign manufacturers have entered the Swiss market; due to the presence of these manufacturers, prices are forced to stay competitive – which limits price increases. As such, the MSPs of almost all shower wall products had only marginal increases in 2019.

In general, the upper and luxury categories account for most sales, particularly for hydrotherapy shower cubicles and shower enclosures. This is due to Swiss consumers preferring to invest in high-quality products that are more durable. However, the shares of products sold in the both the lower/economy and upper price segments have increased over the years. This trend is likely to continue in the coming years, as there are fewer houses and more apartment constructions. In the case of private RMI investment, the trend for higher-priced products is believed to be largely driven by Swiss households' increased level of disposable income and the growing status of bathrooms.

New Housing

In 2019, the residential construction industry development saw slightly less completions than in the previous year. Constructions of multi-family buildings had a marginal decline when compared to 2018. As a result, shower wall, conventional shower cubicle and hydrotherapy shower cubicle sales for the new housing segment decreased in volume. As new housing properties follow the needs of the Swiss population, almost all new dwelling completions have at least one shower in the bathroom. When taking into consideration demographic changes, apartments might be equipped with barrier-free showers to allow easy access for older people. Overall, a shower is more likely to be installed in a newly constructed apartment. Therefore, the share of shower walls dominates the market, whereas conventional shower cubicles and bath screens account for only marginal sales numbers.

In addition, the market share of side walls/ no door is predicted to increase in the new house sector; consequently, demand for all other shower wall products is predicted to decrease over the forecast period. The main reason for this development is still the popularity of walk-in showers in the new housing sector.

Housing RMI

Similar to many Western European countries, the replacement sector is by far the largest sector of the overall shower wall market and its most important market driver. Like other bathroom systems and products in Switzerland, the country has a long history with shower walls. Due to the good quality of the products, the lifespan of the shower walls is on average up to 25 years, which results in a low replacement ratio per system.

Total demand for shower enclosures and hydrotherapy shower cubicles increased in 2019 when compared to 2018. Demand for bath screens slightly declined in 2019 due to the overall trend towards showering. Demand for all other shower wall products increased in 2019. RMI demand for conventional shower cubicles is primarily destined for dwellings with a lack of waterproof insulation. Buying and installing a shower cubicle is more economical than an overall bathroom renovation and installation. It is a niche product, and demand for it remains consistently small – with only insignificant changes in the number of sales.

Demand for shower enclosures has showed a slight increase. In fact, a bath is often replaced with a shower tray as the size of the bathroom does not always allow the installation of a walk-in shower. The growing popularity of walk-in showers in the RMI sector took away share from traditional shower wall products. However, in 2018 this trend reversed and it is likely to benefit shower walls in the RMI sector to some extent.

Non-Housing

Demand for shower walls in the non-residential end-use sector is small when compared to the total market size. The reason for this is that only a limited number of buildings such as hospitals, educational institutions, hotel rooms and leisure facilities are likely to be equipped with a shower. Within these buildings, most showers are wet rooms that do not require a shower wall. There are exceptions, and demand from non-housing increased for all shower wall products, except for bath screens, in 2019 – when compared to the previous year.

Supply Structure

The market is dominated by the manufacturers BEKON-KORALLE and DUSCHOLUX. BEKON-KORALLE and DUSCHOLUX together are responsible for around two thirds of all shower wall sales. BEKON-KORALLE offers products that target everyone who builds in Switzerland, by covering the whole price segment from basic to upper – except for price entry-level products in DIY. Another important player on the market is the Italian manufacturer DUKA, which specialises in high-quality and tailor-made shower walls. In recent years the supply structure has remained almost unchanged, apart from the SANITEC acquisition by Swiss cistern manufacturer GEBERIT in early 2015. All former SANITEC brands, including BEKON-KORALLE, were fully integrated into the GEBERIT GROUP in

2015. However, BEKON-KORALLE was sold to the Swiss AFG ARBONIA group in July 2016.

Both DUSCHOLUX and BEKON-KORALLE have production facilities in Switzerland. These two market leaders and other manufacturers are present through local subsidiaries and distribute directly to major wholesalers in the country.

DUSCHOLUX concentrates on producing real glass products in Switzerland; all other types of products are imported from the other DUSCHOLUX plants in Germany, Italy and Austria. In terms of price/quality, its product range covers all price segments; however, the company focuses more on products at the upper end of the market.

The conventional shower cubicles segment represents a rather niche market in Switzerland for manufacturers, and product innovations have been lacking for a few years. Nevertheless, there are several small manufacturers and glaziers that sell directly to installers and end consumers. Direct sales to end consumers often take place during local trade fairs such as the MUBA in Basel, the BEA in Bern, the OLMA in Sankt Gallen, and the COMPTOIRS in Lausanne.

Swiss hydrotherapy shower cubicle supply is mostly dominated by manufacturers SANPLAST HOESCH and ALBATROS GRUPPO TRE S, after the Italian TEUCO GUZZINI went bankrupt in 2018 and has suffered reduced distribution since 2017. The share of 'others' in the hydrotherapy cubicle segment mainly includes sales from manufacturers from Eastern Europe and Asia. These products are distributed through DIY stores and have been gaining market share in the past few years.

According to BRG research, HÜPPE is no longer distributing its products via the three-step distribution network. Instead the German manufacturer, which is owned by the US MASCO group, sales directly to commercial real estate projects only. As a result, market shares dropped significantly in 2016 and sales are now almost non-existent.

The two most important wholesalers for shower walls are CRH GÉTAZ GROUP and SAINT GOBAIN.

Forecasts

Given the exceptional circumstances related to the spread of the COVID-19 virus and measures in place for its containment, forecasts for 2020 and beyond are based on the latest information available at the time of publication. BRG has attempted to factor in the latest developments – see Macroeconomic data in Table II.3, and supporting summary table at the end of the Background section.

In the first two months of 2020, overall sales have continued their trend from 2019. The warm weather meant that usual breaks during cold winter days in the construction industry were not present in Q1 2020, and installers continued to work

as usual. However, in March 2020, the overall situation in Europe changed in many cases. Similar to most of the European countries, the worldwide COVID-19 pandemic slowed down most of the non-essential activities in Switzerland from March onwards. The tourism industry, which represents a big demand on baths products were heavily affected; hotels and restaurants were fully closed. Many of them struggled to survive, due to the lack of income during this time, which should decline the financial availability for the needed bathroom renovations. Moreover, apart from online sales, all other distribution channels were restricted and working hours in manufacturing sites were curbed down massively. Overall demand on bath and shower trays declined strongly for all models and sales turned to normal after the ease of restrictions in May. As a result, the overall shower wall market volumes are expected to decline significantly in 2020.

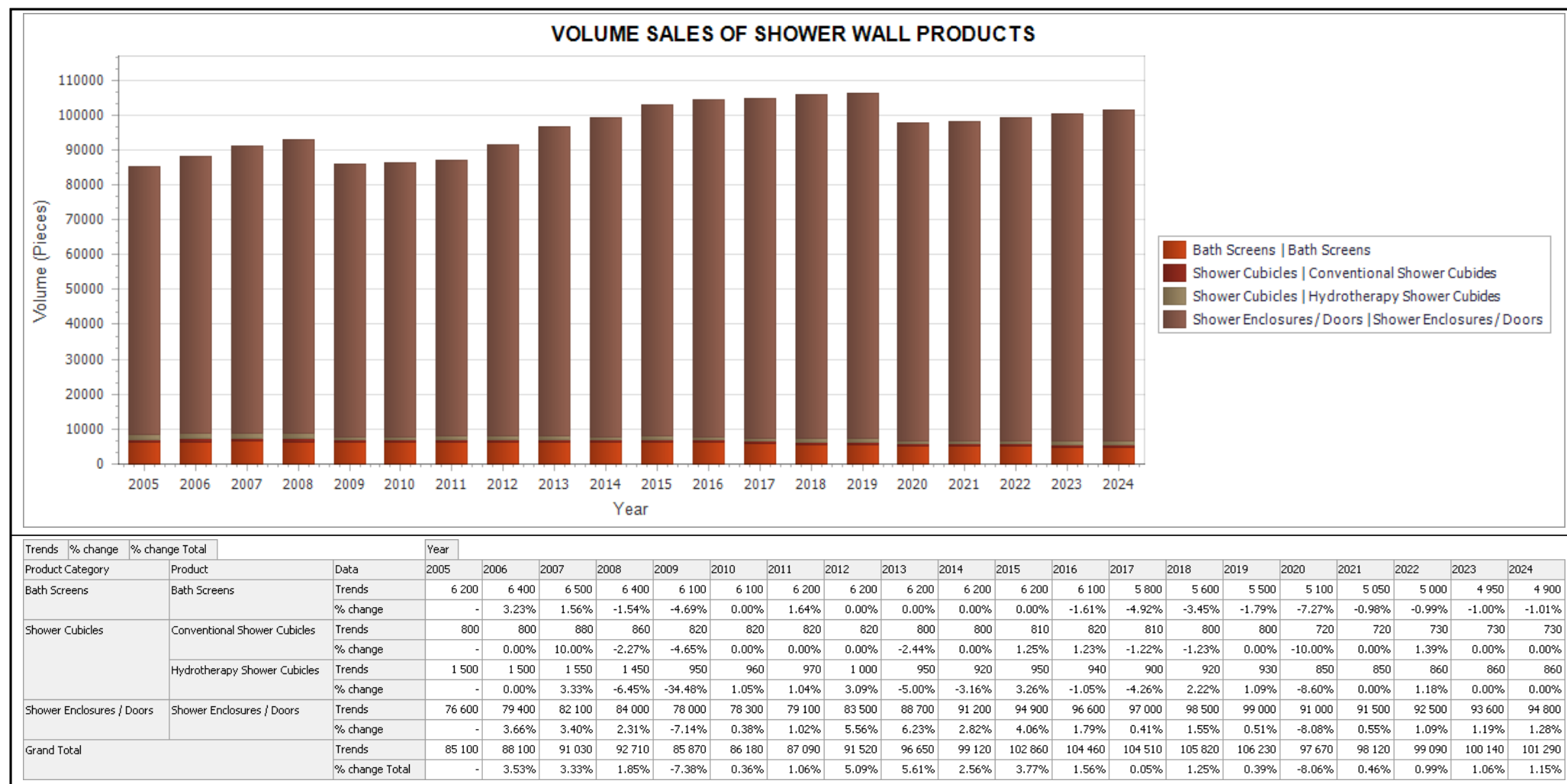
Looking at the forecast from 2021 onwards, the overall shower wall sales are expected to increase again. Different products are expected to develop in various directions. Shower enclosures are expected to continue to grow and further dominate the shower wall market.

In comparison to that, bath screen sales are directly linked to bath sales, which are being challenged by the trend towards showering away from bathing. The bath screen market is predicted to decline further during the forecast period. As far as conventional shower cubicles are concerned, demand is expected to stay stable. The reason for this is that they are outdated products which are only used if there is no other option, such as shower trays or walk-in showers.

The role of DIY stores in the distribution chain might lead to increased price competition. The growth in internet distribution is likely to enable consumers to obtain higher quality products at lower prices. This development is likely to put pressure on traditional three step distribution channel.

4.2 Historical Trends and Forecasts : Shower Wall

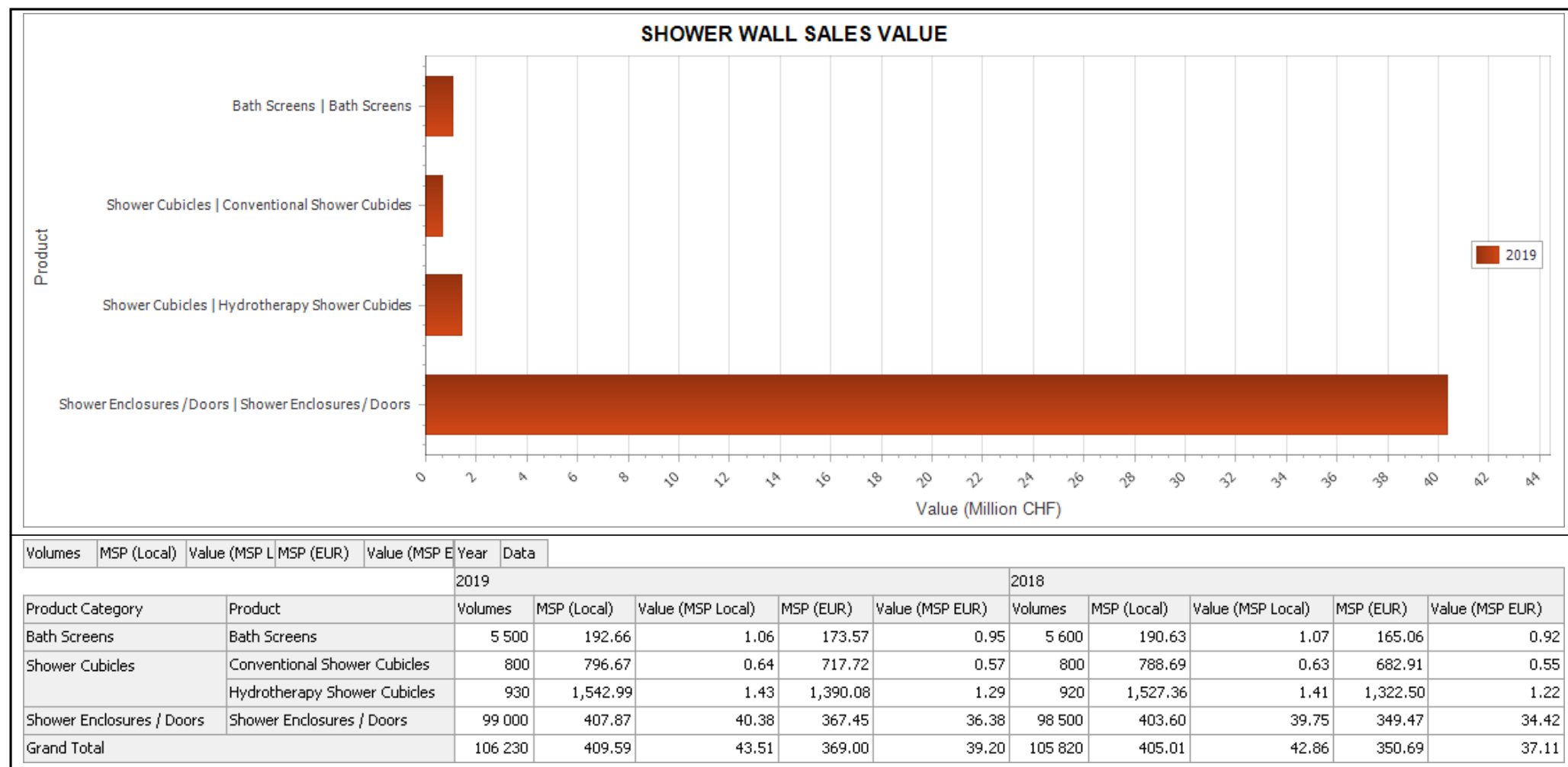
CH - SUMMARY OF TRENDS IN THE SHOWER WALL MARKET : HISTORICAL AND FORECASTS



Source: BRG based on industry interviews.

4.3.1 Prices and Market Values : Shower Wall

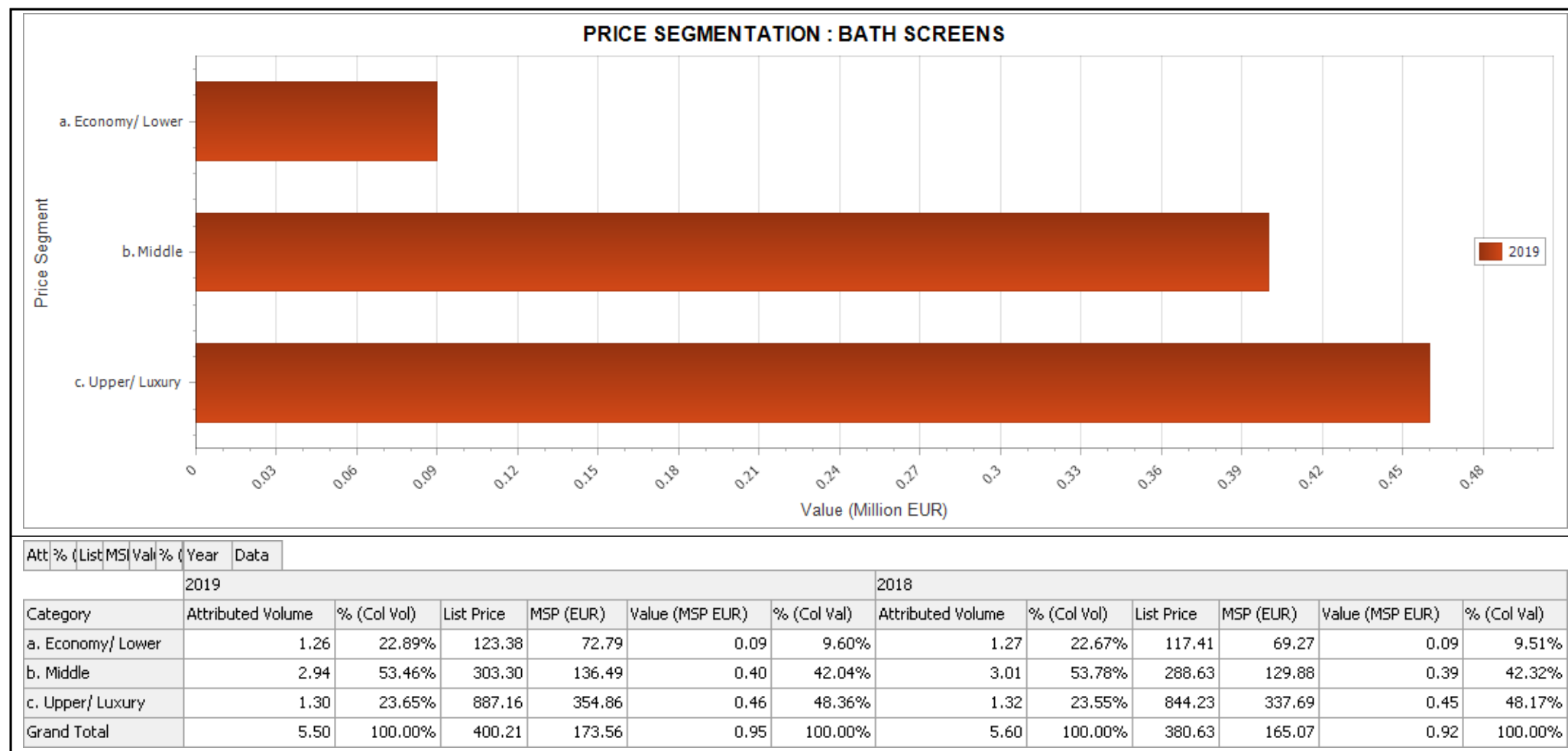
CH - ESTIMATED VALUES OF THE SHOWER WALL MARKET



Source: BRG based on industry interviews. Local Prices Shown in CHF. Values Shown in Millions (at MSP = Manufacturers' Selling Price).

4.3.2 Price Segmentation : Bath Screens

CH - ESTIMATED PRICE SEGMENTATION FOR BATH SCREENS

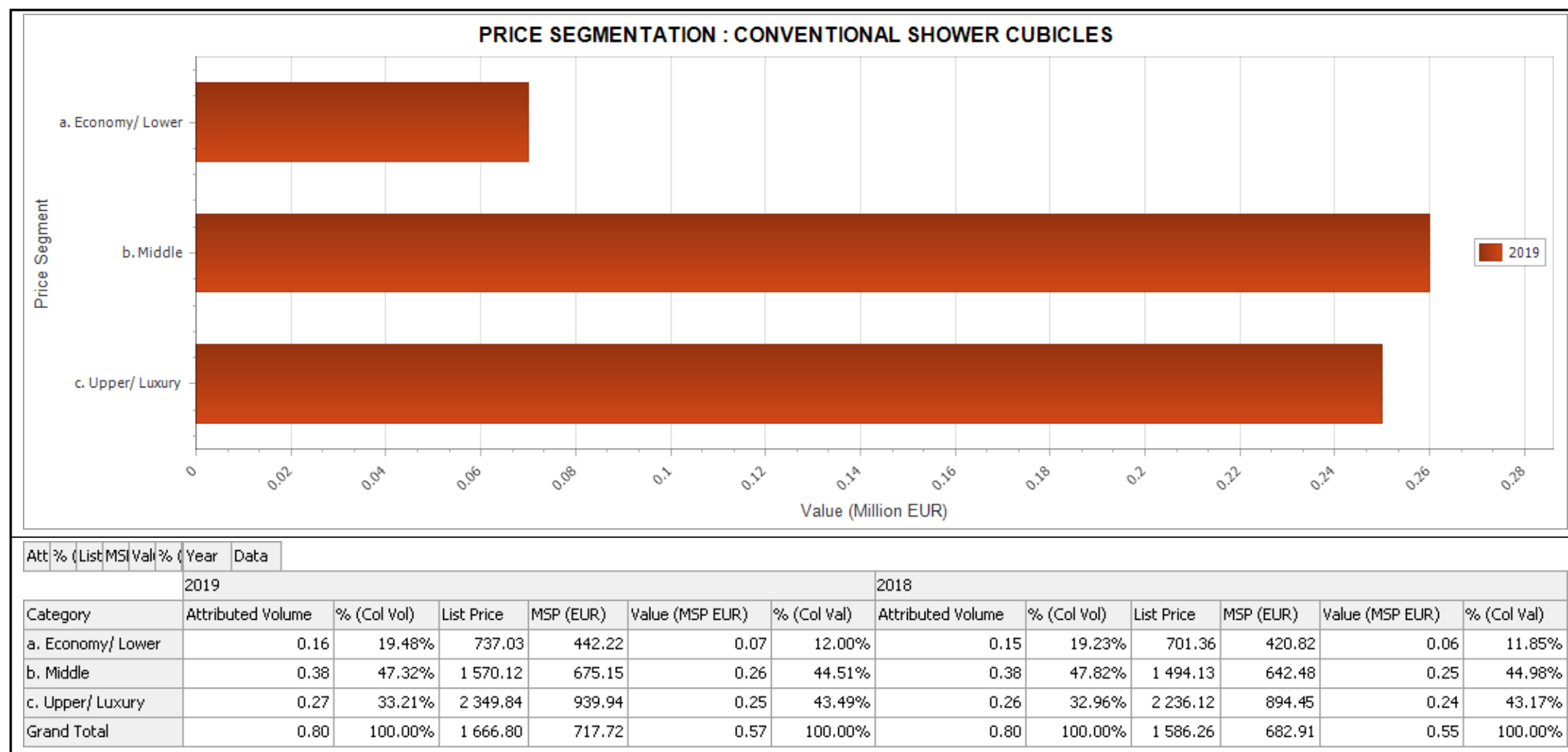


Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding.

Volumes Shown in Thousands and Values Shown in Millions (at MSP = Manufacturers' Selling Price). Economy/ Lower <€100, Middle €100-€180, Upper/ Luxury >€180

4.3.3 Price Segmentation : Conventional Shower Cubicles

CH - ESTIMATED PRICE SEGMENTATION FOR CONVENTIONAL SHOWER CUBICLES

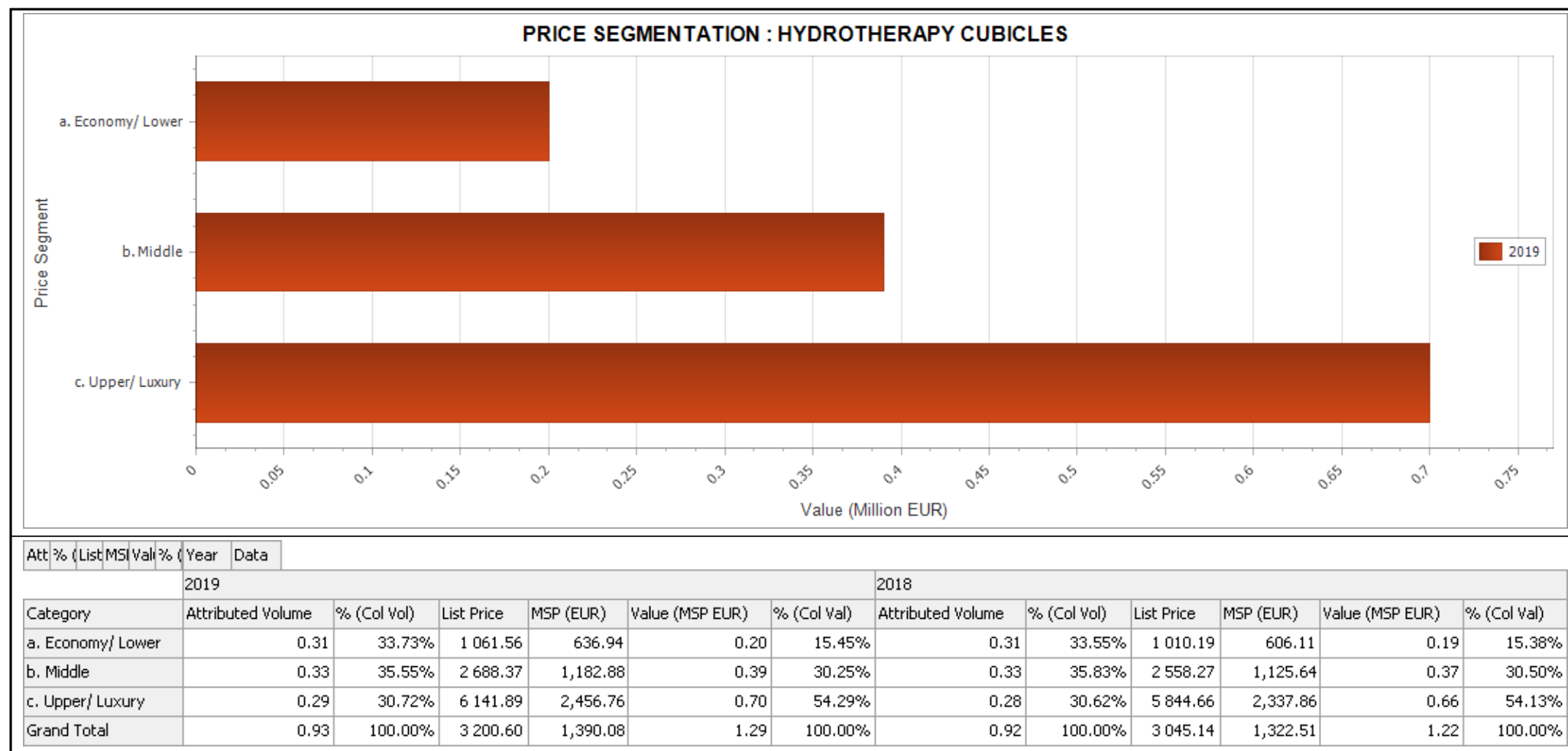


Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding.

Volumes Shown in Thousands and Values Shown in Millions (at MSP = Manufacturers' Selling Price). Economy/ Lower <€500, Middle €500-€800, Upper/ Luxury >€800

4.3.4 Price Segmentation : Hydrotherapy Shower Cubicles

CH - ESTIMATED PRICE SEGMENTATION FOR HYDROTHERAPY CUBICLES

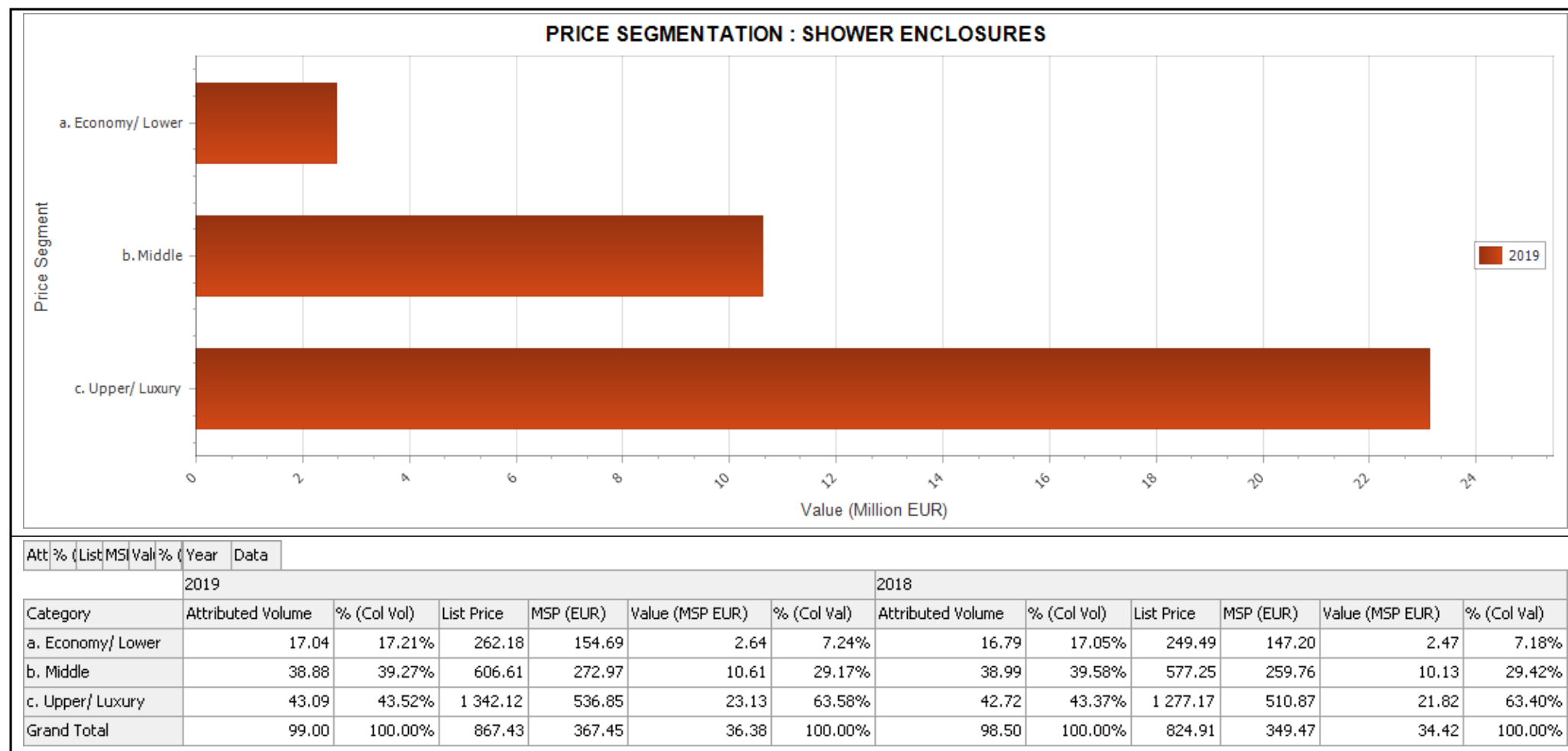


Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding.

Volumes Shown in Thousands and Values Shown in Millions (at MSP = Manufacturers' Selling Price). Economy/ Lower <€800, Middle €800-€1600, Upper/ Luxury >€1600

4.3.5 Price Segmentation : Shower Enclosures

CH - ESTIMATED PRICE SEGMENTATION FOR SHOWER ENCLOSURES

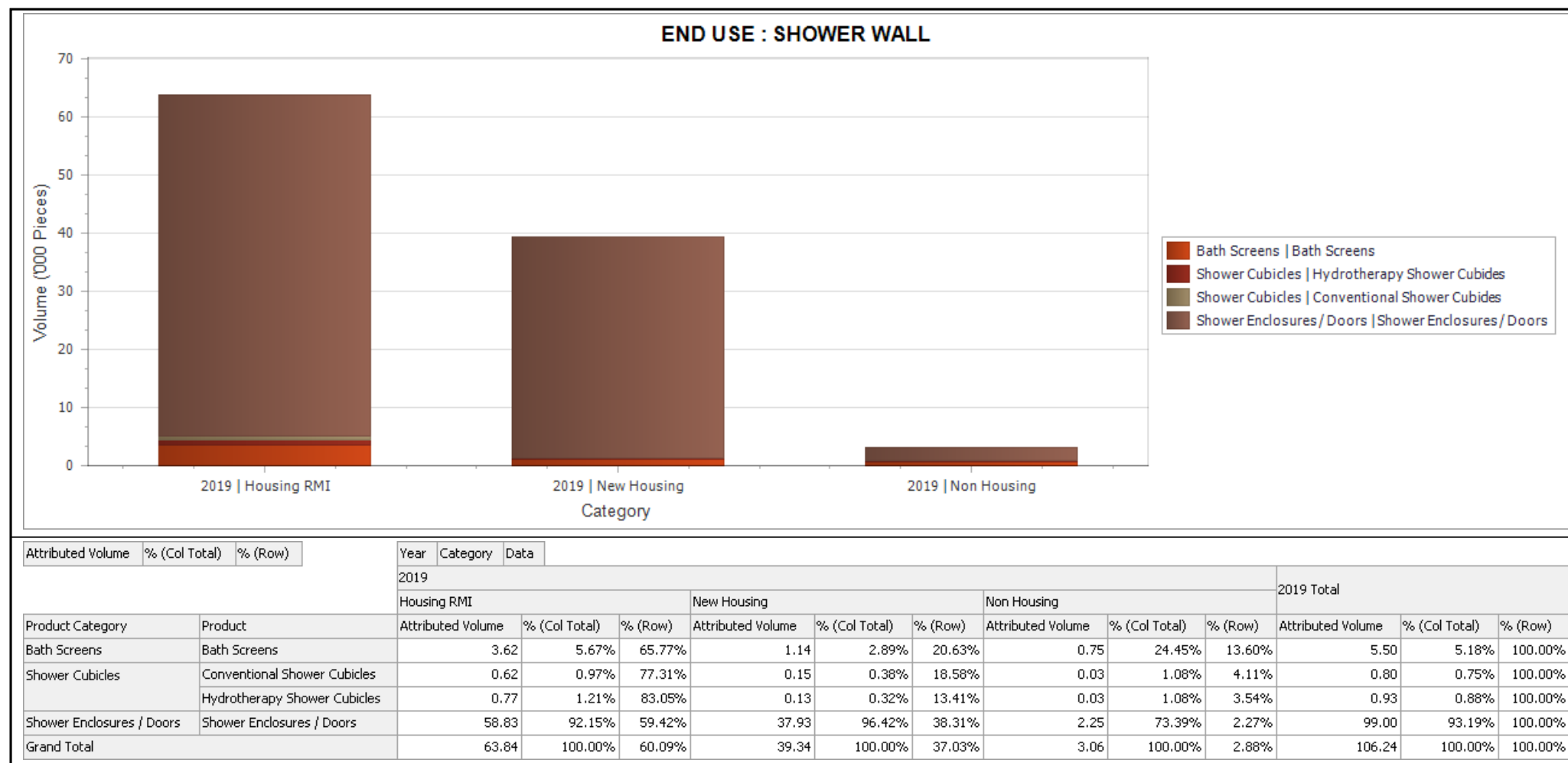


Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding.

Volumes Shown in Thousands and Values Shown in Millions (at MSP = Manufacturers' Selling Price). Economy/ Lower <€200, Middle €200-€300, Upper/ Luxury >€300

4.4.1 End Use : Base Year

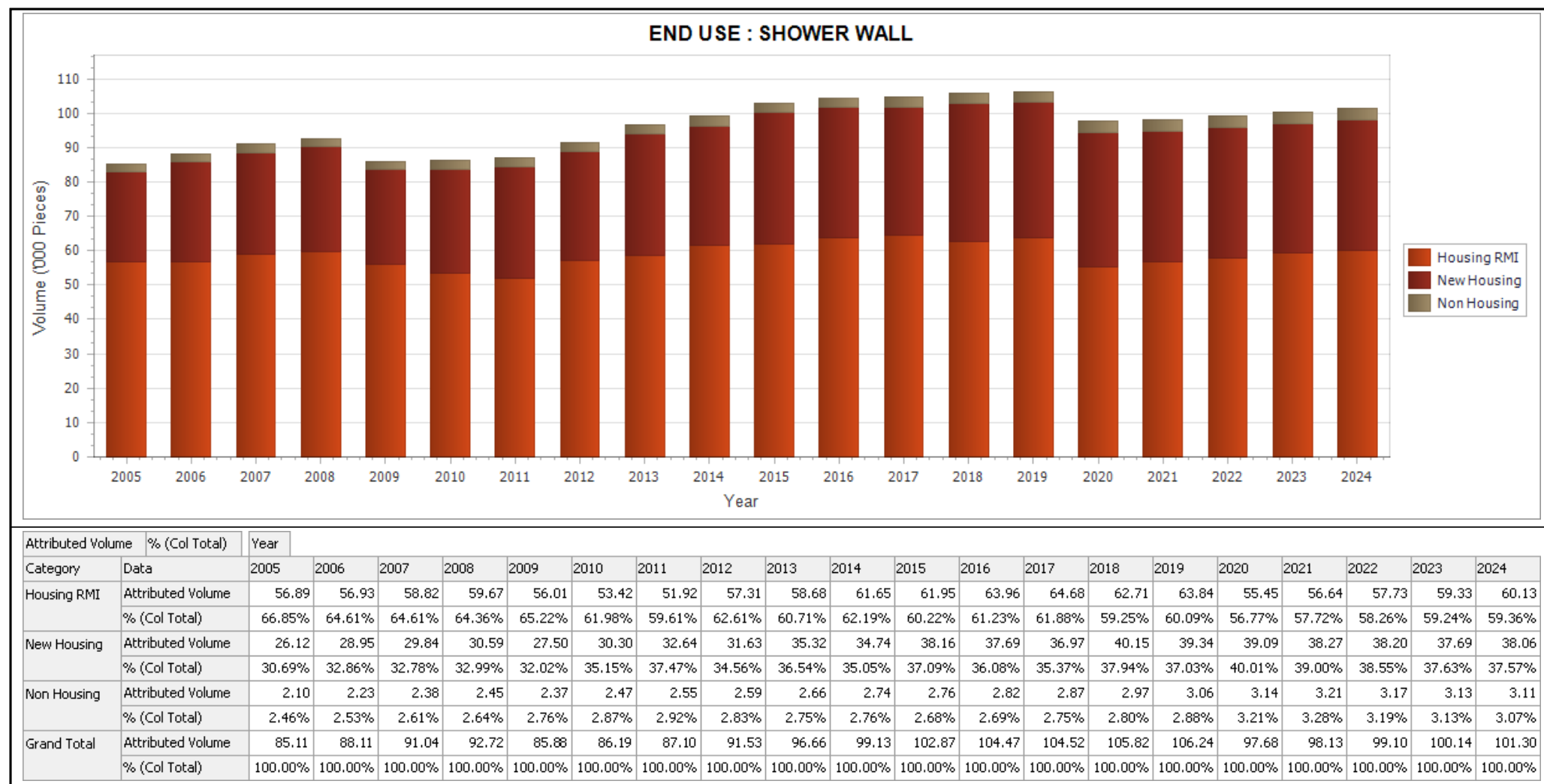
CH - SALES OF SHOWER WALL BY TYPE AND END USE SEGMENT ('000 PIECES)



Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding.

4.4.2 End Use : Historical and Forecasts

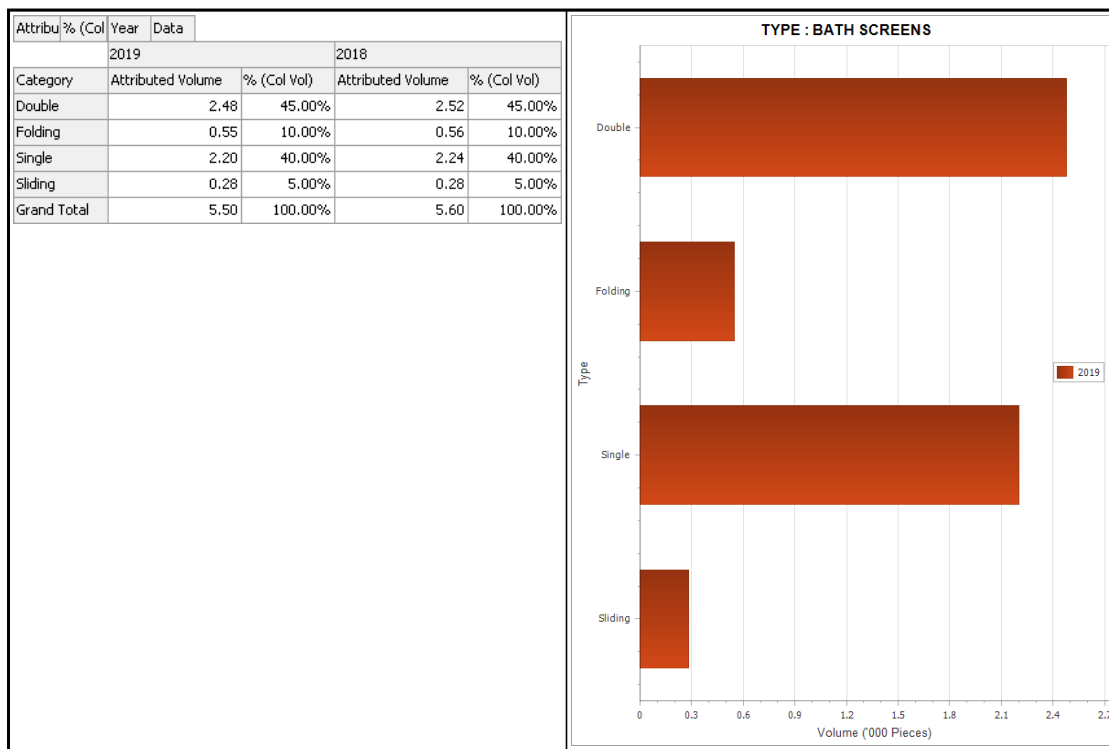
CH - SALES OF SHOWER WALL PRODUCTS BY END USE SEGMENT ('000 PIECES)



Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding.

4.4.3 Sales by Type : Bath Screens

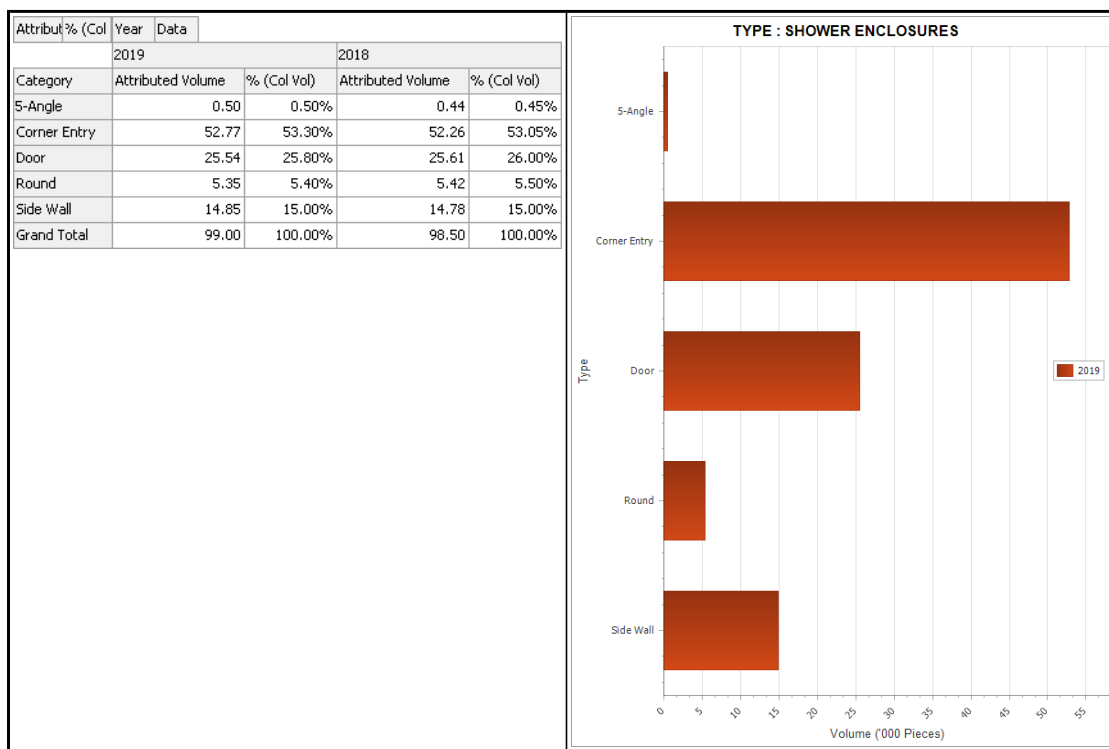
CH - BATH SCREEN SALES BY TYPE ('000 PIECES)



Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding.

4.4.4 Sales by Type : Shower Enclosures

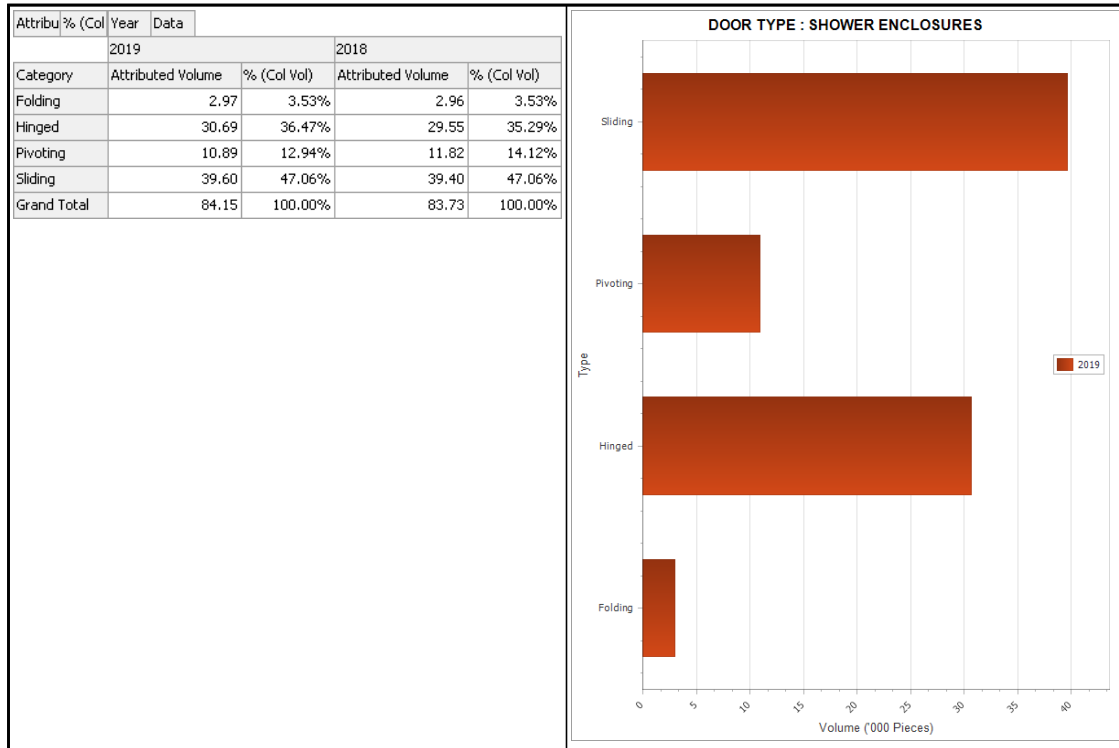
CH - SHOWER ENCLOSURE SALES BY TYPE ('000 PIECES)



Source: BRG based on industry interviews

4.4.5 Sales by Type of Door : Shower Enclosures

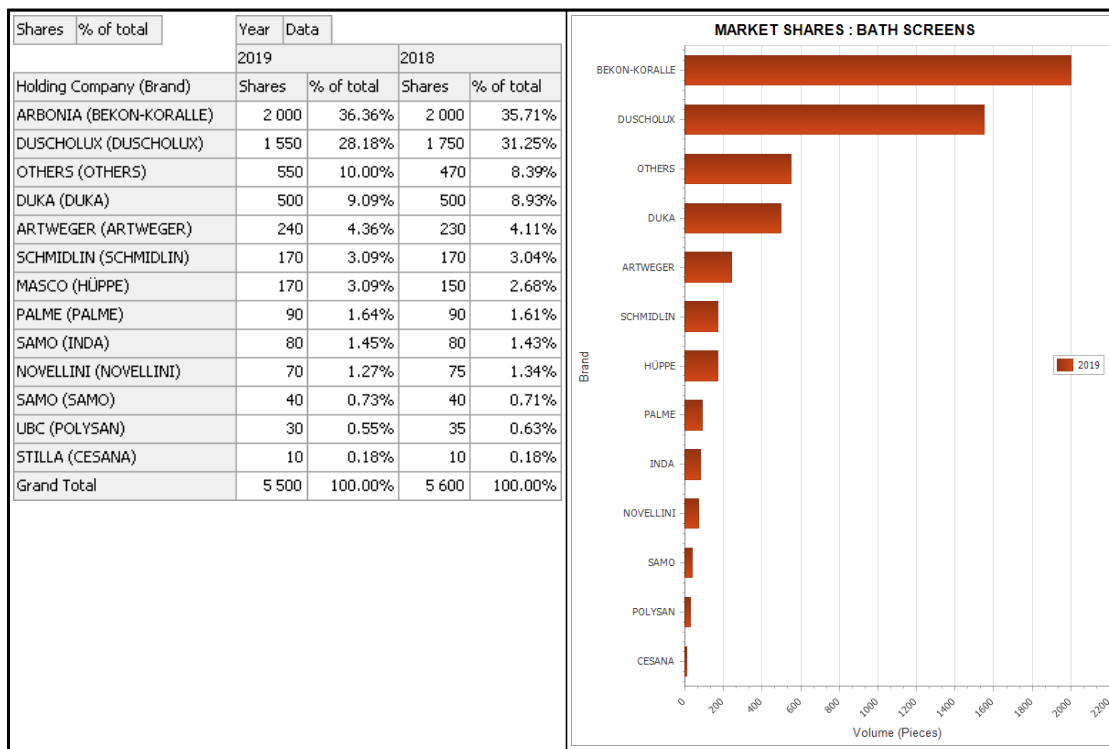
CH - SHOWER ENCLOSURE SALES BY DOOR TYPE ('000 PIECES)



Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding.

4.5.1 Market Shares : Bath Screens

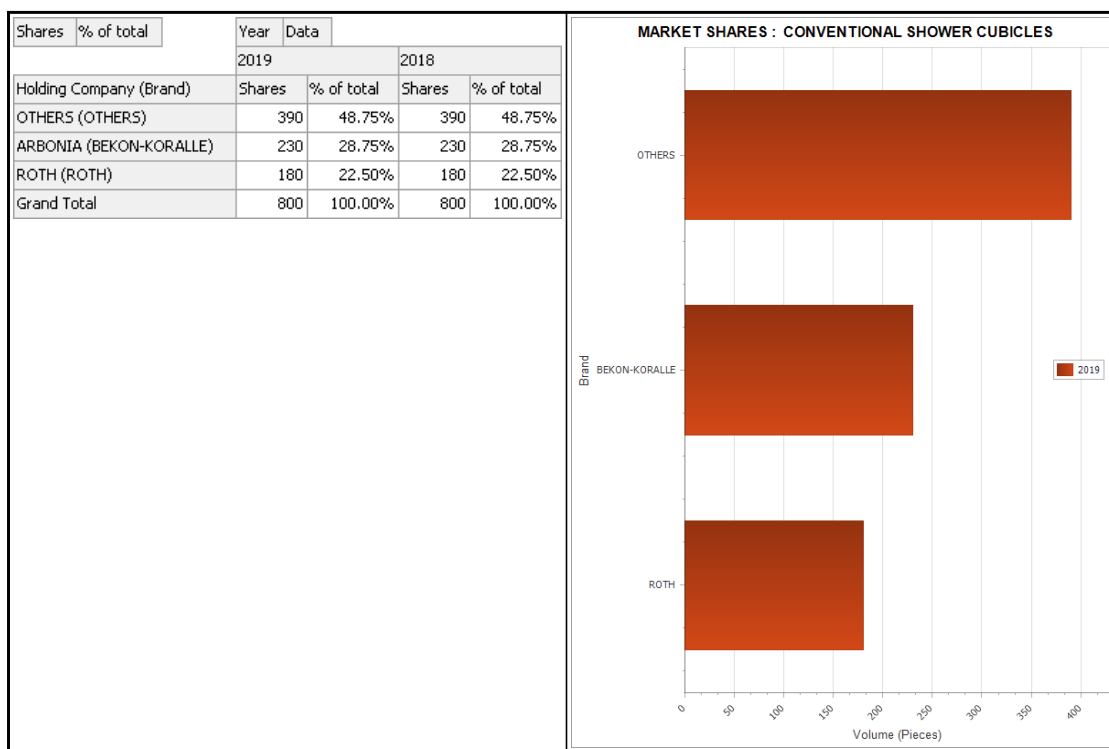
CH - ESTIMATED MARKET SHARES FOR BATH SCREENS



Source: BRG based on industry interviews.

4.5.2 Market Shares : Conventional Shower Cubicles

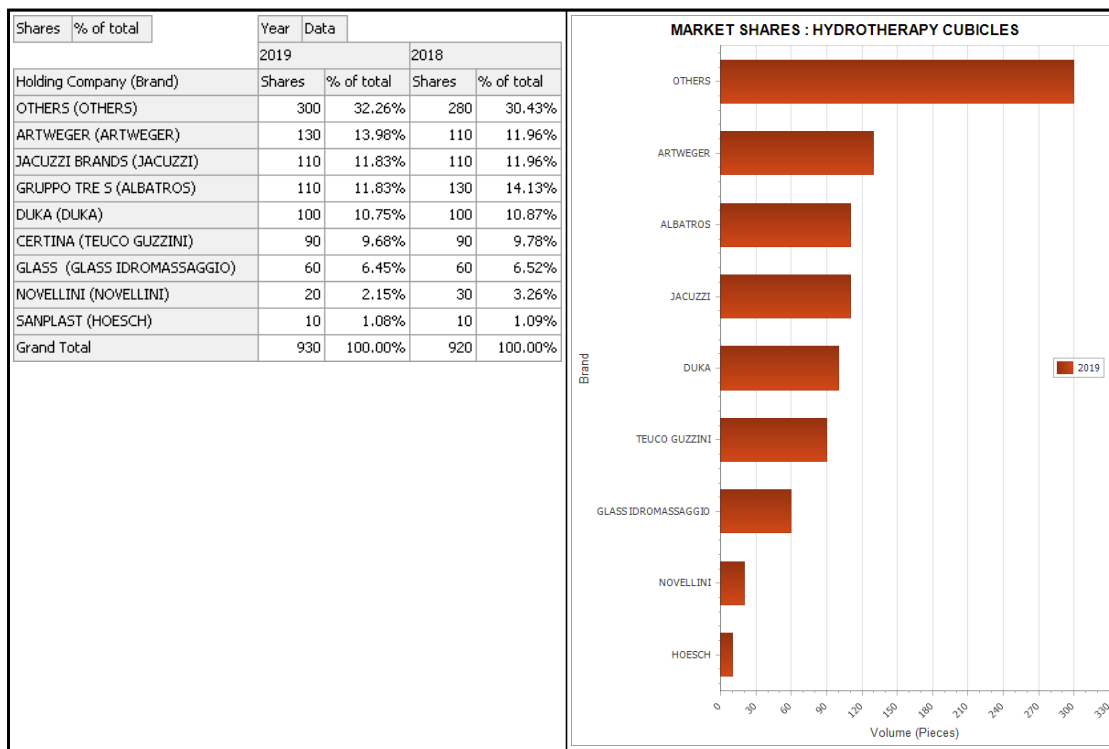
CH - ESTIMATED MARKET SHARES FOR CONVENTIONAL SHOWER CUBICLES



Source: BRG based on industry interviews.

4.5.3 Market Shares : Hydrotherapy Shower Cubicles

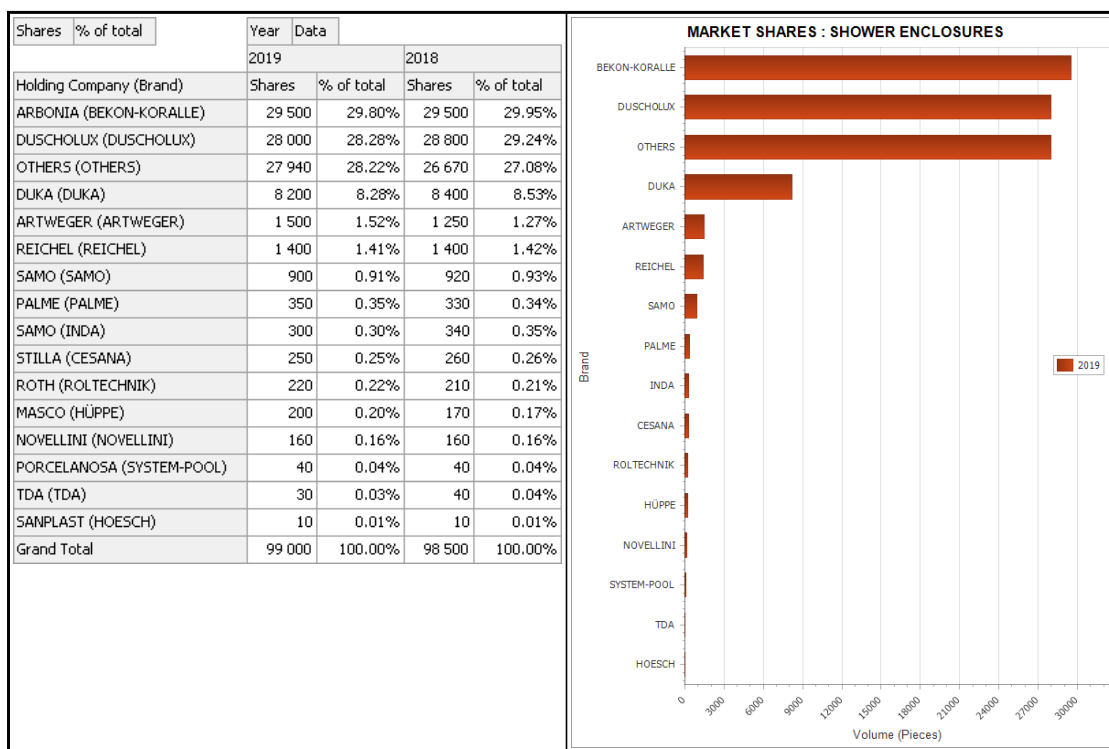
CH - ESTIMATED MARKET SHARES FOR HYDROTHERAPY CUBICLES



Source: BRG based on industry interviews.

4.5.4 Market Shares : Shower Enclosures

CH - ESTIMATED MARKET SHARES FOR SHOWER ENCLOSURES



Source: BRG based on industry interviews.

4.6.1 Route to Market: Shower Wall
CH - ESTIMATED DISTRIBUTION FOR SHOWER WALL: 2019

Manufacturer / Importer	Manufacturers / Importers
	100.0%

Wholesale Level	77.5%
	Wholesalers / Merchants
	77.5%

Retail Level	Manufacturer	Wholesaler	Manufacturer	Wholesaler	Manufacturer	Wholesaler
	4.0%	2.1%	6.2%	2.6%	9.0%	3.0%
	Internet Retailers		DIY Retailers		Specialist Retailers	
	6.1%		8.8%		12.0%	

Manufacturer	Wholesaler	Internet	DIY	Specialist
3.3%	69.7%	1.3%	0.0%	12.0%
Installers				
86.3%				

End Use Level	Manufacturer	Wholesaler	Internet	DIY	Specialist	Installer	Manufacturer	Wholesaler	Internet	DIY	Specialist	Installer
	0.0%	0.1%	4.8%	8.8%	0.0%	83.4%	0.0%	0.0%	0.0%	0.0%	0.0%	2.9%
	Residential						Non-Residential					
	97.1%						2.9%					
	New Build			Residential RMI			New Build			Non-Residential RMI		
	37.0%			60.1%			1.3%			1.6%		
	Project		Non-Project	Project		Non-Project	Project		Non-Project	Project		Non-Project
	34.0%		3.0%	7.7%		52.4%	1.1%		0.2%	1.2%		0.4%

4.6.2 Route to Market: Shower Wall
CH - ESTIMATED DISTRIBUTION FOR SHOWER WALL: 2024

Manufacturer / Importer	Manufacturers / Importers
	100.0%

Wholesale Level	77.0%
	Wholesalers / Merchants
	77.0%

Retail Level	Manufacturer	Wholesaler	Manufacturer	Wholesaler	Manufacturer	Wholesaler
	4.2%	2.3%	6.4%	2.8%	9.0%	3.0%
	Internet Retailers		DIY Retailers		Specialist Retailers	
	6.5%		9.2%		12.0%	

Manufacturer	Wholesaler	Internet	DIY	Specialist
3.2%	67.0%	1.4%	0.0%	12.0%
Installers				
83.6%				

End Use Level	Manufacturer	Wholesaler	Internet	DIY	Specialist	Installer	Manufacturer	Wholesaler	Internet	DIY	Specialist	Installer
	0.2%	1.9%	5.1%	9.2%	0.0%	80.5%	0.0%	0.0%	0.0%	0.0%	0.0%	3.1%
	Residential						Non-Residential					
	96.9%						3.1%					
	New Build			Residential RMI			New Build			Non-Residential RMI		
	37.6%			59.4%			1.4%			1.7%		
	Project		Non-Project	Project		Non-Project	Project		Non-Project	Project		Non-Project
	34.2%		3.4%	7.5%		51.9%	1.1%		0.3%	1.3%		0.4%

Source: BRG Based on Industry Interviews. - Totals may vary due to roundings

4.6.3 Route to Market - Consolidated View : Shower Wall

CH - ESTIMATED DISTRIBUTION FOR SHOWER WALL : 2019

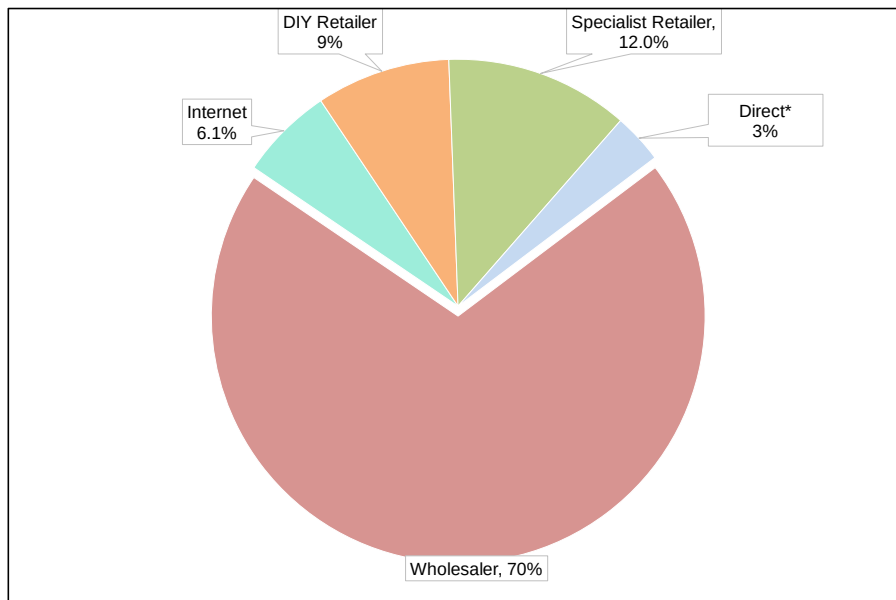
Route to Market - End Use Level					Project		Non-Project	
Wholesaler	Internet	DIY Retailer	Specialist Retailer	Direct*	Residential	Non-Residential	Residential	Non-Residential
69.8%	6.1%	8.8%	12.0%	3.3%	41.7%	3.3%	54.2%	0.8%
100%					45.0%		55.0%	

4.6.4 Route to Market - Consolidated View : Shower Wall

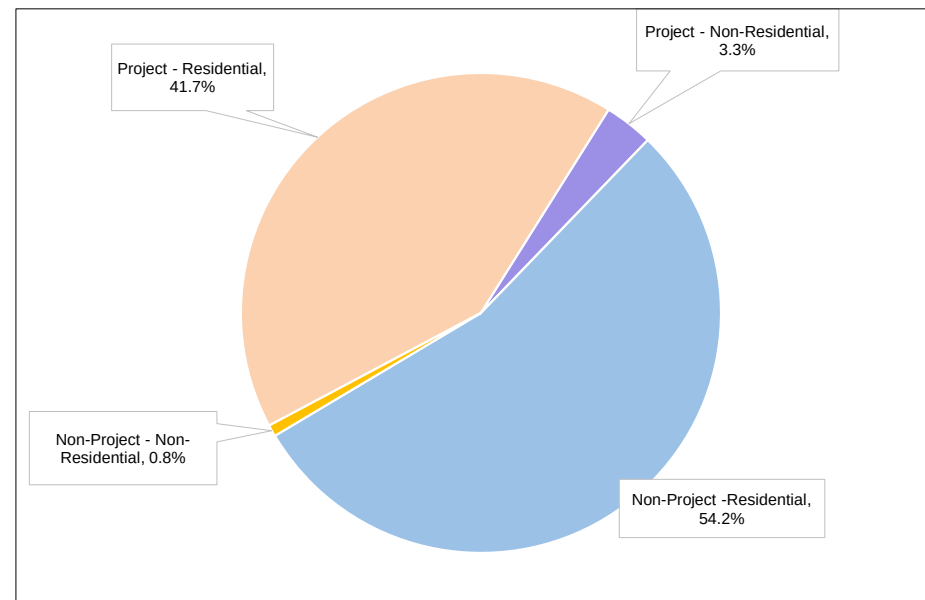
CH - ESTIMATED DISTRIBUTION FOR SHOWER WALL : 2024

Route to Market - End Use Level					Project		Non-Project	
Wholesaler	Internet	DIY Retailer	Specialist Retailer	Direct*	Residential	Non-Residential	Residential	Non-Residential
68.9%	6.5%	9.2%	12.0%	3.4%	41.7%	3.4%	54.0%	0.9%
100%					45.1%		54.9%	

CH - SALES OF SHOWER WALL BY DISTRIBUTION CHANNEL: 2019



CH - SALES OF SHOWER WALL BY POINT OF DECISION AND END-USE SECTOR: 2019



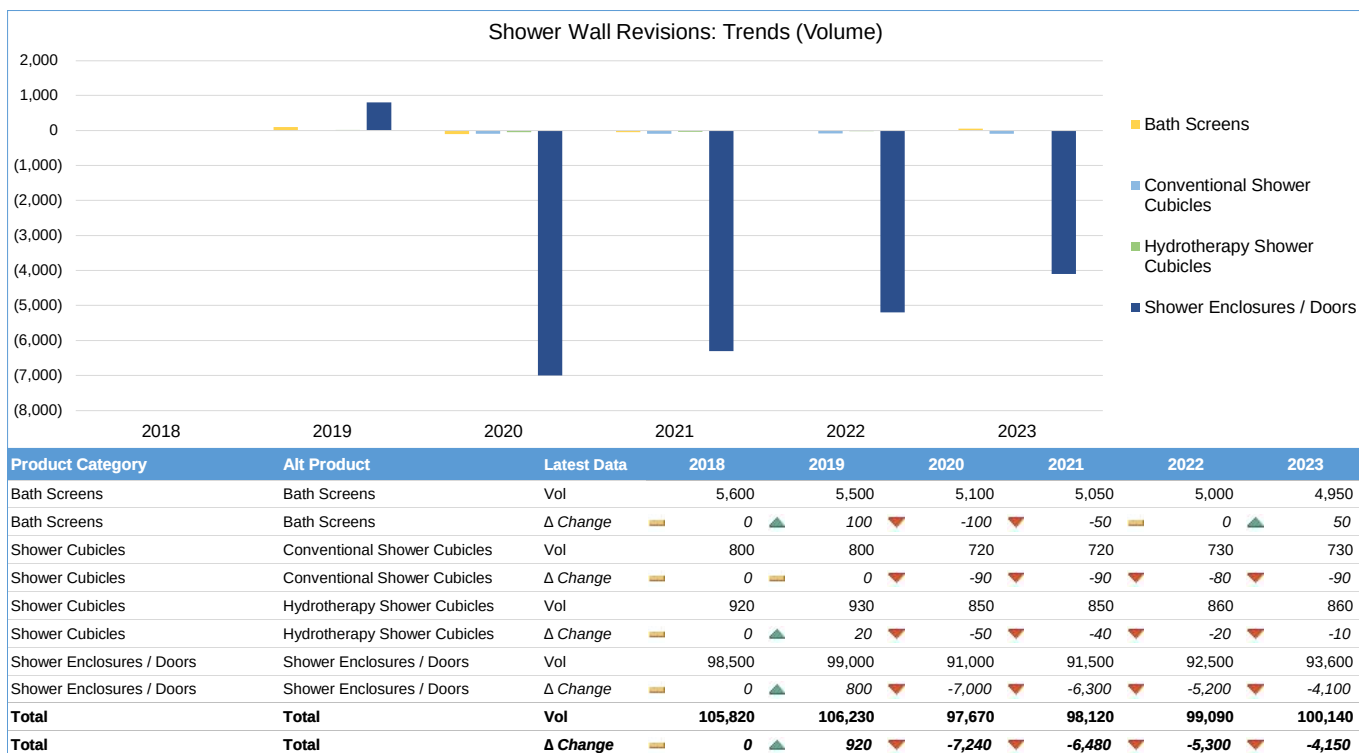
Source: BRG Based on Industry Interviews.

*Direct includes sales going directly from manufacturers to installers, contractors and private customers.

4.7 Revisions in the Swiss Shower Wall Market (July 2020)

CH - REVISIONS IN THE SWISS SHOWER WALL MARKET

Data Comparison: July 2019



All 2019 shower wall sales, affecting also the forecast have been revised accordingly, due to more accurate data became available from the industry. Historical price segmentations have been revised slightly across all shower walls, which resulted in MSP revisions for the previous years.